

Railtel Corpn. (RAILTEL)

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SUb: Outcome of Analyst/Investor Conference calt held on Friday, 12th-August, 2022-.

Ref: Our Letter of Even no. dated ostti August, 2022 and 12th August, 2022.

Dear Sir/Madam,

In reference to our previous communication dated 08th August, 2022 regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by ORO) of the Analyst/Investor Conference Call held on Friday, 12th August, 2022, organised by M/s. IDBI Capital Markets & Securities Limited.

2. This is submitted for your information and record.

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ANALYST: "RailTel Corporation

Q 1 FY2023 Earnings Conference Call"

August 12, 2022

C H O ft L LS:

IR. VISHAL PERI\VAL -IDBI CAPITAL MARKETS & SECURITIES LIMITED

MANAGEMENT: MR. SANJAI KUMAR -DIRECTOR -NETWORK PLANNING & MARKETING & DIRECTOR PROJECT OPERATION & MAINTENANCE RAILTEL

CORPORATION OF INDIA LIMITED

MR. ANAND KUMAR SINGH -DIRECTOR FINANCE -

RAIL TEL CORPORATION OF INDIA LIMITED

MR. VINEET SINGH -EXECUTIVE DIRECTOR -

ENTERPRISES BUSINESS -RAIL TEL CORPORATION OF INDIA LIMITED

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Moderator:

Vishal Periwal:

Sanjai Kumar: Rai!Tel Corporation of India Limited

August 12, 2022

Ladies and gentlemen, good day and welcome to the RaiJTel Corporation QJ FY2023 Earnings

Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you Sir!

Good afternoon everyone. Welcome to the RailTel Corporation post result earnings call for this quarter and I also would like to thank the management for giving us this opportunity to host the call. From the management team today, we have with us Mr. Sanjay Kumar, ~~mr Directm~~, Network Planning and Marketing and he has also additional charge of Director Project Operation and Maintenance. The second person we have today is Mr. Anand Kumar Singh, Director Finance, RailTel Corporation and Mr. Vineet Singh, Executive Director Enterprises Business so as usual we will have a brief overview from the management side and then we will have a question and answer session. Sanjay Sir over to you.

Thank you Mr. Vishal. A very good afternoon to all so at the outset I would like to congratulate all of you on this last week of celebration of our Azadi Ka Amrit Mahotsav going on for past 75th week and 75th Independence Day in advance.

It gives me great pleasure to interact with you on the company's performance in the backdrop of Q1 results that is FY2022

-23 which was declared on August 10, 2022. The company achieved consolidated operating revenue of Rs.377 Crores for Q1 as against Rs.307 Crores in the corresponding period of FY2021-22 registering a year-on-year growth of 23%. RailTel posted profit before tax of Rs.35 Crores during Q1 of financial year FY2022-FY2023 with growth of 25% on year-on-year basis. Profit after tax for the Q1 also registered the growth of 24% on year-on-year basis at Rs.26 Crores. Telecom business contributed Rs.274 Crores to the turnover and project business contributed Rs.103 Crores. Margin in project business has been under stress during the quarter but the company is confident of achieving overall project margins in line with the financial year FY2022-FY2023. Margins in the telecom business is also subdued due to increase in operation and maintenance cost of fiber and equipment but the company is confident that going forward with the flow of telecom business from new sections taken over the profit margin in the telecom sector will reach the level seen in the past. Earnings per share for Q1 of FY2022-23 has also increased by 23% as compared to Q1 of last year. EBITDA for Q1 of FY2022-23 is Rs.74 Crores and the EBITDA margin is 19.22%. During Q1 FY2023, the company received new orders totaling Rs.662 Crores and the current order book stands at Rs.5800 Crores plus. The company has also finalized the VSS tender under Nirbhaya fund project for providing video surveillance systems on important Indian Railways stations and Letter of Acceptance issued which are worth about Rs.411 Crores. The project execution will begin shortly and completion of this project shall be completed during current financial year. With a robust order book position and continued participation in high ticket tenders, we are confident about continuing the momentum of profit and growth in future. We are committed to provide best services to our stakeholders and will continue to expand diversify and upgrade our portfolio of products. The management humbly acknowledges the trust reposed by the investors

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Moderator:

Sanjesh Jain:

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Sanjesh Jain: RailTel Corporation of India Limited

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in the company and would like to assure you all that in spite of different challenges still being faced by the country in general and the economy in particular, the company is and will continue to strive to achieve new benchmarks in the current financial year and in the years to come. Thank you all.

Thank you. We will now begin the question and answer session. The first question comes from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Good afternoon Sir. Thanks for taking my questions. Sir I have got a few questions. The first one is on the telecom services revenue per se, it has declined sequentially while the perception of the expectation was that as the railway ramps up and as the lockdown eases the things should potentially move towards a better revenue trajectory? Can you help us explain what has led to this sequential decline in the telecom services revenue and how should this would pan out for 13th year that is the number one question? Number two question is on the project revenue side? Now that we have given LOA so this Rs.400 Crores of additional revenue from the VSS will come so

what is the total project execution out of till is Rs.5800 Crores of order book is expected to happen in FY2023 that is number two? Number three is on the tendering of COD. RDN and I think we were also in the process to put towers and data centers so what is the outlook on these tendering and how should one expect the revenue coming in from these things? So these are the three initial questions? I have a few more let me come back on them after these questions thank you?
Regarding sequential decline in telco

revenue first we will answer that question so actually in the telecom sector generally what is happening there is continuous pressure on prices that is one factor. That is not the only factor but our billing pattern is such that generally in Q1 the revenue is not as much as in other quarters. The billing patterns in some cases is annual and in some is quarterly so because of that I think you may be perceiving that.

Sanjesh 1 will just add to what Sanjai sir had said in the quarter ended March 31, 2022 we have booked a one-time DRDO income of Rs.13 Crores which was against installation of lease lines Pan India so if you add this Rs.13 Crores to Rs.273 Crores you will see the revenue pattern similar for the sequential quarter also.

Okay so what you are telling and what Sanjai Sir is telling what I can conclude from it is that despite Rs.13 Crores not being there and despite seasonally Q1 being slightly slower on the revenue recognition these numbers are good so that establishes a base for a much better growth coming in next three quarters of the nine months is that a fair assumption?

Absolutely yes.

Okay great and on the project revenue side with the VSS being awarded and large order book what should be the project execution for this year?

So if we talk of project business VSS in particular out of this Rs.400 plus Crores order we expect that we can book about close to somewhere around Rs.300 Crores of revenue this year and overall project business revenue we are expecting to book this year is around somewhere around Rs.800 Crores to Rs.900 Crores.

Including this Rs.300 Crores right?

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And here we are not facing any challenges in terms of equipment supply and all that?

We are in fact taking this into account so that if any other eventuality is there or other any other incidental hurdle does not come into play, we are expecting that international semiconductor shortage issue will continue to be basically subside and we will be able to deliver.

So this is assuming that the easing of chipset happens and should there be no supply chain issue so we should be able to do Rs.800 Crores to Rs.900 Crores nominalized basis?

Yes.

Where are we in terms of tendering COD and RDL?

RDN tender is under evaluation is under final stages and COD tender is also likely to be opened this month itself. Its last date is till I think August 22 for final bid submission.

Okay and by when we should see this revenue?

The third question was about towers and data centers so these two projects data center as well as towers this year or maybe even next year first half we are likely to get any revenue because these are the long gestation period tenders. This will take some time to get executed and then only the revenue will start.

So it will only come in second half of FY2024?

Yes.

So we are at 18.8% 8 months away for FY23 is that right?

Yes.

Okay thanks for these initial questions to get answered and I have a few more. Project business EBIT margin has been under focus for two quarters so what is leading because earlier I think we were doing like 9%, 10%, 11% and 12% and in few quarters it was better than that because I think there was a contribution of COD but even if I remove we have always been about 8% to 9% EBIT margin so what is causing this subdued EBIT margin in the project business.

Currently if you compare with the sequential quarter of March we have crossed 3.94% margin in the project business which is basically because of the execution of project which was a defense related project which was taken at a margin of 4% so we

are executing this project and this will

in fact be completed in this financial year but let me assure you from the management side that going forward by the end of this financial year, we will achieve the profit margin in the project around 8.37% to 8.5%.

Okay got it and the lower margins in the telecom which Sanjay told in his opening remark was more to do with the equipment challenge and all how are we seeing that trend? Is that easing out?

Will the margins which we were doing earlier at 28% to 29% are we on track to go there?

I will take this question. Here we need to understand one thing. We take sections OFC sections from the railways okay. Now these sections need to be maintained. There are some sections which are taken where the margin of revenue is VCI) skeletal, but it provides me a ring for the

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Moderator:

Dixit Doshi: RailTel Corporation of India Limited

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existing network so that the SLA penalty does not occur but yes when we take these sections, we are looking for fresh businesses, new businesses and when the new businesses will be on boarded the profit will be there for all to see.

So what profit should we look on a normalized basis?

19% which we are showing it can go up. On these new sections if we are able to onboard new business the revenues can go even higher. The margin can go even higher but 19.5% will be the basic nonn going forward also.

Sir 19.5% steady state at least we will do and if we were able to sweat the asset better then the margins can only go up right?

Right yes absolutely right.

Got it Sir. Just two last bookkeeping questions. Employee cost of this 50 Crores is a steady state right? It is after the revision of the wage?

Yes. It is due to increasing the salary of outsourced staff where we need to maintain with the minimum wages act. Then is a 10% escalation also, so this employee benefit this is a nonnal increment.

Okay and the access charges were also higher this quarter is it more to do with the supply chain challenges is it?

Access charges yes. Access charges are generally related with the telecom business from projects which we are taking up so there we are going away from railway network. Basically our network is in two parts. One is where we have network along the railway track but we are now going beyond railways to wherever customer needs are there and till now we have been able to build around 20,000 plus kilometer of network which is not along the railway track so we are earning revenue from such network also. Hence our access network expenses are there.

And it is contributed by the O&M expenses also. The access charges are going up due to the O&M expenses also.

Got it and what is the capex expectation for the full year?

Rs. 150 Crores.

Got it. Thank you Sir. Thank you for answering all my questions and best of luck for the coming quarters.

Thank you. The next question comes from the line of Dixit Doshi from Whitestone Financial.

Please go ahead.

Thanks for the opportunity. Sir my first question is related to this RDN project? You mentioned that it is under evaluation so is my understanding right that I think the last date of bid submission was somewhere in the first week of July or end of July so we must have received the bid and now we are evaluating and as and when the evaluation finishes we will announce the final bidder is it right?

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Moderator: RailTel Corporation of India Limited

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Yes. It is

under final stage of evaluation so as and when it is decided the final winner will be announced.

I understand you cannot mention the name of the bidder but if you can just give us a broad understanding that how many bids we have received and just the kind of company?

It is under the custody of tender committee which is a confidential matter so it is not disclosed prior to final declaration of winners.

Okay even you cannot say how many bids we have received?

No.

Okay and any broad sense of only the domestic or the international?

I think let us avoid such questions in this quarter.

Okay and my second question is regarding this rail wire, our broadband business so how many subscribers we have and how much was the ARPU this quarter?

Subscribers 4.69 lakhs and the ARPU is around 560.

560?

Yes.

And how do you see this subscriber addition by this year end because I assume that in one of the six months back presented at that time we were targeting 10 lakh subscribers by year end so do you see of doing that?

See what is happening this industry there is always a volatility and new operators are coming in. They are launching new models, OTT, IPTV and all that so there is a struggle and RailTel is basically targeting urban, semi urban and rural segment. We have recently launched our OTT plus IPTV in localized one or two circles and we are expecting good results from that so growth over this during this financial year if not 10 at least we are expecting that it will be somewhere around seven to eight lakhs.

Okay fine Sir. That is from my side. Thank you.

Thank you. The next question comes from the line of Venkatesh Subramanian from LogicTree.

Please go ahead.

Venkaatesh Subramanian: Good morning Sir. Sir I have two questions. Sir one is can you give us some update on how the Kavach project is proceeding is there anything that we need to know any new developments and the second question is for the full year Sir broadly for FY2023, I think in your last call we guided for about 20% to 25% growth any sort of revenue guidance can you give us?

Sanjai Kumar: So Kavach is basically under development state. In fact, Ministry of Railways has set up a center of excellence for complete specification of Kavach. It is not yet developed completely but a few tenders were floated by some zonal railways. RailTel did not participate in those tenders because of this reason only that we would like to partner with some OEM at least where the product has completely or to a large substantially matured. We will certainly be in this segment but we are waiting and regarding FY2023 guidance 20% growth will be there.

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Venkatesh Subramanian: Broad top line growth Sir?

Sanjai Kumar: Yes.

Vcnkatesh Subramanian:And is it safe lo assume EBITDA margins at 19% to 20% what would that number be'?

Sanjai Kumar: Yes.

Venkatcsh Subramanian: Yes okay. Sir coming back to Kavach, so Kavach significant developments or p~rtnering who do you want to tie up with will happen this financial year or next financial year Sir?

Sanjai Kumar: This financial itself.

Venkatesh Subramanian: Okay Sir. I have one or two more questions Sir but I will come back and join the queue.

Moderator:

Amit Kumar:

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Sanjai Kumar: Thank you. The next question comes from the line of Amit Kumar from JJg.~-0.m"<l Investments. Please go ahead.

Thank you so much for the opportunity Sir. I just wanted to gel a sense with the 5G on the horizon what kind of growth visibility you are looking at in your towers business both in tem1s of new lowers as well as tenancy in existing tower base for the second half of the year because in fact my sense is 5G was supposed to be launched in August itself but got delayed a bit so can we expect anything in the second half oftl!is year but the question is more of fi

scal 24 perspective?

5G per se I think you might be reading every day the telecom operators they are being given time to deposit their spectrum fees basically and the momentum to basically install equipment ! do not think that there will be a sizable expmsion on this account. They will be launching it in few select cities so this year or maybe next HI of the FY2024 also there is nol going to be much movement due to this technology inclusion in these services but certainly 5G is going to play a major role. As far as Rai!Tel is concerned, we are interested in private network rollout and we are in fact exploring opportunities to tie up with some private investment and use our right of way so that we offer our right of way to other telecos and industrial establishments which are along the railway track, we arc exploring and we are consulting on this with experts also so we have this is on the enterprise business side. As far as tower is concerned, we are likely to come out with RFP wherein we will invite private investment again to install towers at least one at each station to begin with so that because right now we have roughly around l 000 lowers and we have 6000 plus staiions. There is still space to have more towers and the 5G deployment we expect that average tower tenancy should be in the range of l _5 to 2 minimum it can be more also depending upon on boarding of Idea, BSNL. TI1ere are some players where we cannot expect a lol but two operators are there so we are still keeping our fingers crossed bul we see that this lower infrasruclure will be a good opportunity for Rai!Tel because we are providing fiberized towers. Whatever towers we will be offering those. All those will be tiberized .

Thank you. In fact two small followup. One what is the current tenancy in your tower business and the second is you mentioned BSNL? I forgo(BSNL also is planning for a 4G launch apparently this monlh itself? Have they signed up with yon on 4G?

BSNL 4G will also I think will take not less than a year because they are probably doing J>OC. They have done POC and complete rollout will take time because it is indigenous product. This

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Amit Kumar:

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will take some time to be manufactured within the country and with tl!e kind of semiconductor chip sho11age and all that I am not the right person to comment on this but I cannot comment much for BSNL opportunity.

The initial point what is tl!e current tenfency in your towers?

Current tenancy is around 1.25 to 1.5.

All right that is it from me. Thank you so much.

Thank you. The next question comes from the line of Viraj Mithani from Jupiter Financials.

Please go ahead.

Good afternoon Sir. Sir my question is only one. I read about this low orbit satellite being launched in India sometime soon what kind of technological thing is this to our company would be or is it an advantage or is it a threat that is question one?

J. do not see any threat at least but I am not confident that it is going to play a major role in Indian telecom industry. This is my personal opinion but nothing much is going to be basically~ be affected in the industry, It may be of use in some remote areas that I can see but those remote areas are very scanty populated such as Ladakh region.

Sir railways have a lot of projects for army projects is there any way that RailTel is thinking to monetize this in future for some private things or any government organization?

(an. you please repeat your question.

There was hospital management project done by RailTel for I think railway hospital it was more or less on a non-profit basis correct and is there anything? I understand we must have an expertise from doing

this kind of project so is there any thought in the management to monetize this kind of capabilities?

It was not on non-profit basis. It was on profit basis. It is with proper profit healthy profit margin so yes.

Is there any further thing we are looking to monetize this?

The digital transformation of health sector is a focus area for RailTel and we are working with many bodies like AMTZ that is Andhra Medtech Zone where we have set up our data center. We have already done a POC project of around Rs.9 Crores with Karnataka Government ESIS and we are executing POC kind of projects in few of the All India Institute of Medical Sciences also In Indian health sectors there is a lot of requirements of digitization as all of us know that there is shortage of doctors and para medicals so this is our focus area.

So if you can give some color like how big it could be next say four to five years not immediately but some management vision on this thing?

Four to five years right now maybe I may not be in position but before the beginning of FY2024 we may be able to arrive at some number but we are continuously working with the partner to develop like there is requirement of application for health management information system, hospital management information system is one which is from the management point of view.

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Viraj Mithani:

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Vishal Periwal: RailTel Corporation of India Limited

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There is learning management system also and college management systems also but from patient and doctor point of view the interaction can be digital and it can be in the local languages right A patient may be from Tamil Nadu so for them the development has to take place so we are working with some partners and application service providers who are developing application there we can really we see really a good number to come but right now I am not sure. We have already integrated with NDHM and we are in touch with NHA also how can we take medical facilities to the rural areas and remote areas which is the strength of RailTel.

Okay that is it from my side and all the best.

Thank you. The next question comes from the line of Jyoti~ from Investec. Please go ahead.

Thank you for giving me this opportunity. I actually just needed to break up of the telecom revenue between NLD, ISP and JP?

NLD revenue this year this quarter is Rs.127 Crores, ISP is Rs.93 Crores, IP-1 is Rs.54 Crores and this is from telecom and revenue from railway project is Rs.36 Crores and other projects is Rs.67 Crores.

Thank you.

Thank you. The next question comes from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Yes sir before the question queue build up, I just thought probably ask a few of the questions so in the range of 20% odd but Sir I think in this quarter we have done 20% odd at EBITDA level

and going ahead I mean the thought process is like probably we will do project business 8% to 8.5% and then telecom will further move so will it be possible for you to now comment like for the full year this is how at a console level we are seeing the margin EBITDA?

I think Director Finance has already commented that we are going to maintain this because we are doing two kinds of projects. One is wherein we have a top line as well as a bottom line so then the margin is around 8% to 9% in such projects but we are doing some projects which are consultancy kind of projects where we are consultants to the project and we are basically master system integrators. We float the tender on behalf of the purchasers, fix the agencies, get that, work executed for them and in such cases we have hardly any expenditure so such project business will certainly help us in maintaining the margin or even maybe improving the margin. Vishal if I can add what I said regarding the EBITDA margin.

margin of being 19% we tend to be a bit

conservative in this regard but yes the company's endeavor will always be to see that it exceeds 19% for which as sir just said we can have some contracts which will straight away add to the bottom line without any expenditure or commensurate expenditure being incurred for that.

Okay Sir and then probably segmental wise if the numbers in the project you mentioned probably will do 8% to 8.5% for a full year basis and for telecom at a PBT level margins and for telecom how exactly do you see things because I think historically we have done pretty strong numbers in Page 9 of 13

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Anand Kumar Singh:

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tens of PBT margin for telecom in the range of like 20% odd plus or minus so how do you see this for FY2023 anything that you have seen or probably worked out?

Yes I have said this to an investor on the call earlier. You see the margin of 19%, was maintained but simply maintaining the sections will not help us so we are in the process of taking over more section from the railways and there are sections where the earnings from those sections compared to the cost which will be incurred to maintain it the earnings are negligible so yes that impacts the margin but the potential of getting higher business newer business from taking over those sections by creating a ring we save on the SLA that benefit will translate going forward.

Okay so but then from business point of view we are expanding so then will it that expense will be it be more like a capex on balance sheet or probably it will impact on P&L?

It is the revenue expenditure. Now see if we have a section where we have a linear section in case (here is any cut or disruption the services are impacted which results in loss of revenue.

Now if I am getting a section from the railways which help me to create a ring I am able to continue giving uninterrupted services my revenue is maintained and further on the new sections taken over we explore new businesses one of them onboarding new customers other it helps us to increase the revenue so it not only matches the cost but exceeds the cost so we look at it in this way that we have new section. Initial stages we may need to incur expenditure but going forward it will be a revenue generating action from our side.

Okay sure Sir and second thing I think on Kavach you mentioned couple of Indian railway they have come out with the tenders but I think any reason that RailTel has not participated because couple of other capex which is like tower look related capex links and that so I just wanted to understand I mean like no one thing is like the reason for not participating and how big?

Presently Kavach industry is close to monopolistic. There are I think two or three OEMs only are there and they are trying to play monopoly in such environment and in such circumstances it is very difficult to get competitive rate number one. Number two the technology itself is not yet foolproof. It has been tested in the present form but it is still being tested with LTER features and those are being still tested by the railways and related R&D bodies. I told you we have recently set up a center of excellence in Secunderabad for the same so we are waiting for that moment to come. We are waiting for the right moment to come which in but I can assure you that there is no other system integrator in the industry who is better suited than RailTel to do such projects. There is huge opportunity for Kavach and there are around Rs.30,000 Crores funds basically sanctioned projects are there.

Okay and then so I think you mentioned on a couple of players who are I mean like the structure which you mentioned so is it possible to name like who all are the players probably they are probably a monopolistic cutting

?

I will not name but they can still find from Google search. There is nothing to hide in that. Okay sure and maybe last thing and then come back in the queue I think our order book continue to remain strong? I think execution again you are guiding it will be 8% to 9% so in terms of

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Sanjay Kumar:

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Moderator:

Parimal Mithani:

Sanjay Kumar:

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Parimal Mithani: Rai/Tel Corporation of India Limited

August 12, 2022

inflows can you guide like what has been the order influence in this quarter or have you done any working because in BSE we keep on seeing announcements so what is the influence of this?

This quarter we have received orders more than Rs.660 Crores.

They are in terms of margin trajectory will be possible to guide like the incremental order that we are getting it is on 8% to 9% or margin or it is more like a low margin project?

There are some projects which are 8% and 9% margin. There are projects which are related to telecom also which are mix of telecom and project part also so of course margin will go up because there are telecom services being provided by RailTel in that so margins certainly is more than 8% because there are some bandwidth kind of elements included in those projects like one order which we are executing for Delhi Safecity which is around Rs.220 Crores which has an element of bandwidth also telecom bandwidth also and such projects will help us in actually growing our RailWire business also because we will be laying a lot of fiber within the city which will give us an opportunity in growing our last mile backhaul; we will be going close to the customer.

Right and will it be fair to say that incremental orders that we are getting Rs.600 Crores to Rs.700 Crores that you mentioned for this quarter it is on competitive bidding there is no nomination as well?

Yes these all are competitive bidding.

Okay sure thank a lot. I will come back in the queue. Thank you.

Please go ahead.

Thanks for the opportunity. Sir I just wanted to know the update in terms of the railway network as well as content on demand when you expect them to pick up in terms of revenue Sir for which quarter or may be a year can you give the guidance in terms of projects finalization?

This tender is yet to be bid so we cannot forecast right now may be by the next quarter we may be able to say something about COD.

Sir for railway display network Sir?

Railway display network is under the final stages.

Sir for RailWire business I just wanted to know do we provide service for common service centre also of government?

No not yet. The Common service centre is not government The Common service centre is an SPV of government. We are providing certain services directly to them.

But there are no outstanding dues pending from them right Sir if I understand?

No not pertaining to this. We have not yet started any relationship with CSC in this regard. There are other projects going on with CSC but not this.

Okay Sir thank you.

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Moderator: RailTel Corporation of India Limited

August 12, 2022

Thank you. The next question comes from the line of Venkatesh Subramanian from LogicTree.

Please go ahead.

Venkatesh Subramanian: Two questions follow-up Sir. One is we were talking about Kavach and the center of excellence in Secunderabad and you said something like we are probably the most competent one of the best in the class in terms of bringing in system integration into this? Can you elaborate a little bit more on it and if this the order size of our execution is going to be in Rs.30,000 Crores range plus you mentioned value added projects? Is this a project where the entire thing will go to one bidder or would

it be split into two to three parties and would this be like an annuity kind of. project over the next five to 10 years? Can you give us some color on it what do you think of this Sir?

Sanjai Kumar: Number one this is a project on Pan India basis and zonal railways will be inviting tenders for fixing agencies so there will be multiple sections and they will invite tenders for section by section so this is not going to be going to be one, two or three. Number two you talked about center of excellence. The center of excellence has been set up by Government of India to basically fine tune these specifications and that too more in the line to basically align it with LTE technology because right now it is not developed for LTE. It is future technology so that would be second and if you talk about value added Kavach firstly it will not bring any value added because this is entirely for in-house usage for Indian Railways but yes there are many third world countries where once we establish ourselves as a player we can take this technology and it is indigenous technology so we can export this also once we develop ourselves as a player we can take this technology and it is indigenous technology so we can export this also once we develop a domestic manufacturing ecosystem?

Venkatesh Subramanian: My question was like once you implement the Kavach order Sir once it is place then is there like a maintenance angles to it every year? For example if you talk of other public sector companies or DRDO or anything there is an agency that develops the whole thing? Then there is somebody who implements it and then there is an annual maintenance that goes in that is what I was basically looking at?

Sanjai Kumar: The practice whatsoever is basically deploying it they have the annual maintenance contract also generally.

Venkatesh Subramanian: We will be bidding or we will be going for it once we are ready with what we want to bid we will be joining hands with somebody else and then bidding for this project is that right Sir?

Sanjai Kumar: Of course we need to join hands with some OEM who is developing or who has developed. There are two to three at least two to three OEMs which we know they are under the development stage.

Venkatesh Subramanian: Are we already talking to them Sir?

Sanjai Kumar: Yes.

Venkatesh Subramanian: Okay wonderful and Sir what is this Rs.30,000 Crores project if it comes to light would that be split between two to three bidders or how does it work?

Sanjai Kumar: I told you there will be multiple. There will be N number of bids separately coming out.

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&B-wt. Rai/Tel Corporation of India Limited

August 12, 2022

Venkatesh Subramanian: Sorry I think my question was a little bit it needs more clarity? Will this order be split into three or four orders Rs. 10,000 Crores and Rs. 10,000 Crores would that be the way?

Sanjai Kumar: No. There will be Rs.200 Crores to Rs.300 Crores kind of orders.

Venkatesh Subramanian: Okay right depending on the zone?

Sanjai Kumar: Yes depending upon the zones and importance of the sections and busy sections. There are tier two section so first they will concentrate on the high density traffic sections. The sections depend basically on distance, they are basically part of different zonal railways.

Venkatesh Subramanian: Right okay so would it be fair to assume in an open bidding system with multiple bidders and if we join hands with the right OEM can we aspire for getting say 20% to 25% share of the entire project?

Sanjai Kumar:

Moderator:

Viraj Mithani:

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Viraj Mithani:

Moderator: Yes conservatively yes. That is clear.

Thank you. The line has been disconnected. We will take the last question now. The last question

comes from the line of Viraj Mithani from Jupiter Financials. Please go ahead.

Sir three questions? One from what you are saying this quarter was a subdued quarter but coming quarters it will be a good quarter is it fair to assume right?

Yes.

Sir what is our cash in the balance sheet cash?

Cash is Rs.557 Crores.

Okay Sir there was a talk of IR.C-rs merger sometimes from media report any updates by the government on that?

We are the wrong person to comment on this because it is for the government to decide so I think we are not the right person.

Okay Sir and Sir the last question is broadly you are guiding double digit growth that is a 20% growth top and 20% EBITDA margin is that the correct way to assume right?

Yes. Viraj J stand corrected. My own cash fund is Rs.522 Crores and not Rs.572 Crores. I apologize for that Rs.522 Crores and yes revenue guidance of 20% top line and EBITDA of 19% to 20% is yes which the management is looking forward to.

Okay thank you and all the best to you Sir. Thank you and have a great day. ,

Thank you. This was the last question. We have reached to the end of question and answer session. Now on behalf of IDBI Capital that concludes the conference. Thank you for joining us.

You may now disconnect your lines.

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Call: Nov 2022

Ref: RailTel/Sectt/21/SE/S-16 Date: 18th November, 2022

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Mumbai - 400051**

Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Outcome of Analyst/Investor Conference Call held on Monday, 14th November, 2022.
Ref: Our Letter of Even no. dated 11th November, 2022 and 14th November, 2022.

Dear Sir/Madam,

In reference to our previous communication dated 11th November, 2022 regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the Analyst/Investor Conference Call held on Monday, 14th November, organised by M/s. IDBI Capital Markets & Securities Limited.

2. This is submitted for your information and record.

UNITED STATES OF AMERICA

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 RAILTEL
 "RailTel Corporation Limited
 Q2 FY 23 Earnings Conference Call"
 MANAGEMENT:
 MODERATOR: November 14, 2022

IDBI capital
MR. SANJAI KUMAR -CHAIRMAN AND MANAGING
DIRECTOR & DIRECTOR (PROJECT, OPERATIONS
& MAINTENANCE-POM) (ADDITIONAL CHARGE)
MR. V. RAMA MANOHARA RAO -DIRECTOR
FINANCE.
MR. VISHAL PERIWAL -IDBI CAPITAL
Page 1 of 13

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RAILTEL
Moderator:
Vishal Periwal:
Sanjai Kumar: Rai/Tel Corporation limited
November 14, 2022

Ladies and gentlemen, good day and welcome to The RailTel Corporation Q2 FY23 Post Results conference call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note, that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you, sir.

Yes. Thanks, Lizann. And good afternoon, everyone. First of all, I like to thank the management of RailTel for giving us this opportunity to host their call. And for today's call from RailTel Corporation of India, we have with us Sri. Sanjai Kumar, Chairman and Managing Director and RCL that is of RailTel and our Director Projects Operation Marketing Maintenance and also RCL Additional Charge; and also, we have Sri. V Rama Manohara Rao, a Director Finance, RCL that is RailTel Corporation of India. So, as usual, we'll have a brief from the management and then we'll have lines open for Q-and-A. Yes, sir. Over to you. A very good morning to all. It gives me great pleasure to interact with you in the backdrop of Q2 results for FY2022-'23 of RailTel. With a limited review by statutory auditors, which was declared by the company on 10th of November, 2022. RailTel has achieved a consolidated revenue from operations of INR 429 crore for Q2 as against INR 377 crore in the Q1, recording a growth of 14% on Q-on-Q basis. The consolidated revenues from operations for H1 of '22-'23 stood at INR 806

crore against INR 666 crore in H1 of '21-'22. Registering a growth of 21 %. Telecom business contributed turnover of INR 295 crore in Q2 as against INR 274 crore in Q1, registering a sequential growth of 8%. Project business contributed turnover of INR 134 crore in Q2 as against INR 103 crore in Q1 registering a sequential growth of 30%. Total income stood at INR 440 crore in Q2 against INR 385 crore in Q1 registering a sequential growth of 14%.

RailTel posted PBT of INR 74 crore in Q2 of FY23 as compared to INR 35 crore in Q1 recording a growth of 111% on Q-on-Q basis. RailTel posted PAT of INR 55 crore in Q2 of FY23 as compared to INR 26 crore in Q1 of FY22 recording a growth of 112% on Q-on-Q basis. There has been improvement in profitability of Telecom business in '22-'23. Profitability of Project business has been slightly under strain during the quarter, due to various reasons, but the company is confident of achieving overall profitability in line of financial year '21-'22. EBITDA is INR 111 crore for Q2 of FY23 as against INR 74 crore in Q1. EBITDA margin is 25% in Q2 against 19% in Q1. The EBITDA margin for RailTel has been in the order of 25% to 27%. The robust order book of about INR 4,500 crore and continued participation of RailTel in high ticket tenders, we are confident about continuing the momentum of profit and growth in future.

The company is focusing on solidifying its existing footholds in sector like railway, coal, banking, defense, as well as exploring new ones like health, education, etc .. In the second quarter of FY23, your company has maintained the momentum of bagging new orders in different sectors, and has secured orders of about INR 800 plus crore in the H1 of this financial year.

RailTel will continue to expand its SoC network through collaborations and partnerships to make deep inroad within the state. We are committed to provide best services to all our stakeholders and will continue to expand, diversify, and upgrade our portfolio of products and services. The company is actively working towards successful execution of video surveillance
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RAILTEL
Moderator:
Sanjesh Jain:
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Sanjesh Jain: RailTel Corporation Limited

November 14, 2022

system of Indian railways project and a major part of Nirbhaya work under this project shall be expected to be completed during the current financial year.

The management humbly acknowledges, the trust reposed by the investors in the company and would like to assure you all that despite challenges, the company is and will continue to strive to achieve new benchmark in the current financial years and the years to come. Thank you.

Thank you. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

I got a few questions. First on the order book size, I guess, in the opening remark, we mentioned that the order book stands at INR 4,500 crore, while the same number last quarter was INR 5,800 crore. Is there any large project slip from this particular order book, or is there any change in the order book recognition?

Yes, Sanjesh. Actually, we carried out very major corrective exercise. So, the actual order book as on date, we have worked it out to be INR 4,500 plus crore only, it was being maintained at INR 5,800 plus crore for quite some. So, then we got it corrected. It was mistake on RailTel's management part. I really feel sorry for this.

Thanks sir. Thanks for that clarification. Second of, can you give the breakup of this INR 4,500 crore of order book, what are the major project which constitutes this INR 4,500 crore order book?

Yes. If we talk about INR 4,500 crore roughly around --if we talk of railway and non-railway, so roughly around INR 2,000 crore was from railway and INR 2,500 crore from non-railway, which

includes, defense, coal, if we talk of non-railway, majority are from defense and coal.

And few new orders we have got from smart city as well for, there are few orders for state government as well.

Okay. State government. Got it. Second on the Telecom services, EBIT margin, which has come in at 27.5%, and last year also Q2 had a very high EBIT margin, and over a period it normalized. So, is there any seasonality in the Q2 which makes this margin go up, or do you think the margins at the higher level can be sustained in FY23? So, for the full year, how should we look at Telecom services margin?

Telecom services margin, this is a seasonality because of our invoicing pattern, because somewhere it is annual, somewhere it is quarterly. So, I agree with you, this is seasonality. But otherwise, overall Telecom margin has always been 30 plus percent EBITDA margin.

So, how should we look for this entire year FY23 in this backdrop? We will be able to make 25%?

This will continue to be there on an average on annual basis.

Okay. So, we'll continue to do 27%, 27.5% kind of EBIT margin.

Yes. (EBITDA margin-not audible)

Okay. Great. Second on this project margin. Sir, did tell in the opening remark that we had certain challenges and hence margins were lower for this quarter. Can you help us understand what were the challenges? One we called out last quarter, was a difference project. I thought we said that that is over. Is there any other challenge that we are looking at the margins?

Chipset is getting marginalized by and by, but still, challenges continue to be there. But we hope that by Q4 this year we'll be substantially comfortable, I would say.

So, we'll go back to the 7%, 8% EBIT margin again in the Q4?

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RAILTEL

Sanjai Kumar:
Sanjesh Jain:
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Moderator:

V. Subramanian:

Sanjai Kumar: Rai!Tel Corporation Limited

November 14, 2022

Yes. There are certain abrasions, if you see at quarterly results, Q2 sometimes expenditure getting booked in a quarter and corresponding revenues coming in some other quarter because of milestone achievement and all that. So that might give some aberrated results. But overall, an annual basis, since we are a small company of a number, even a smaller difference makes numbers on quarterly is a small period of a quarter. It sometimes gives not the true picture.

Got it. Sir, my next question is on the tenders, which we were supposed to close. One was COD, the second was RON, three is Tower and Edge Data Center. Can you help us understand where are in the process for all these 4 project, in terms of issuing the tender?

COD, we are getting engaged with the consultant. So, that we can reassess the monetization potential. Post launch of like popularity of OTT, the COD seems to be now bundled with the different kind of potential. So, for that, we are engaging with the consultant. RON, the proposal is under final stage of evaluation. So, we might be maybe in quarter 3 we might be coming with the results from RON. Tower tender is also --is already floated and we may be getting this also submitted somewhere in this month or maybe maximum first week of December . And at Data Center also the same thing.

Okay. One last question from my side. Last quarter we gave a guidance of 20% revenue growth and 20% EBITDA growth for FY23. In first half, I think revenue, we are there about, but in terms of EBITDA growth, there is a significant gap. Do you think achieving this 20% EBITDA this year will be challenging? And how should one look at for FY24 as such?

I don't see any challenge in maintaining EBITDA growth.

Of 20%?

And for maintaining that we are actually now adding to our portfolio some consultancy projects also where execution is not with us, but we would be consulting our purchaser, customer on basically on execution of their project by some third party. And we will be helping them in DPR

preparation, finalizing their tender and all. So those kind of projects will help us in sustaining EBITDA margin, EBITDA growth.

The next question is from the line of Venkatesh Subramanian from Logic Tree Investment Advisors Pvt. Ltd., please go ahead.

I have two questions , sir. First question is on the Data Center business, during our past interactions , you mentioned that this is a big area of opportunity. So, could you throw some light if there are any updates on that? And I'm trying to figure out if Data Center business on its own, how significant can this be to our business, let's say over the next two, three years? And second is on the, KA YACH anti-collision projects. I know that it's a little bit of a time away. Is there an update? And if you could just throw some light on that?

So, if you talk of Data Center business first, there are two aspects to it. One is Data Center services being provided by Rai!Tel itself. That would be one. And the other would be we help our customers building their data centers. So that comes as a project business to us. And yes, so Data Center of Rai!Tel its own, there is growth and we are coming up with another partnership model with the investment coming from private industry, while we plan to set up around 100 plus edge data centers close to the users. So, from there we expect good revenue numbers are expected to come. We are expecting bids to be submitted somewhere around early next month, as I told you, during --while I was answering the question from the last investor.

The second would be the Data Center business, data center establishment for the customers. So, there is traction on this part also, which is coming as a project business. So, we see good amount of business revenues coming from both the streams. And there is huge demand in data center requirements, from government organizations, including PSGs.

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RAI!TEL

V. Subramanian:

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Viraj Mithani:

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Viraj Mithani:

Sanjai Kumar: Rai!Tel Corporation Limited

November 14, 2022

Any numbers, sir, which is like, I'm asking, especially on the second part, where you work in tandem with private people who want to use RailTel's, capability, size of the opportunity. Just for example, can say the data center be a INR 500 crore or a INR 1,000 crore business, say over the next few years? Something like that, some sort of color on it

So, this first year, see, first year will be in setting up of like maybe six months or so, will be in setting up of data centers in those areas because mostly these are the Tier 2 and Tier 3 towns.

So, certainly it'll take some time, big time because you need power connections, you need other environmental things to be in place, including infrastructure, passive infrastructure to be in place. Post that, will be 2024, financial 2024, we may be having, as a shared, we may be having somewhere around a revenue of to begin with 50 Cr or something. But this will grow fast because your OTT players and even the big port, like Google, Facebook, they are also willing to come close to the customer so that the user experience increases. They want to set up their content boxes close to the users. So that kind of growth we are seeing and we are very small part of this industry. Data center requirement in the industry is going at phenomenal rate.

Certainly, we will have a niche by and we are sure that we will get that.

Second on KAY ACH. So, KAY ACH few tenders were floated recently, and RailTel chose not to participate in those tenders. The reason being the KAY ACH as a product, is still not mature and the OEMs are also still basically in the POC stage. So we are, basically, looking at good partner with a maturing product and there is huge opportunity, roughly not less than, this KAY ACH opportunity itself is around INR 30,000 crore PAN Indi

a. And we are sure that we

will have our own pie and we have started making a strategy for the same.

Okay. So, but KA V ACH, for us to have a realistic idea on the project details and where probably next financial year would be the right time to talk about it, sir?

Yes.

Sir, supplementary question on carrying on from what Sanjesh said, you had guided for 20% growth. If we take say three-year view '24, '25, '26, is it reasonable to expect a 20% CAGR based on your internal blueprint, can investors expect?

I see no challenge .

The next question is from the line of Yi raj Mithani from Jupiter Finance. Please go ahead.

My question is on recent this thing with, NMDC we had done some sort of order from NMDC.

Could you explain the kind of order we have got and what are the further possibilities of this order would be in future for other PSU as well?

Yes. NMDC we have a very broad kind of MOU, so we likely to play three types of roles with them. One would be we may be providing consultancy in many of their IT applications, implementation. The other could be we ourselves executing projects for them. And the third would be providing services in the same because there are many mining sites which needs to be connected for them. So, there'll be digital transformation objective of NMDC, where Rai!Tel would be fitting in from both angles. As far as the numbers is concerned this year, I would say this year or maybe early next year, we should be getting somewhere around INR 200 crore value of business from them.

And so, what are the margins would be in this kind of businesses we have?

See Project business margins are somewhere around 8% to 10%, I still maintain the same number.

EBITDA margins, right?

Yes. For project.

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RAILTEL

Viraj Mithani:

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Moderator:

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Sanjai Kumar: Rai/Tel Corporation limited

November 14, 2022

And sir, how big this --is this fully incremental size, like say INR 200 crore can become INR 300 crore next year, INR 400 crore after 3, 4 years?

Yes. Certainly, NMDC is a kind of organization is, they have lot of requirement and the digital transformation is the only way for such kind of organization to remain in the business. RailTel will be helping them and the numbers would be growing.

And is it applicable for other pieces as well, like the GMDC, Coal India, we have got any feeders from that as well? If you can give some color on.

Yes. We are approaching other PSUs also, but nothing in the visibility, but we are already there with coal doing similar, basically providing similar services and doing similar projects for them.

My last question is what will be our cash, our own cash on the books would be?

Our mentioned cash would be somewhere around -my director finance will tell the number.

So, presently it is somewhere around INR 470 crore.

The next question is from Dixit Doshi from Whitestone Financial Advisors. Please go ahead.

I have three questions. Firstly, on the RD project. So, you mentioned that, we have already received the bids last quarter and it's under final evaluation, and you may announce the winner this quarter. So, is it fair to assume that the, -so it a 10-year stage payments, we would be getting. So, is it fair to assume that from FY24 onwards we will start getting the stage payments?

Yes.

Okay. My second question is on the project execution -Project business. So, what kind of execution we expect this year and next year given we have almost INR 4 500 crore order work?

So, this year if see execution, we would be doing somewhere around INR 1000 crore, whole FY23. And next year, certainly it'll be in the range of INR 1500 crore also.

Okay. And last question is on the KA VACH. o, you mentioned that we'll be looking for partnerships. o. just for m. unde-rstanding, so Lhere a

re only three OEMs approved b the

railway, HBL Power, Femex and one more. So, we will -we must be partnering with them.

So what basically service we will give and because they are the equipment manufacturers, so what service we will provide to them?

KA VACH as project has many elements in this and these three are already RDSO approved, but a few others, they have also applied, they are like for, RDSO approval. And if we talk off elements, one is the KA VACH, the other is LTE also needs to be basically installed all along the class to make this happen and RailTel having already existing optical fiber network along that thread. So RailTel becomes the default communication provider for be it LTE or KA VACH because train radio communication has to happen. So, for that purpose, we see that RailTel is positioned at the most suitable integrator for this project. And that's why we are sure that once the project is the -the product is getting matured, we will be the natural service provider for installing this, for executing this project.

And these three agencies are -these three OEMs are already executing the orders. So, currently they must be having partnership with someone else?

No, just a minute. These tenders are under award, right? So, execution, I don't think is yet started. So once this execution starts, they will require communication needs. Those will certainly come from RailTel. Nobody else is going to provide. And yes, so that part of .. co1t1;?e RailTel, none other than RailTel is going to play.

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RAILTel

Dixit Doshi:

Sanjai Kumar:

Moderator:

Pratap Maliwal:

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Moderator:

Niraj Kamtekar:

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Sanjai Kumar: Rai!Tel Corporation Limited

November 14, 2022

Okay. And when you say that it's a INR 30,000 crore INR 40,000 crore opportunity KAV ACH, so how much would be our addressable market?

I see somewhere around minimum 25% of this market coming to RailTel. In addition to those communication needs also. That is going to come from RailTel only.

The next question is from the line of Pratap Maliwal from Mount Infra Finance Private Limited. Please go ahead.

So, regarding the Projects business, as you said, we are expecting about INR 1 000 crore of revenue this year. So, in H1, we've done about INR 237 crore till now. So, we'll have to essentially more than double, almost triple the quarterly revenue run rate to reach the INR 1 000 crore mark. So, are we confident of --how confident are we achieving that kind of revenue growth now and then coming to quarter?

We are confident. See this project, generally, this has been seasonality again, Q3 and Q4 we make most of the numbers in projects. And the orders we get Q4, maybe they start getting warming up. And then, Q3, Q4 we get better numbers. So, I'm sure that we'll get this number. Now, the VSS project, I believe we were about to --we were expecting around INR 300 crore for the year. So how much of that revenue have we been booked so far?

No, we have not booked, we will be booking this revenue in mostly in Q4.

The entire INR 300 crore?

This maybe slightly here or there, but yes, close to that.

Now, so as you said, the order book breakup, the INR 2,500 crore from mainly defense and co related work. So, in the past, the defense related project was at a 4% margin, I believe. So, is it the same margin profile?

No, actually, you are talking of some specific project where the margin --the margins we see when we see the competition, the kind of intensity of competition, we have to select the margin. In one project I know margin is very less, but otherwise it is maintained in 8% to 10%.

Okay. And just on the Rail Wire business, could you please give us an update on the subscriber number and the ARPU that we have so far?

ARPU i

s almost there itself, INR 550 to INR 600 and numbers we are now 5 lakh and we expect to reach 6 lakh by the end of this financial year.

The next question is from the line of Niraj Kamtekar from Prospero Tree. Please go ahead.

Sir, what is the ECL provision for Q1 and Q2?

ECL provision for Q1 was INR 9 crore and Q2 is INR 8 crore.

INR 9 crore and INR 8 crore?

Yes.

Okay. And why there is non-linearity in Project business?

See, Project business, non-linearity is a very natural thing because the project execution is not happening in single sector. And the type of project is also different. Somewhere it is signaling project, somewhere it is IT, somewhere it is application and the supply chain of every sector is different. So sometimes it seems to be visible as a non-linear, but overall basis if you annual level, if you see at the end of the Q4, you will find that.

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Moderator:

Subrata Sarkar:

Sanjai Kumar:

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Sanjai Kumar:

Subrata Sarkar: Sir, actually I'm talking about margin. Project margin business. Rai/Tel Corporation Limited

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Margin business, I don't think there is non-linearity. Depending upon competition, we have to choose margins. Sometimes it is 15% also, sometimes it is 8%, sometimes it's 6%. And we have gone up to even 4% also in one project, which is with somebody as some last speaker also

spoke about. So non-linearity in margins, depending upon the --it is driven by the competition.

Okay. So, from Q4 onwards we are expecting 7% to 8% margin, right, from Project?

On an average. All projects put together.

Okay. And what is the current status of COD?

COD, I already updated that COD, we are reassessing the monetization potential, and we are engaging with the consultant in that.

Okay. And when will we recognize the RDN revenue?

From next financial year. Once we analyze the partner, this quarter, present quarter, then next one usually we might get.

Thank you. The next question is from the line of Subrata Sarkar from Mount Intra Finance.

Please go ahead.

So, I have one small question regarding like, I want some color on your future project, basically. So, if you help us on a qualitative aspect to understand like which of the area projects, particularly non-rail projects that we are targeting and like what is our advantage, viz-a-viz other players in that particular area? And like for this year, we know we have already, like now, currently we have INR 4,500 crore of revenue there. So, can you tell me like which area we are targeting these new projects from here onwards? And any expected clients who can be big clients from our respect? And are we only targeting government PSU or we are targeting private player also in non-rail business?

Yes, so first the factors you're talking about, we already are present in coal, defense, railway off course, is there, so I'm not talking about railway. And then, banking also. Now we are entering into smart city projects also, and we expect a good number to come in terms of order value.

This financial year, maybe revenue may not come. So, smart city projects we are targeting in addition to coal, defense, banking, education, health, we are already present in. Education, and health, don't give big numbers, but they have very good potential because these are, these being, state subjects. So, we need to go every state. And we are taking, now projects for state wide networks also, SWAN, because most of the SWAN projects have completed their life and they are on the renewal. These would be the potential area we are targeting. In addition to, of course, railways and PSUs.

When you talk of private segment, so we are not very much into private B2B business per se, but there are big four companies who are always our customers and they have been giving a good amount of numb

ers in terms of revenue. But otherwise, other than, B2C, RailWire is also there, but B2B not many.

Okay. No, I'm talking only about the project part of the business, like in Railways and other services, I know.

Project business, no.

Okay. And in case of like Project business for PSU, like generally whom do we compete? We compete other PSU or there are private players also with whom we compete, ·

Project segment, project part of the business?

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Moderator:

V. Subramanian: Rai/Tel Corporation Limited

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We are competing with the private sector also. Somewhere, Airtel kind of companies are there, somewhere other system indicators are also there, even L&T kind of companies are there in competition with us. On top of PGCIL, ITI, if you talk of PSUs, so, PGCIL is there, ITI is there .. These are the companies in PSU.

Okay. And sir, just a small clarification, particularly while bidding for PSU, while competing in PSU businesses, being PSU, do we have some advantage or some kind of like, there is some minimum guarantee or something, viz-a-viz, private player, particularly?

See, there is --we are Indian, so there is a psyche that in government PSU they rely more, our government customers as well as, PSU also. So that is from the purchaser point of view. And from supplier or service provider point of view, we also sure that our money is safe. Maybe it is delayed in some, yes. So, that is one.

And if we talk of railways, we have you know, we have, already an advantage that we only provide all the telecom services to railways. So that kind of --we though having around 62,000 kilometers of optical fiber network, but it is completely being managed as a private network. So many times, other CPSEs, approach us so because of this reason we are having our own private cloud also, we connect to these PSUs like coal mine. If you take off coal industry, we have kind of created completely private network for them because it is being managed on along the railway track and then we are developing some last mile network for them. These are few reasons.

Perfect. Sir, just last question on the Railway side. We are sticking to the guidance or like expected customer by this year end, which we have projected like 7 million to 8 million?

We are targeting to meet a number of 6 lakh subscribers by the year end.

Okay. We are targeting to meet 6 lakh. And we are confident of achieving that?

Yes, there is the competition among --amidst competition we --though there will be challenges, but I'm sure that we will be achieving this number.

The next question is from the line of Dhanil Shah from Investec. Please go ahead.

Just wanted a breakup of Telecom services from NLD, ISP and IP, if you can provide?

So, ISP, if you talk about, H1 this year we are around INR 189 crore with the growth of 13% year on year. IP-I INR 109 crore with growth of 6% and NLD revenue being INR 268 crore, with the year-on-year growth of 20%.

I just wanted to understand, going forward in the Projects business, just wanted to understand the margin mix. Like y'all had a lower defense margin project around 4% in the previous two quarter. Going forward with the INR 2,500 crore what kind of mix are you accepting?

So, let me first clarify that all defense projects are not 4%. There is one project which we had to go a little lower due to the competition we anticipated. So, not all defense projects are 4%, first. Generally, on an average our margin is in the range of 8% to 10%, but the margins are in the range of 15% also in few projects. So, there's a mix through which we are able to reach the number of 8% to 10%. Like railway projects, we have 10% margin, generally.

The next question is from the line of Venkatesh Subra

manian from Logic Tree Investment

Advisors Private Limited. Please go ahead.

So, a follow-on question, sir. Earlier in the call, you had mentioned about taking up consultancy projects, and as I understand, sir, if I look at the company profile, you are broadly classifying it into two revenue categories, telecom and projects. So, consultancy seems to be, from your language, I could understand that seems to be a big potential area. And can you kind of give us an idea of what kind of opportunity size? So, what I'm actually trying to say is...

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Vishal Periwal:

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visualize my mind, say three years down the line, where would RailTel's revenues come from?

Will it be projects, would be something significant? Will it be consultancy? Then you have video on demand, then you have RDN, then probably KA VACH. So broadly, if you can just focus on consultancy as an angle, because I think that's a very interesting segment to be in with high margins.

And second question, when you talked about KA VACH, you said you will work with other service providers and address --have a partnership model, and apart from that, you will also have revenues flowing in from addressing the communication needs. Can you --what kind of revenue potential does that translate into, sir, say when, once it's fully implemented?

So, first let me talk about the revenue stream factor, sectorial revenue, the reason would be.

Like, one is telecom, of course, will continue to be there. Project business would be there.

Consultancy, yes, as you had rightly mentioned, that it is large, huge scope. So many times, like we have now developed our expertise in setting up data centers. So many times, customer says no, we want to set up their own --they want to set up their own data center. So, we can provide that kind of consultancy, prepare a data, prepare a DPR for them, do tendering, and

then maybe carrying out that activity through some other party.

And then another revenue stream would be monetize and potential. We would be monetizing assets or opportunities which are available with the RailTel maybe through its own right of way, along the railway track, like in case of Tower, RDN, even Wi-Fi, which we have done already at 6,000 plus stations. So those kind of monetize and potential also, we are exploring. And I'm sure that we --there'll be a good number coming from monetization revenues, which of course includes RDN and Cod kind of projects.

Now, if we talk of KA V ACH so, KAY ACH is a product. It's not a product, a project. It is basically train to station and train to radio communication kind of project. And signaling would be based in the cabin, train engines cabin, not along the railway track. In this case, KA YACH is only a device, but you need a complete ecosystem to make it operational. You need data center requirements, you need communication, you need radio access networks, you need 5G or 4G, whichever will take this --because this needs to work on Pan Indian basis, Pan Indian railway basis. So that kind of ecosystem --KA YACH is the name, because it's make India product. So, it is more popular among the media, even in the railway. But Rai!Tel being the only communication service provider along the track, that kind --that revenue, of course, will come to us. There's nobody else present in that segment.

Then setting up of towers along the railway tracks. We have already initiated, so that thing will again accrue to us, will revenue to us. In addition to that, with those towers, we will earn revenue from other telcos also, that would be basically, monetizing the opportunity from those towers. So that is the kind of opportunity we are expecting. And as they told you over next 5 to 10 years, maybe 5 years if we talk off, it should bring around, roughly around INR 5,000 crore of r

evenue from the signaling projects, signaling modernization, projects, including KA V ACH off course.

Okay. And one quick question, on FY23, any kind of guidance on revenues, top line, broad numbers, won't hold you to it?

We can expect 20% growth, which I have already shared with you. So, we are going by the guidance of 20% and I'm sure we will be at least achieving this growth.

The next question_ is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

A couple of clarification. In Rai!Wire, what is our subscriber base currently? I just missed on that.

So, we are close to 5 lakh. We are not yet, but we will be achieving maybe this week

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Sanjai Kumar: Rai/Tel Corporation Limited

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And can you also give a break'l..lp of project revenue that this quarter revenue in Railway and Non-railway segments?

Project revenue?

Yes, sir.

So, project revenue, this first half yearly results, railway revenue was not much. It was INR 43 crore out of INR 237 crore, and non-railway is INR 194 crore.

This is first half?

This is yes, first half

Okay. And just a clarification. You mentioned that consultancy could bump up the margins, I mean, like you are taking up the project. So, these are the orders, I mean, like you will be working more as a subcontractor to someone who has already got the order, is the right understanding?

No. Consultancy, we would be fixing the executing agency, helping, basically executing these

projects for the customer. Like, somebody doesn't know --they don't have any know how in IT. So, we provide them that know how, help them making their tender, choosing their executing agency. So sometimes they say, no, we cannot see. There is a nomination kind of thing we used to hear earlier, RailTel was also getting a sizable number of business from PSUs and government or nomination basis. But nowadays it is not the case. So, then they say, okay, we will give you the consultancy, you make this project and decide the agency, and then discover the price and then that agency will execute. So those kind of projects fall under the consultancy business. But then is no expenditure from RailTel side. So, it'll of course, give us much better margin.

Okay. But this will be typical project work that we do. We'll get an order, we'll execute it?

Yes. So, there we bid as if one of these system integrators, we are also one of them, and then we take the order and then we execute it maybe through our partner, but then that revenue accrues to RailTel directly.

Okay. No, but then, in this consultancy, but how big is this opportunity will be? I mean, any number that you'd like to share?

We are exploring this opportunity and we have got a couple of breakthroughs in this.

Right. And then lasting from my side, on KAVACH. You did briefly mention. I mean, like, you know though, there are a couple of OEMs who will be executing --I mean, couple of people OEM had been appointed. And but yes, on a months it is up and running for day to day working since optic fiber lines are next -we are closer to it, we are owning it. So, we'll get an opportunity. And the INR 5,000 crore revenue for the next 10 years, it is for the full line, the full KA V ACH is integrated on Pan India basis?

It is not only KA V ACH. There will be other signaling modernization projects also, because see KA V ACH first will be coming on high density route, but there are modernization of signaling projects coming on other route also, like automatic signaling, electronic interlocking. There are many routes where these stations are still equipped with mechanical signaling or lower standard signaling. So those projects are also there. For LTE or 5G kind

of communication

network required for all these signaling projects to work.

Okay. And this work, which you're mentioning, is it parallel to the KA V ACH?

They are, in addition to KA V ACH, not parallel. All put together are complimentary to the modern signaling system. Part of the elements of the modern signaling system.

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Moderator:

Viraj Mithani:

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Moderator:

Yash Saraf:

Sanjai Kumar:

Yash Saraf: Rai/Tel Corporation Limited

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The next question is from the line of Viraj Mithani from Jupiter Finance. Please go ahead.

I would like to --can you give me some color, when you talked about smart city project, health project, like what kind of work we'll be doing there? If you can give some color on that, maybe in margins from that business.

Smart city projects would be, basically projects, for the smart management of the city basically kind of maybe CCTV and other applications, including surveillance, of course. So those are the projects. They have been there; I think maybe aware of smart city projects. Few of the projects are already operational, like Pune it is still already under as traffic management. And then, traffic diversion and all those kind of things. Maybe their disaster management part of the smart city management. And the margins we take care of margins within the same range, we take basically 8% to 10% only.

And on the health, like I understand we had done some small project on, railway hospital projects. So, are you talking about monetizing those kind of --such we have in our organization

of doing some railway hospital management project, when you refer to the health?

Railway hospital management project is already executed. Now we are eyeing similar projects to basically execute, take to state governments also. So like Karnataka, we have already done one POC. Many of the AMS we have approached. We are in touch with A VDM also, this central government health department as well.

That will be, I understand, be high margin business, right?

I won't say high margin, but yes, because see, we are not developing the application, ourselves for this. We have to depend on somebody else for the application part. So, the margins of course will be shared with them. So, it's not high margin. But again, execution, we target that, we remain in the same range 8% to 10%.

So, would they be using our cloud or something where we'll be getting some revenue? Like if you can give some color what point of?

Yes, even data center also, not only connectivity, data center put together with connectivity, so that becomes cloud.

Okay. And when the Cod revenues are expected to come, probably next quarter, the second half, or first half the quarter, or maybe after that?

Cod, I will not be commenting right now because we are reassessing the monetizing potential, monetization potential.

But RDN will come from the next first quarter and we should assume that, is it correct?

Yes, we're participating from next financial year onwards, because we are likely to close this quarter. Q3.

Ladies and gentlemen we will be taking the last question that is from the line of you Yash Sarav, an individual investor. Please go ahead.

So, under project work services, what kind of services is RailTel providing and to whom?

You're talking of surveillance?

Project work services, under the revenue scheme, there are two verticals. Telecom services and project work services. So, under project work services. So, I wanted to know what kind of services is RailTel providing and to whom?

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Sanjai Kumar:

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Okay. So, see there are in project segment, project sector, we are providing services to many government organizations, PSUs including r

ailways, coal, defense, banking then, so the kind of services we are providing, we are executing their IT application projects or even brick and mortar projects.

Like for railways, we are doing signaling execution project For coal, we are providing VPN project We are executing VPN projects. We are setting up their data centers for air force also, we are setting up data centers. So, these are the kind of projects we are doing with these customers. And sometimes we are doing AMC also for their existing establishment, like, NOP, or maybe their network.

Ladies and gentlemen, that was the last question on behalf of RailTel Corporation. That concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Feb 2023

RailTel/Sectt/21/SE/S-16 Date: February 08, 2023

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Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Outcome of Analyst/Investor Conference Call held on Thursday, 2nd February, 2023 - Transcript.

Ref: Our Letter of Even no. dated 31st January, 2023 and 2nd February, 2023.

Dear Sir/Madam,

In reference to our previous communication dated 31st January, 2023 and 2nd February, 2023 regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the Analyst/Investor Conference Call held on Thursday, 2nd February, 2023, organised by M/s. IDBI Capital Markets & Securities Limited.

2. This is submitted for your information and record.

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RailTel Corporation of India Ltd. (A Government of India Undertaking)

CIN : L64202DL2000GOI107905 ~

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"RailTel Corporation of India Limited

Q3 FY '23 Earnings Conference Call"

February 02, 2023

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MANAGEMENT: MR. SANJAI KUMAR -CHAIRMAN AND MANAGING
DIRECTOR, OPERATIONS AND MARKET MAINTENANCE

-RAIL TEL CORPORATION OF INDIA LIMITED
MR. RAMA MANOHAR RAO -DIRECTOR FINANCE
MODERATOR: MR. VISHALPERIWAL-IDBICAPITAL
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RATLJEL

Moderator:

Vishal Periwal:

Management: Railtel Corporation Of India limited

February 02, 2023

Ladies and gentlemen, good day, and welcome to the RailTel Corporation Q3 FY '23 Post Results Earnings Conference Call hosted by IDBI Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal. Thank you, and over to you, sir.

Yes. Good afternoon, everyone, and thank you, Melissa. I think, first of all, apologies for the slight delay that has been there in this earnings call, and we thank you for waiting by for this call. Now I'd like to welcome the management from the RailTel team. We have Shri Sanjai Kumarji, who is CMD and Director, Operations and Maintenance. And then we have Shri V Rama Manohar Raoji, who is the Director of Finance. And next Shri Rakesh Ranjanji who is the Director of Network Planning and Marketing. And as usual, we'll have a brief overview from the management on the gone by quarter, and then we'll have the lines open for everyone to ask their query. Yes. Thank you, sir, and over to you.

Thank you, Vishal. A very good afternoon to all -and I also would like to submit my apology for a slight delay, and thank you for waiting for management to join. Mr. Rakesh Ranjan, incidentally is not available, Director network planning and marketing. That's one information I want to share wi

th you. It gives me great pleasure to interact with you on the company's performance in the backdrop of Q3 results of the company with limited review by statutory auditor, which was declared by the company on 31st January 2023.

I'm happy to share with you that the company has declared interim dividend of INR 1.50 per share, which is 15% of the face value of the share. The company achieved consolidated operating revenue of INR 454 crores for Q3 as against INR 429 crores in the Q2 of FY '22-'23 registering the Q-o-Q growth of 6%. Consolidated income from operations for 9-month period ending 31st December 2022, stood at INR 1,260 crores against INR 1,083 crores in the corresponding period of previous year, registering an increase of 16% year-on-year basis.

RailTel posted profit before tax of INR 43 crores during Q3 of financial year of 2022-23. Profit after tax for Q3 stood at INR 32 crores. Our core EBITDA for Q3 stood at INR 72 crores against INR 70 crores in the corresponding period of last year, which clearly shows that our profitability in telecom business and project business remains intact with the reduction in profit mainly is due to expected credit loss provisions as per our accounting policy. Telecom business contributed turnover of INR 287 crores and project business contributed of INR 167 crores this quarter.

Despite steep competition in the telecom market, RailTel has been consistently making profit and growing year-on-year with good margin. In 2023, while we will continue to focus on solidifying our strong footholds in telecom, we will also focus on diversifying into new areas like railway, postal, banking and defence, etc.

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Railtel Corporation Of India Limited

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exploring new ones like health, education, urban development and so. We are making continuous endeavour to enter into new sectors with artificial intelligence, IoT and other technologies with based new products and services, in addition to our existing products and services. which can help our customers become more efficient and gain competitive advantage.

In this line, RailTel has recently successfully executed automation projects for examination bodies like National Test Agency, NTA by providing ADHAAR-based biometric services for impersonation control of candidates and got order from Haryana Government, Navodaya Vidyalaya and JEE mains for credential checking of aspirants. We are in discussion with more potential customers for bigger projects for this line of business. Cyber security, we have identified as a new potential area where we have started strategizing to make our business case. RailTel has recently received a work order for design, development, supply, install, test and commission and O&M for five years for integrated command control center and associated

activities for Puducherry city. And recently, yesterday only, we have bagged another big ticket order from State Bank of India. The company is actively working towards successful execution of video surveillance system of Indian Railways project with finalization of contracts and major part of Nirbhaya work under this project is likely to be completed during the current financial year.

We are continuously striving to partner and handhold our customers in their digital transformation journey. We understand the need for network upgradation, hence we are heavily investing in network expansion and upgradation. We are focusing on developing assets and have initiated process for setting up of 100 edge data centers in various Tier 2, Tier 3 cities and 5,000 tower infra in various railway premises to PPP mode. We are also working on asset monetization and have initiated process for monetizing our station Wi-Fi project, which is spread across 6,108 railway stations along with partner consortium.

This is going to generate good revenue for us by monetizing through targeted advertisement and extending multimedia

infotainment services for railway passengers. We intend to play a significant role in modernizing train control to execution of coverage and implementing LTE based high speed mobile communication corridor for Indian railways. To expand our reach beyond border, we are also exploring international markets also in the areas where we gain expertise in domestic market. In these directions, we are already working to find partners and strategic joint ventures.

With the launch of 5G technology, India has entered into new era of modern communication. RailTel aims to leverage 5G technology in providing better services. Our infrastructure shall be an enabler in proliferation of 5G for voice and data for the users. RailTel is considering to set up more towers in partnership with industry along with its optical fiber backbone to enable 5G rollout. For our railway subscribers, we are continuously innovating and adding value to services by way of bundling and access to our station Wi-Fi hotspots.

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RAILTEL

Moderator:

Management:

Moderator:

Viraj Mithani:

Management:

Viraj Mithani:

Management:

Viraj Mithani: Railtel Corporation Of India Limited

February 02, 2023

With a robust order book position and continued participation in high ticket tenders, we are confident about continuing the momentum of profit and growth in future. The management humbly acknowledges the trust reposed by the investors in the company and would like to assure you that the company is and will continue to strive to achieve new benchmarks in the current financial year and in the years to come. Thank you all.

So would you like to begin with the question-and-answer session.

Yes, sure.

Thank you --ladies and gentlemen, we will now begin the question-and-answer session. Anyone who is a taste telephone. If your questions have been answered and you wish to withdraw yourself from the queue, Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. To ask questions, you may --we have the first question from the line of Viraj Mithani from Jupiter Financial.

Yes. Good evening, sir. My question is about --you talk about 5G rollout in cyber security. So can you expand on what can we do in cyber security? And what kind of work will we do there? And what will be the capital exit required for the 5G order, how would we finance and how will be done?

yes, your first question is on 5G rollout. So we are not rolling out 5G ourselves, but we will play a role as an enabler for the other operators to basically proliferate their 5G availability. So along the railway track, we are already in the process of identifying a partner who will help us in erecting towers, which will be fiberized. And thereby, the mobile operators can roll out their 5G. So our sales are not there. That is one I think you satisfied. So cyber security, we will be providing security operations center as a service, so as a service to many of the government customers.

So would you be partnering with someone because it's a very large field as such, so ...

Yes. This is actually (not audible) that's why I told that we are in the process of identifying various partners for cyber security. Also now cyber securities scope has actually enhanced. Now it is called as cyber-resilience not cyber security. So means you have to be ready, and you also

assume that you are getting --going to get compromised. That is the kind of situation is there in cyber resilience and cyber security. We are still (not audible) there are people who are approaching. Certainly, it is going to be a partner.

Okay. And sir, like regarding 5G, I mean, will we get some sort of a rent with a partnership with railways or something like that on the using of towers No, that would be the business model or would be the business more ...

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RAILTEL

Management:

Viraj Mithani:

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Moderator:

Pratap Maliwal:

Management:

Pratap Maliwal: Railtel Corporation Of India limited

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No. 5G is not our business case per se. We are already there in IP I segment, and we are giving tower colocations, fiber connectivity. Let...

Is to make money in terms of the revenues with sharing with the railways, --is it something like that?

No. See, if we are erecting our own towers, then we are not going to share any revenue with railways. We will be paying only license fee to the railways for the land we'll be using. Our thing is where an existing player where towers are there and along the railway track. We are sharing revenue with railways. Okay. So the ...

Capex should be done by railtel. Is that correct to think?

Railtel or its partner ..

Okay. Okay. Sir, my next question is about RDN and COD. Can you give us a status on that?

Like what --where are we right now on those?

See RDN and COD are the long-term business proposition. And we recently had some experience in COD. So after that, there are still some challenges, which we are still deliberating. So we are yet to finalize RDN, which is already opened. We could not evaluate it and finalize these things. We hope to get something in this quarter. And COD, we will decide afterwards this RDN has decided ...

Okay.

Participants, if you have a question, you may let me know --we have the next question from the line of Pratap Maliwal from Mount Intra Finance.

Congrats on the recent order. I just wanted to start with some data points regarding our railwire offering. What are the number of subscribers on the average revenue per user as of Q3 now?

Yes. So regarding rail wire, I would like to give you a slight background. Recently, in fiber-to-the-home segment of broadband, there has been movement, dynamic changes coming up like IPTV and OTT kind of elements also getting bundled with the broadband connections. So in that kind of backdrop, we are also realigning our strategy and trying to compete in the market, yes, there is a lot of competition in this market. So we are also finding it difficult to increase the number of subscribers. We are retaining them at least. So we are in the final stages of strategy so that we can increase the numbers. As far as the ARPU is concerned, we are maintaining the ARPU in the range of INR 550.

Okay. Sure. Now recently, there was an article are that the Ministry of Railways has opened a telecom services to private players, allowing them to install towers on th ,

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Management: Rai/tel Corporation Of India limited

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railways so far this was reserved for railtel. So I just wanted to understand that now the tenders as from my understanding , would be open to private play. So what is the effect on us and can you provide some more detail on this incidentally ...

So first of all, let me answer your first question that telecom services are not opened for say, only infrastructure like right of way along the railway tracks and land or space on the railway stations. These 2 Infra have been open to public, which was neither available to railtel then on an exclusive basis. On this, I would say that railtel being in favorable position because we have been there, and we are already a railway company. So we command an upper hand, and we are sure that we'll continue to maintain as far as railway this optical fiber network on the railway track, say, 67,000 kilometers of network.

It's not so easy to lay cable along this track and maintain for this large amount of length in any short time given. That is one. Now come to the space on the railway station. Again, you have to basically coordinate with the divisions & zonal railways headqua

rters. So one has to actually

approach this divisional headquarters for getting these permissions to get the land space and so on. I am of the opinion that RailTel will be still will be the basically major players in this sector continue to be. I'm not saying that the private players will not come, but railtel will continue to play a major role for towers and all...

Okay. Sure. Now regarding our project revenues out of our INR 167 crores, what was the contribution of our railway out of the INR 167 crores of project revenue ...

Railway project out of this was not much. Most of it was non-railway project around 155.

So sir, regarding the execution ..

Projects of railways, we are executing. And this quarter onwards, the results would be adding to the our top line.

Okay. Sure. Now just regarding the railway demand in budget documents. So there are many heads of the railways regarding railway capex. So could you please tell the amount actually related to railtel. so we can understand how the financing from the government would be.

It has nothing to do with financing from Ministry of Railways or any other government. We are sustaining our projects ourselves. We are not taking any subsidy or anything from Ministry ... Railway projects that they'll be doing that we apply for that we carry out. So in which heads of capex for the railways do we fall into so we can get an idea of that?

Actually, There are many projects wherein, RailTel will have like signaling projects would be there, telecom, this L TE project would be there and then kowach would be

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RAILTEL

Pratap Maliwal:

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Pratap Maliwal:

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Swechha Jain:

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Swechha Jain: Railtel Corporation Of India Limited

February 02, 2023

to basically compete with private sector and win these tenders, and then only we get the business. There's no nomination now.

Okay, sir. And just one last thing from my side. The project revenues in 9 months of FY '23 were about INR 404 crores versus INR 339 crore in 9 months of FY '22. Now the project expenses have increased from INR 302 crores to INR 382 crores. So the increase in expenses is more than the increase in the revenue from projects. So what is going on in this particular area? Can I...

Yes. So actually, there are few projects wherein we don't have our own presence. So there, we'll have to partner with the last mile service providers. So those kind of expenses increase and in projects in a quarter, the second reason is that in a quarter, quarter is a small period wherein you can not actually one-on-one match the expenditure in revenue. So sometimes, it also happens that revenue comes in Q3 and we have spent in Q2. But overall, on annual basis, this gives us better picture, I would say.

Okay, sir.

Participants. If you have a question, -the next question is from the line of Swechha Jain from AMS Wealth.

Thanks For giving this opportunity to me. Sir, my first question is regarding the RDN like you answered to the previous participant that we are likely to announce the winner in Q4. But sir, in last call also, we had mentioned that we would be announcing the winner in Q3 for the audience. So if you could just give some color on it as to how many bids have we received --and I just want to understand --just want to rule out the worst-case scenario, like if it happened in COD where we had to go back to the ministry and reconsider the RFP: So do you think something like this can also happen in RDN?

See, this would be premature to say anything on this subject because number of participants, we cannot declare due to confidentiality. But I can say despite that we are since this being a 10 year project, we are basically studying each and every aspect of it, given the experience in the case of COD ..

Okay. But it won't happen like we have to go back, right? Do you think --I mean, is there a possibility of ...

I'm not in position to sa

y that.

Okay. Sir, also, I wanted to understand the telecom margins are quite fluctuating, like sometimes it's 25% to 27%, sometimes it's 20%. So one, I wanted to understand why there is so much of fluctuation in the telecom margins. And secondly, if you could guide us as to what kind of sustainable margins can we expect in the telecom business?

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RA1LTEL

Management:

Swechha Jain:

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Moderator:

Saurabh Jain:

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Saurabh Jain: Railtel Corporation Of India Limited

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Okay. So our telecom business, I think 20% to 25% margin will continue to be there. I hope it won't be any big factor to affect this number. Now as you already said that these fluctuations are there --and I think you know that project business, we are expanding on project business size. So we are not now considering to grow in terms of percentage only, but we are strategizing to get more volume so that our absolute numbers continue to grow. Because of competition in telecom market also being there, we are now basically concentrating more on volume rather than on a small number of projects.

Right. Okay. And sir, just last question. It's a follow-up to the earlier participant. If you could give us the subscribers of rail wire as on 31st December? And what was the net addition in the subscriber in rail wire in ...

I --in fact, I indicated in answer to the last question also. So there has been not any substantial. I think there was hardly incremental 15,000 to 18,000 subscribers only. But there was there is a continuous switch from one to other, and then we are trying to win them back. And most of it, since we are working both in rural and urban. So urban areas, there is a dynamism means we are not very sure. But rural area, yes, we are still able to penetrate.

Okay. So in last call, actually, we had said that we have close to 5 lakh of subscribers and we expect to reach 6 lakh by FY '23 end. So do you think we can reach that or that will be pushed by like 1 quarter or something?

I think, yes. You say that seems to be correct. It will get closed by one quarter more. And we expect, because now we have almost finalized our strategy and we'll start implementing during this quarter. This will change the market scenario, yes.

We have the next question from the line of Saurabh Jain from Sunidhi Securities.

I have a couple of questions . To begin with, could you please share the number for provision towards ECL? During the quarter and 9M?

We have a provision against ECL of INR 39 crores for nine months including INR 21 crores during this quarter.

INR 21 crores during this quarter.

INR 21 crores during this quarter and total INR 39 crores during nine months.

And this entire amount is included in the other expenses, right?

Yes.

And also, if you can share the number for the revenue from data center and manage hosting during the quarter?

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RAILTEL

Management:

Saurabh Jain:

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Management: Railtel Corporation Of India Limited

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Actually data center, if you talk of data center alone, there will be around so nine months, it has been INR 38 crores.

And one last bookkeeping question. Any pending impairment of CWIP from the Northeast project?

No, not in this quarter.

Anything which we should expect going forward? Is there any remaining amount, which needs to be enter?

We are pursuing with the government to basically bring it back, but I'm not sure whether it will be. But we have started pursuing USOF .

Coming to my main question, sir, during last couple of con calls and in our video interaction, we have been very optimistic on execution on the project either during the third quarter, although as you have mentioned that there was no revenue in the third quarte

r from railways. So if you

can cite the reason for under execution on the project side and what should be the outlook for Q4 in FY '24?

Yes. So on railway side as well as a few of the non-railway projects also. One reason what I see is the continuation of the Ukraine war and the global recession and consequently, the availability of chipset also. Chipset availability due to Ukraine war and the problem continuing in China as well. So we were expecting that the availability of chipset will be better during this year to 2023, but it has not happened. But now it started, we have seen the scenario getting relaxed better. So I hope that during '24, we can pull on these projects. Even in Q4 also, we will get results not getting much affected due to availability of semiconductor chipset.

So if I'm not mistaken, the outlook for the current fiscal was around INR 1,000 crores. So, and we have done nearly INR 400 crores in the first three quarters. So would you like to revise.

Have another INR 400 crores.

And sir, one last question from my side. On the margins front, in one of the earlier con call, we had guided for 27% to 28% on the telecom side and 8.5% on the project side, but the margins have consistently been falling and keeping this ECL provision aside of the EBITDA margin as reported is one of the lowest in last 12, 13 quarters. So what should be the worst case scenario, which we can assume going forward in both the divisions?

See, if you see the project, so till Q2, it was 4% only. But we have already recovered to 7% when we have come to Q3. So I think project margins will be more or less here only. As far as telecom business is concerned, I would revise the guidelines for this thing to 20% to 25% rather than 25%to30%.

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RAILTEL

Saurabh Jain:

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Saurabh Jain:

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Moderator:

Bala Krishna:

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Management: Railtel Corporation Of India Limited

February 02, 2023

22% to 25% and 7%, 8% for the project division, right?

Yes.

So going forward with rising share of project services, the overall EBITDA margin is likely to showcase a downtrend. So do you have any benchmark that we won't do any business below this margin or something like that?

As I said in my question and answer to a previous investor that we are already seeing the competition in project business also. So we are now considering more on volume side so that our absolute numbers grow healthily rather than we concentrate on the particular project margin. Because then we will start losing the business also. So that we don't want to happen. So we are now slightly and slowly changing our strategy that we will not stick to a number and we lose our business.

We have the next question from the line of Bala Murali Krishna, an investor.

I would like to know regarding this Kawach, so any update? Is there any discussions with the OEMs?

See, discussions with the OEM are still not finalized basically not in final stage. As RDSO is also carrying out some type test approvals and all that. So we are still working out and trying to finalize with anyone, There are not many OEMs. Yes.

We have two OEM for which some part of the order was already issued. So in last call, we have discussed that for LTE connectivity, they will come to us. So we need to offer the service. So regarding that I am asking?

That will be apart from this Kawach. So that will be an enabler and they have no option.

And one more thing, sir, in the remarks in the opening remarks, you were talking about the educational sector orders. So in one of our presentation in --in the opening remarks, you were talking about a education sector, order.--in one of our presentation, we have mentioned that we have around a scope of INR 1,000 crores order in this sector. So could you please update us on new order wins in this one?

In the education sector, we have never told INR 1

,000 crores. I don't remember ...

Actually, a few quarters before, you have uploaded one presentation in exchanges

No, that maybe I think you were talking about National knowledge network [inaudible 0:34:00] directly, if you talk of application business, basically, if you talk of application business in education sector, so we have started, we have started making dent in this sector.

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RAILTEL

Bala Krishna:

Management:

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Moderator:

Vishal Periwal:

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Vishal Periwal: Railtel Corporation Of India Limited

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I think it is regarding, getting the JCT Labs (inaudible 0:34: 18] for Bihar and school. ..

No, not yet. Anything, I don't see anything on radar. But we have got a few orders, which are INR 10 crores to INR 15 crores, they are very small. And we are still pursuing with the various purchasers like Navodaya Vidyalaya. even NT A. this National Testing Agency for their Adhar authentication services. These kind of things we are trying, but we have not got any major success per se. Health, we have got few, but education, we are still trying.

One more piece on video surveillance system, what is the status and how much you can expect in this next quarter or next year from railway side? I think I want on Delhi order also from the Delhi police and any order pipeline in this sector?

As far as video surveillance is concerned, so we are expecting that supplies come before Q4, and we are already discussing with our partners, our OEM. Because again, semiconductor chips has been one major issue for the commissioning of video surveillance. Orders are already placed.

And we are still --we have been assured by the partners, OEMs that they'll be able to supply a major chunk of materials so that we can commission major chunk of it --actually major chunk in before March '23. But if you talk of complete projects by next year, this project should be

complete by end of 2024.

In this one, in video surveillance how much you have executed ...

Mr. Murali. Sir, I'm sorry to interrupt, sir, you'll have to come back in the queue. We have participants waiting. Thank you. We have the next question from the line of Vishal Periwal.

Sir, in the revenue side, for the telecom segment, can you give a breakup between NLD, IPI and the third segment?

So NLD in Q3, first INR 142 crores, ISP was INR 94 crores, and IPI was INR 49 crores.

And second, one data point, I mean, in terms of what is the current order book that we have as on 31, December, in project?

So we have the order books, close to INR 5,000 crores, which includes taxes also, of course.

So I think just a clarification. So it's around out INR 5,000, INR 4,000 because last time we have reported it will --any revision in the order?

Around 4,700 crores, I think in one interview, I INR 4,700 crores, inclusive of, of course, tax.

And recently, we have got another order, so we can say it is somewhere close to 5,000.

And next, I think just one question was already there. This opening up of a sector for private entities, the right of way and the space alone. So it is only for the tower side or even the. ptic,

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RAILTEL

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Management: Railtel Corporation Of India Limited

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fiber. which we have 60,000 to 70,000-odd kilometers. So even that can be like a private guys can enter into the space?

Right till now, the railway right of way was not available to anybody else other than the Railtel for laying of Telecommunication cable. But now it is open. But as I told you that it is not a small job to lay optical fiber cables, all along the railway track. There may be instances where they lay 1 or 2 kilometers, 3 kilometers for using the right

of way along the railway track to get into some

other side of the track or maybe accessing some specific area, but I don't think it will be easy for any sector player to develop a complete network of the size of railtel's existing network. So I don't see any challenge in this segment.

And then, earlier sir, we were sharing --I mean, 7% of our revenue, I mean, for the services that we are giving and the usage of the railway siding. So will this change now or it remains the same.

So we have already started discussing with Ministry of Railways on this aspect. So I cannot comment. It will be too premature to say anything on this.

We have the next question from the line of Swechha Jain from AMS Wealth.

I have a couple of follow-up questions. Sir, you said the order book is around INR 5,000 crores. So would you be able to give a split of this into how much is on the railway side and how much is on non-railway side, sir?

So if we talk of railways, there is around 40% and other than the railways is remaining ...

And also, sir, on the project business, I think I kind of missed when you were answering somebody's question, what kind of revenue you were saying like we've done INR 400 crores.

And in Q4, you're saying we'll do another INR 400 crores, is it? Okay. So basically, last quarter, we had guided INR 1,000 crores for FY '23. That we are tapering down to INR 800 crores. And for FY '24, sir, you had given a guidance of INR 1,500 crores. So should we assume FY '24 INR 1,500 crores? Or there is some revision on that also, sir?

See, we'll be, of course, trying to get this number, INR 1,500 crores is still our target. And we'll see the situation basically getting better in semiconductor chip appliance.

And sir, I missed the ECL provision number for this quarter.

That is INR 21 crores, yes.

INR 21 crores for Q3, right?

Yes. And INR 39 crores for 9 months.

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RAILTEL

Swechha Jain:

Moderator:

Hitesh Mahida:

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Management: INR 39 crores for 9 months.Okay Railtel Corporation Of India Limited

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We have the next question from the line of Hitesh Mahida from HDFC Life.

Just a couple of queries. Firstly, I mean, if you can help me understand, you said there has been a heightened competition in the project side. And accordingly, we are just going for volume rather than margins. And despite that we have given 7% to 8% margin guidance. So if you can help me understand, I mean, from which players are we seeing heightened competition?

So the PSU and non-PSU, both kind of competition are there. Like if you talk of non-PSU, there are L&T, HFCL or any other like Tatas, Airtel, Reliance Jio also there. And in PSUs, ITI, TCIL, these are the companies which are there.

But on the railway side, I think we have the Right of first refusal

On railway side?

We have right of first refusal, right?

No, I think. There are a lot of noise coming from your side.

In --on the railway side, we have right of first refusal, right?

No, there is no such right we have.

No, actually I am not on extension, I'm on mobile only maybe some disturbance. And just one last question. I mean, this INR 150 crores project business run rate quarterly. I mean what should we expect it going ahead? I mean should we expect a much higher performance from Q4 onwards?

See, if you see the numbers, the projects coming in during last couple of months, we have got a good amount of new orders also like Pondicherry, NMDC, now State Bank of India. And there are a few tenders. We are declared LI and we are expecting those orders to come so. You can very well assume that we will upgrade our guidelines, guidelines in the project business. And this quarter also, we are expecting 400 kind of number coming in. Other --it was not only competition, but the semiconductor chip supply als

o because we already have orders in our hand,

and we need to deliver them because of the supplies, a few of them are hampered.

So this quarterly run rate, we should expect at least 20%, 25% growth going ahead, say, maybe from next year?

Quarterly, again, I cannot say much. But yes, annual numbers we'll be targeting. Quarterly, I can't say because ...

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RAILTEL

Hitesh Mahida:

Management:

Hitesh Mahida:

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Moderator:

Pratap Maliwal:

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Pratap Maliwal:

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Moderator:

Amit Kumar:

Moderator:

Dhvani Shah:

Management:

Dhvani Shah: We should go ahead at least 20%, 25%?

Yes. On an average, you can say that. Railtel Corporation Of India Limited

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And the execution delays, which have primarily happened because of chip side delays?

Yes, mostly.

But recently, I mean having gone through commentary of some of the larger semiconductor players like Samsung and all, they are too are saying that, there is now the supply is more than demand. So we have not seen anything on the ground level?

See, there are commodities which are --there are different kind of semiconductor list. So there are commodities like routers, transport equipment and high-end equipment, which are generally required by us. So there is still scarcity in that segment, whereas the low-end commodities like switches or even small CPs, I agree with you that the situation has improved.

We have the next question from the line of Pratap Maliwal from Mountain Intra Finance.

I just read the Q4 project revenue going to INR 400 crores is quite interesting. So I just wanted to confirm what would be the vendor's revenues out of it because I think you were supposed to monetize about INR 300 crores in Q4. So what is the --out of the INR 400 crores, what would be the VSS project component?

So we are still eyeing INR 200 crores to INR 250 crores, for against this project

And the balance would be then in Q1? Or would we maybe we get shifted out [Inaudible 0:47:13]?

Yes, next year, we will close it.

We have the next question from the line of Amit Kumar from Determined Investments.

No, I am not.

We'll move to the next question from the line of Dhvani Shah from Investec.

So just wanted to check how much was the ECL provision in Q2 and Q1, you all have given the number to be INR 39 crores for nine months Second thing, let me know the breakup for the previous two quarters? And if there are any write-backs.

Q1 and Q2, you are asking ECL?

Yes.

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RAILTEL

Management:

Dhvani Shah:

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Dhvani Shah:

Moderator:

Amit Kumar:

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Management: Railtel Corporation Of India Limited

February 02, 2023

Let me get these numbers. I just don't remember Okay. So total INR 18 crores is from Q1 and Q2. There is no specifically write-back ..

No write-back. Okay. Perfect. And also, you mentioned that you're change your strategy a little bit by focusing more on volumes in the project business versus in margins. So just wanted to understand what will be the margins for Q4 look like?

They will continue to be in the same range, 7% to 8% for now because this kind of strategy will take time to get implemented. But yes, we are focused on getting absolute growth.

And does that change your guidance for the next year if you're focusing on growth in terms of revenue?

Next year, we will be -we expect to be in the range of 25%, 25%.

We have the next question from the line of Amit Kumar from the Determined Investments.

Thank you so much for the opportunity and apologies earlier. I just wanted to sort of get a sense in your IP business, the rollout of 5G sort of progressing at a fairly fast it at least asteroids not...

Your voice is not clear.

Mr. K,umar, your voice is sounding muffled. --if you could ...

Is this better?

Yes, much better ...

Yes. So I was saying that in the IP 1 business, the rollout of 5G is sort of progressing at a reasonably fast clip now at least 2 out of the 3 operators out there. So are you sort of deriving any benefit from the same in that side of the business? And any sort of guidance for ...

I would rather like not to comment on 5G rollout by the 2 operators. I think we all can experience the same and then find out. So I really don't want to comment on that. But yes, we have not yet benefited from this.

And just a very small sort of follow-up on this Vodafone obviously has had some trouble in paying the service providers. So do you have to any sort of exposure, any sort of receivable on that side?

Vodafone, as far as RailTel is concerned, has been paying continuously and consistently. So we have not big exposure, but whatever number is there, so they have been paying continuously . ---~

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RAILTEL

Amit Kumar:

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Management: Railtel Corporation Of India Limited

February 02, 2023

No, there are no excess receivables like upwards of 90-120 days, there's nothing of that sort.

I wouldn't say 90-120 days. But yes, 1 to 2 months, they are paying.

But one cap. So that was in the benchmark. --just this one with a small financial question. When we look at your segment financials, there is this unallocated expenditure net of income item, which seems to be quite volatile on a quarter-on-quarter basis. I mean I know a year ago, you had some chunky other income, so that's what's driving it. But even when you look at it on a quarter-on-quarter basis, it's quite volatile. Could you just explain what is sort of going on here. Just give me 15 seconds.

So if you look at it in the previous quarter, it was about INR 11.68 crores, and it has gone to just about INR 24.30 crores in this particular quarter. That sort of there is a little bit of volatility in your PBT numbers ...

No, no, no. Actually, no, no, I think if --again, I have been telling this earlier also that I've been telling earlier also that quarter is a very small period for a company --a small company like RailTel. So a very small change in any number actually become --in percentage terms seems to be like last quarter, our growth was high, 115% and then 120% kind of

So I always try to --not to take such small volatility into account. So I don't see any fear in that and because some volatility also comes in due to ECL also. So I would rather avoid commenting on this.

Okay. So actually, I thought the on ...

I don't see any trends.

I could see volatility, if anything, would be captured above the line in the segment project business because obviously, whatever cost that you have would be sort of captured ...

My Director of Finance, will may be able to give some insight.

Talking about volatility, but if you finally see the revenue from operations part, end of December '22, it was INR 454 crores, whereas at the end of September '22, it was INR 429 crores. There is a growth of 6%. And if you compare Q3 performance of '22 and the Q3 performance of '21-'22. We are maintaining our core EBITDA. We are maintaining our core EBITDA.

So that way, operational wise, there is no serious difficulty. But only because of the ECL and other income, there is a fluctuation in quarter 3 of 2022. So that may be the reason, and it might be giving you a feeling to you that there is a huge variation kind of thing. This is what we wanted to make a request you to take note of

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RAILTEL

Moderator:

Hitesh Mahida:

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Hitesh Mahida: Railtel Corporation Of India Limited

February 02, 2023

We have the next question from the line of Hitesh Mahida from HDFC Life.

For the follow-up. I just wanted to know this ECL pr

ovisioning, which we do, is it an actual cash

loss or is just backed by creditors, so we don't actually incur any cash loss.

No cash loss. These are some presumptions, we have made some like --though they are not bad debt at all. There are some formulas on based on which we have worked out the ECL. So like even I invoice today something, a part of it goes to ECL. --yes. So there's no serious loss. There's no serious ...

So if you can explain as I say, maybe if it's been INR 100 crores order, what part goes into ECL on day 1 itself and what goes on ECL after 2 years?

No. Basically, the entire debtor's profile will be analyzed as per the age of tendency. So even within 1 year tendency also, we need to make a provision for the ECL of 4%. So similarly, for between 1 to 2 years, the percentage is slightly higher, and in 2 to 3, this is still higher, 3 to 4 and beyond, it will be still higher. So that gets averaged out. And finally, a figure comes out, which will provide it as a provisioning in this particular quarter.

But that does not mean that we stop our efforts of recovering those debts. Many will be our - many of them are our regular reputed customers, there may be certain internal process on their side, which may be the reason for pendency, etcetera. Once we realize them, the ECL provision gets reversed. So that is what the mechanism is all about...

And do we also be ECL provisioning reversal as and when we recover money has the ramp in the past?

Yes. Yes.

So in 9 months, have you done any reverse?

Last year, we had done. So generally reversals come in the last quarter because last quarter, we are consolidating our recovery, we drive--we do drive for recovery of this money. Most of these are government customers and their estimates are revised funds, if not available, they are getting those funds. So those kind of events happen in last quarter. And so we are getting those money back mostly in last quarter.

So last year, if you can help us, what was the overall ECL provisioning and what was the overall ECL reversal in fourth quarter?

Last year, actually, because of --I mean, the ECL provisioning of ECL and the related policy came into existence last year. And last year, the net reversal was about INR 50 crores.

The reversal was INR 50 crores. And what was the provisioning?

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RAILTEL

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Railtel Corporation Of India limited

February 02, 2023

What was asking next what was the provision --that needs to be checked there. We'll get back, but INR 50 crores was reversal.

INR 50 crores was the reversal in the fourth quarter itself?

You can say for the entire financial year. No --last year Q3, also there was reversal of 36 and whole of year a whole of 9 months.

And this year, we haven't done any reversal so far so it will happen in fourth quarter?

So if you could see, last year, some INR 50 crores reversal was there, and this year about in the 9 months, INR 39 crores of provisioning as there. So can we understand that at INR 39 crores, ECL provisioning is there. So that is the ...

So net-net, it can neutralize for the year

Thank you. Ladies and gentlemen, that was the last question and we will now close the question queue. Thank you, members of the management and Mr. Periwal. Ladies and gentlemen, on

behalf of IDBI Capital and Rai!Tel Corporation, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Jun 2023

RailTel/Sectt/21/SE/S-16 Date: May 25, 2023

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Outcome of Analyst/Investor Conference Call held on Friday, 19th May, 2023 -
Transcript.

Ref: Our Letter of even no. dated May 16, 2023 and May 19, 2023.

Dear Sir/Madam,

In reference to our previous communication dated 16th May, 2023 regarding
Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO)
of the Analyst/Investor Conference Call held on Friday, 19th May, 2023, organised by M/s. IDBI
Capital Markets & Securities Limited.

2. This is submitted for your information and record.

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RailTel Corporation of India Ltd. (A Government of India Undertaking)
CIN : L64202DL2000GOI107905 ~
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"RailTel Corporation of India Limited

Q4 FY2023 Post Result Earnings Call"

May 19, 2023

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ANALYST: Rai/Tel Corporation of India Limited

May 19, 2023

MR. VISHAL PERIWAL -IDBI CAPITAL MARKETS &
SECURITIES LIMITED

MANAGEMENT: MR. SANJAI KUMAR -CHAIRMAN AND MANAGING

DIRECTOR- RAIL TEL CORPORATION OF INDIA LIMITED

SHRI V RAMA MANOHARA RAO -DIRECTOR (FINANCE) -

RAIL TEL CORPORATION OF INDIA LIMITED

SHRI MANOJ TANDON -DIRECTOR (PROJECT OPERATION

& MAINTENANCE) -RAILTEL CORPORATION OF INDIA

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MR. HC BATRA- EXECUTIVE DIRECTOR (FINANCE) -

RAIL TEL CORPORATION OF INDIA LIMITED

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Moderator:

Vishal Periwal:

Company Speaker: Rai/Tel Corporation of India Limited

May 19, 2023

Ladies and gentlemen, good day and welcome to Q4 FY2023 Earnings Conference Call of the RailTel Corporation Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you Sir!
Thanks Seema Good afternoon everyone. First I would like to thank the management of RailTel Corporation for giving us this opportunity to host their earnings call. I will introduce the management from the RailTel side. Today we have with us the CMD Sir Sanjai Kumar, Director (Finance) Shri V Rama M

anohara _Rao Ji, then we have Director (Project Operation & Maintenance) Shri Manoj Tandon Ji and then HC Batra, ED (Finance). As usual we will have a brief overview from the company on the gone by quarter and then we will have the lines open for Q&A. Yes Sir over to you!

A very good morning to dear investors and all other stakeholders. It gives me great pleasure to interact with you on the company's performance in the backdrop of Q4 audited results of the company as well as results of FY2022-2023, which were declared by the company on 17th May 2023. The company achieved milestone of over 2000 Crores total consolidated income during FY2022-2023 all-time high in the history of the company. The company achieved consolidated operating revenue of Rs.704 Crores for Q4 as against Rs.454 Crores in Q3 of FY2022-2023 registering the growth of 55% on quarter-on-quarter basis. Year-on-year growth in operating revenue for the fourth quarter of FY2023 has been 51% as compared to corresponding period of last year. For FY2022-2023 the company registered . the growth of 27% in operating revenue with turnover of 1964 Crores as compared to 1548 Crores in the previous financial year. The telecom segment contributed Rs.1169 Crores and project segment contributed Rs.794 Crores in the company's operating turnover. The profit before tax in fourth quarter of FY2022-2023 before exceptional items is Rs.67 Crores as against previous quarter corresponding profit of Rs.43 Crores registering an increase of 56% quarter-on-quarter basis.

For FY2022-2023 the company has posted total profit before exceptional items and tax of Rs.257 Crores as against Rs.231 Crores in previous financial year. Total profit after tax and exceptional items of FY2022-2023 stand at Rs.189 Crores as against previous year's PAT of Rs.209 Crores. Earnings per share for this year stand at Rs.5.89. EBITDA for Q4 of FY2023 is Rs.144 Crores and the EBITDA margin is 200/o. The company's EBITDA margin for FY2022-2023 has been 200/o as against previous year's margin of 27%. A fall in EBITDA margin is partly due to competitive rates in projects business having lower margins also. Your company bagged many awards and recognitions in FY2023 including prestigious SAFA that is South Asian Federation of Accountants Certificate of Merit for integrated reporting in corporate governance disclosure 2021. Apart from Railways, RailTel is executing a number of projects in other sectors also like

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RailTel Corporation of India Limited

May 19, 2023

coal, defence, banking, education, health, smart city, etc. We continue to grow as a key player in the digital transformation journey of the country. We are now driving the biggest public Wi-Fi monetization programme also attempted in India in partnership with a reputed IT company by introducing many passenger friendly and infotainment services along with offering a canvas space for advertisers to excess masses. We now have expertise in the Aadhaar-based authentication services for impersonation control of candidates for competitive examinations including other similar opportunities and scaling up to expand this product line. We are glad to be associated with State Bank of India project which is one of the largest projects of providing last mile connectivity to banks on 4G LTE technology in India. Our retail broadband service called RailWire now has grown to 52 lakh subscribers across the country. We introduced many new value added services like bundled OIT plans, live OIT facilitating RailWire, FfP subscription on rail-based Wi-Fi network at railway station, IPTV services and so on. Though this is very highly competitive and low barrier market, we will continue to add more value added services

and get deeper in Tier-2, Tier-3 areas. We offer Wi-Fi services to many universities and recently bagged a prestigious contract from ITPO Pragati Maidan Delhi to offer Wi-Fi services as service and broadband services for all events there. We are already implementing Delhi Safe City project and, Pondicherry Smart City project and Video Surveillance System (VSS) project at railway stations as brought to your notice during previous interactions. RailTel also bagged prestigious order recently from C-DAC for developing IT infrastructure for Greenfield data centers at New Delhi and Bengaluru. It will facilitate C-DAC in building up its capacity for secure big data enterprise applications. Your company has also other IT/ICT project orders including one from Bangalore Metro Rail Corporation Limited for revamping their existing IT infrastructure, Government of Bihar for establishing their electronic knowledge networks among others. We are also implementing communication projects namely five tunnel radio communication projects for Indian Railways and converged communication system over 230 stations in South Western Railway zone. Cyber security is a new area which offers lot of opportunities. We have strategically decided to enhance our capabilities to serve this market. Our expertise in implementing NIC e-Office project has earned us many fresh assignments from many Central Government and State Government departments. Your company has planned a capex investment of the order of Rs200 Crores for network upgradation, augmentation of data centre capacity, automation activities among others for current financial year to further strengthen our vital infrastructure and capability. We increased network capacity by 10 times recently. Easing of international supply chain will facilitate our implementation of projects also. We are very conscious of maintaining good standards of COIP governance, deep-rooted values, best practices, transparency and integrity throughout the company. We are focused on our future growth constantly keeping pace with the changing IT and telecom scenario and reorienting our strategies to meet the challenges. The management always works for creating values for its investors and customers. We are always strengthened with the trust reposed by the investor in the company. I would like to assure all the stakeholders that the company will continue to work for

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Company Speaker: RailTel Corporation of India Limited

May 19, 2023

the satisfaction of our valued customers and for achieving new milestones in times to come.

Thank you.

Thank you. We will now begin with the question and answer session. We take our first question from the line of Ms. Divya Daga from Vijit Global securities. Please go ahead.

Hello Sir congratulations on such a great number and my first question is what is expected revenue with the deal of 3i Infotech this year and in the next two years, are you in talks for further deals and what is the revenue recognition model for that?

So this deal with the 31 Infotech is regarding Wi-Fi monetization as I have told already that we have provided them a canvas space for the advertisers so that advertisers keep their

advertisements. There is a minimum guarantee of Rs. 14 Crores per annum and over and above. If they have revenue, they have to share 40% of their revenue with us with the minimum guarantee of Rs. 14 Crores; so whichever is higher they will share. So this year maybe another three months they will be launching their services-for monetization part, but their payment period has already started. The minimum guarantees they have to start

paying now. I believe you are satisfied with the answer.

Basically I was asking that what is the expected revenue we are expecting in this financial year from 3i?

Any Wi-Fi system globally has not been a profitable business. This is the first time it is happening. Because we have a very large ecosystem of Wi-Fi where 17000 APs are installed all over the country and the space will be opened to so many footfalls. So this is first time we will be doing it and we are expecting a good result but still it depends upon the execution. So we are working on it and in another three months, we will see the result. It has been finalized through open tender. I would not like to comment any number now, but yes minimum guarantee is there. So this year, at least we may not be expecting anything big. Depending upon the success of this experiment. Maybe, next year onwards, we can say something about it. When the revenue will start coming, how we will recognize that it will come in other income or in the topline?

It is operating income.

My second question is; In Q2 FY2023 concall, you said that especially around 50 Crores from Data Centers, are we on it or is there any change?

We will be certainly increasing these services and numbers will be more. This year, we have done 52 Crores and present year we are expecting somewhere around 100 Crores.

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Moderator:

Vignesh Iyer: Rai/Tel Corporation of India Limited

May 19, 2023

Can you give me what services you are providing and how is the model and everything about data centers?

So data centers; basically there are different type of services like pure colocation services which now we are not very much keen to expand upon. Then we are providing core computing facilities so that basically we host the applications in our machines that is the virtual machines you can call them and then there are security added services, then application as a service also like we are providing e-office, hospital management information system the application as service is also there.

So as you say that it is on asset-light model what is that exactly?

Asset-light model means, I would say basically the money which we have put in this data center activity is not very high because these are applications, the customer just can come and then start using our services. Whenever demand comes, we can immediately start getting these services like Aadhaar authentication service which is service being provided out of our data center. So we are already having a system platform available with us and customers start using it immediately. There is no time taken in providing this service.

Is it like annual subscription?

No it is not annual subscription. It is based on usage, Aadhaar based authentication services are usage based. Suppose this year, we have conducted complete JEE exams, it was conducted through our Aadhaar authentication biometric services and so whenever the exam is conducted, they are using it and paying it basically for per user.

What is the revenue recognition model?

There are different models. Aadhaar authentication for instance; but they are continuously application posted so that will be annual income coming to us; then there will be applications which are provided by us that is also depending upon the license based or how many concurrent users are there, those kind of terms and conditions are there, so there are various models and these models are continuously evolving, there is no single model of revenue earning.

We take the next question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Congratulation

s Sir on strong set of numbers. So I remember in the Q2 call you have guided that for the project side ofit Q1 and Q2 could be slower so just to understand keeping that in mind would we see some progress Y-O-Y when it comes to project business in Q1, Q2 or it would be more or less flattish?

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Company Speaker: Rai!Tel Corporation of India Limited

May 19, 2023

I have been saying this again and again because we are a small company and a quarter for a company of our size is a small period, quarter-on-quarter there may not be true indications, I would say, but still we are having a good order book with us so we expect that good numbers will come in Q1, Q2 also.

Could you tell me what is the size of the order book as on March 31, 2023 and what would be the expected time of execution for the same?

I really do not remember, but right now we have 4500 plus Crores order book as on date.

Just one last question if I could squeeze; can you give me what is the ARPU for RailWire as of nowinQ4?

It is armmd Rs.550.

Thanks. I will get back in the queue Sir. Thank you.

We take the next question from the line of Pratap Maliwal from Mount Intra Finance Private Limited. Please go ahead.

Thanks for taking my question. We have had a good increase in revenue this quarter so I just wanted to ask how much of this was from the VSS order that we were supposed to collect in Q4?

It is around Rs.85 Crores.

So our total collection was supposed to be in the range of 400 Crores so are they going to be to the next year as well the VSS?

Yes this year we will be executing major chunk ofVSS.

Out of the 400 Crores order, how much have we done till now?

Till now, maybe around 150 including this previous one also.

150 Crores done and I just wanted some idea on the VSS order so we are doing the project for the railway stations; is there a separate order for VSS in coaches for next year that we may get, is that a separate order?

No, that is a separate order but that order we are not counting now because there is rethink going on in the Ministry of Railways as how to execute this surveillance system in coaches. See coaches are bodies wherein there are many devices already fitted, so we are working on nitty-

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Company Speaker: RaiTel Corporation of India Limited

May 19, 2023

gritties of that, so that you might have seen in the news also maybe on the portal also that we have right now kept this tender on hold. Right now, we are not counting that order.

Understand, Sir. Thank you and just wanted to understand that going forward can we get some kind of idea as to what may be margin level at EBIT level we intend to keep either on an overall basis or project basis, any colour on that?

If you talk of project, we would try to keep the range of 6 to 7%.

Because, I think currently, we are at slightly lower level of Q4 so what would drive that increase?

There are multiple factors. Number one is the selection of projects where we are going. So we generally select projects where there is an element of telecom, there is an element of data center

and then there is an element of IT applications 1111d all that. So generally we prefer projects where these two elements are also present and then these two elements help us keeping our margins higher.

I am sorry, telecom margin would be in the range of the usual 19 to 20%, is that right?

Yes. Telecom EBITDA margins are already 33% for the last financial year.

Sure Sir. Thank you for taking my question.

Thank you Sir. We take the next question from the line of Shubham Shukla from Voyager Capital. Please go ahead.

Hi good afternoon everyone. So my first question is around the margin; so on a telecom sector like, if you could give breakup of margins from project work and telecom work?

For quarter or for the year?

Both actually.

We talk of EBITDA margins for telecom services for the quarter gone by, it was 29% and for project it was 4%.

Yearly?

Yearly, it was 33% for telecom and 5% for the project.

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May 19, 2023

Second would be on the order book we currently have 4500 Crores worth of order book as far as I can remember we had a similar range of order book in Q2 so like we did not see any growth there?

Like, last four to five months, we have received new orders of around 1000 Crores. There has been implementation that is why you have seen that Q4 result and handsome growth in project in some also. Orders have been coming and implementing and then new orders getting added so that is a continuous process.

So, this current order book; does it provide any visibility for revenues if you could say like a year or two revenue visibility?

This year, I see a project income of around 1500 Crores.

Any future guidance if you could provide for next year?

For this year you are asking?

For FY2024.

Somewhere around 2000 to 2500.

The revenue we will be having, is it?

Should be. We are working towards that.

Thank you so much, good luck.

I am talking of 2024-2025.

2400 to 2500 right?

No, I am talking of financial year 2024-2025; for FY2023-2024, it is 1500.

For FY2023-2024 is 1500, for 2024-2025 it should be somewhere around what?

2000 to 2500 for project income.

Thank you so much and good luck.

Thank you Sir. We take the next question from the line of Amit Kumar from Determined Investments. Please go ahead.

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Amit Kumar:

Company Speaker:

Amit Kumar:

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Amit Kumar:

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Amit Kumar:

Moderator:

Dhvani Shah:

Company Speaker:

Dhvani Shah: Rai!Tel Corporation of India Limited

May 19, 2023

Yes good afternoon team. Just a quick question on this, you know Wi-Fi monetization you mentioned 14 Crores minimum guarantee amount; I was just wondering the Wi-Fi that you maintain across stations on Indian Railways, what would be the operating expense on an annual basis of sort of managing the infrastructure broadly.

If you talk of maintaining, it will be around 10 to 12 Crores.

Marginal profitability.

Actually we are pooling resources. There are people who are working on our network along the railway track which is 61000 kilometers; so there are resources and the same resources are pooled for this. So we actually do not dedicatedly provide any manpower for that, there is a small internet ban

bandwidth expansion which is continuously coming down as a cost to us because of international and national scenario in this market.

Got it and Sir just one question on your RDN and content on delivery COD plans previously, any sort of update on these contracts; also when can we expect any sort of action on these fronts?

I think, during last interaction also I mentioned that RDN and COD both are being given fresh thought in the Ministry of Railways and that is why we have not included these two projects in our order book also. Now we are awaiting further instructions from Ministry; so they are not there in our radar right now.

Alright, that is it from mine.

Thank you Sir. The next question is from the line of Dhvani Shah from Investec. Please go ahead.

So first of all just needed the breakup on NLD, IPI, and ISP within the telecom if you can give it on an annual basis?

For the financial year gone by we have total IPI income of 215 Crores, ISP income of 380 Crores out of which RailWire is 318 Crores and NLD is 569 Crores.

Also if I understand the project business could ramp up and of that you said the VSS was almost 85 Crores so VSS was supposed to come in at higher margins of almost 8% so have we started executing your change in strategy you all mentioned last quarter saying that coming forward project will be at a lower margin given that your focus will be more on volume and is that also why you have called out almost being 100 Crores for the next year and that would say that essentially the run rate that you saw in Q4 will continue going forward?

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Company Speaker:

Dhvani Shah:

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Dhvani Shah:

Company Speaker:

Moderator:

Nitin Gandhi:

Company Speaker:

Nitin Gandhi:

Company Speaker:

Nitin Gandhi: Summarize your question. RailTel Corporation of India Limited

May 19, 2023

I am asking that the margins that you all saw in project business were at 4.3% this time and VSS project was mentioned would be almost 8% that was almost 85 Crores of incremental revenue this time in the project business so are the other projects at lower margins?

No, actually I would say that around 4% point something last quarter, so there was some project opportunity we got with lower margin and that of course affected us in that, but now we will be slightly cautious because there are many projects-there is no dearth of projects and we will be slightly selective in bidding for projects where margins are certainly better, so that we continue to remain in 6 to 7% bracket.

I just wanted to understand the other expenses for the quarter come down to 103 million from 300 million last quarter can you just explain that difference, where there any one-off?

Good morning. It is primarily because of ECL in the last quarter ECL provision which is not therein Q4.

We take the next question from the line of Nitin Gandhi from KIFS trade Capital. Please go ahead Sir.

So we are increasing network by almost 10 times and you have certain projects so can you share how is the project average execution time out of your order book of 4500 Crores and how we are spanning out because three or four times network capacity utilization in next one or two years?

That would be two separate questions. So project is not directly related to any network capacity prices?!, somewhere it may be utilized but if you talk of project business so out of this say 4500 Crores we are expecting that around 1500 Crores income we will be booking this current financial year.

That I got it, you said for two years we have expected but I am seeking average duration.

There are projects which are going up to 8 years also, one year the implementation or one-and-a-half years for implementation and then one year or two years

of warranty and then another five

years for maintenance also. There are projects with three years and then after three years they are getting renewed also, then five years also there are projects, but implementation is generally one, one and half year.

So out of 4500, how much is O&M related?

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Company Speaker:

Nitin Gandhi:

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Moderator:

Vishal Periwal:

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Company Speaker: RailTel Corporation of India Limited

May 19, 2023

Out of this 4500, O&M would be Rs. 500 Crores or so. We have not really worked out on this, but I guess because those are smaller amounts, generally 3 to 4% kind of numbers per annum kind of.

Right; and now regarding network, if you can share something?

Majority are basically one to two years, majority of the numbers are getting converted into revenue in each areas and remaining 15% maybe depending upon the number of years they are going so 10 to 15% or so.

Thank you Sir. We take the next question from the line of Mr. Vishal Periwal from IDBI Capital.

Please go ahead Sir.

Yes Sir thanks for the opportunity. A couple of data point if I can ask what is the RailWire subscriber base currently with us?

It is 5.21 lakh.

If you have this number ready for FY2022 for comparison Sir?

4.63 lacs.

Then, for maybe a full year basis project side, if you can give a breakup of revenue between railway and non-railway?

Railway, for this year gone by, it was 155 Crores and other project was 619 Crores.

Non-railway 619?

619.

Just one clarification- then if non-railway piece is increasing for us, so any reason that the margins are subdued for us?

Because there were projects_ which were given to us on nomination basis and there were healthy margins of 8-8.5% with us and outside projects. Even now in railways also we are getting orders by bid and nothing on nomination. So, then of course when you are in competition, margins are decided by the competition not by nomination. So there is an effect of competition. Certainly you are seeing that in other projects. This year we have only 13 to 14% income from railways including telecom income.

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Vishal Periwal:

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Moderator: RailTel Corporation of India Limited

May 19, 2023

Like-to-like basis Sir between railway and non-railway for a particular project will it be fair to say that now given a competition in non-railway side, railway gives us better margin vis-a-vis non-railway?

Even railway is now a competition for us as we have to get the any work through competition only. _So I do not see any difference but those projects like video surveillance, it is already going on, so of course, there will be better margins. We are already executing.

Then the 1500 Crores topline that we are expecting for FY2024 the margin expectation is in the range of 5% that is what you said right Sir just a clarification?

Yes, prior to that six to seven, five of course is assured I can say.

On the telecom I think can you guide in a similar way how exactly you are seeing things for the next year on the margins and the topline front because may be parallel question to that like we mentioned we have expanded the capacity?

Telecom margins were slightly dipping you might have seen be

cause of some of our fibers were

getting older and we have not decided to replace them as we are continuing with that fibre and repairing it So there is some maintenance expenditure going on without going in for capex. This is already over, but we are continuing with the same asset so there is some increase in the apex m on optical fibre maintenance and that is how this year we see that there is slight dip in the telecom margin.

How do we see things in next year Sir in terms of margins?

Maybe more or less at the same level; this year we had EBITDA margin of 33% in comparison to

last year of 35%.

Maybe I will try to understand in detail with you Sir Offline and one last question from my side and then I will come in the queue. The 10 times the network expansion that has happened that is along the railway track the optic fibre which is there, which side of the business that you are saying?

Earlier, our network was based on IOG system, now it is IOOG system, so straightaway we have multiplied by 10, so we have good amount of capacity available with us.

Sure Sir. Thanks a lot I will come back in the queue.

We take the next question from the line of Richa Shah, individual investor. Please go ahead.

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Richa Shah:

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Richa Shah: RailTel Corporation of India Limited

May 19, 2023

Thank you for giving this opportunity. Sir I just wanted to understand now see we have a topline of almost 2000 Crores and in that we have straight receivables of almost 1000 and 1050 Crores so I wanted to know what are the number of days of receivable and from this 1050 Crores how many are older than six months?

Older than six months?

Yes, from 1050 Crores of trade receivable.

Just give us some more time so that you can ask new questions. In the meantime, we will get these numbers for you.

So my second question is-just wanted to know how many subscribers have been added in RailWire in Q4 and in FY2023?

If you see the number added-so there were new numbers and there was some churning out also but net subscribers added were around 52000 that is the net addition.

52000 for the full year?

For the full year.

For the quarter Sir for Q4?

Roughly 7000.

So just the trade receivables if you can just get back to me on that.

So less than year, the number is already there with me this is 700 Crores and remaining is more than a year, roughly around 400 Crores.

I wanted to know more than 6 months is how much.

This number I think right now is not available, we will get back to you maybe.

What are the receivable days that we currently have?

1020.

That would be the receivable numbers, I want to know receivable days, the debtor days?

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Company Speaker.

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Shubham Shukla: Rai/Tel Corporation of India Limited

May 19, 2023

So that is 191 for the year gone by, now it is 192 for the year gone by but see actually this 192 number which you are seeing since our project income has gone up so what is happening in project income where many projects we take with our partners and there is receivables as well as payables also so it actually does not affect our cash flows because we pay on

ly when our

payments are made by the customers. So these numbers are swelling because of this reason because project income has increased substantially you have seen in our account statements also so that is the major reason and there are project milestones also some project is going on for maybe 1-1/2 years so there are various milestones when these payments are due but they have to be shown as per in their standards so that is the reason.

We move on the next question from the line of Shubham Shukla from Voyager Capital. Please go ahead.

Hi once again. So if I can recall the last statement on your margin from telecom sector so you said that we are incurring some minor fibre maintenance and if these are minor maintenance then why EBITDA margins falling from 35% to 30% because for minor maintenance as you say it, but the drop in margin is quite significant so does that justify?

Only 2%, 33% I am saying, it is not 13.

I did not get it.

From 35% to 33% not 13%.

If you could provide revenue visibility for telecom for next two years?

So revenue visibility for this year from telecom business; we are eyeing a number of 1300 to 1400.

For FY2024?

Yes.

For FY2025?

For FY2025- because revenue in telecom business by capacity wise it is growing but since prices are continuously under pressure in market, you know telecom market, so the numbers are not commensurate with the services we are providing, so again I can get the number of 1600 to 1700 for the next year.

Margins on this project work would be similar to like 6-7% assuming for next two years?

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Shubham Shukla:

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Moderator: Rai/Tel Corporation of India Limited

May 19, 2023

6 to 7% is what we are striving to get with a minimum of somewhere close to 5%.

Thank you so much. That is it from my side.

We take the next follow up question from the line of Dhvani Shah from Investec. Please go ahead.

Thank you for giving this opportunity again. Just wanted you to get some colour on telecom business and those sectors if you can give some colour on NLD performance?

You want the numbers from these individual services from telecom?

Just some colour on how they are going forward to grow.

(Note: There was some audio disruption at this stage & hence this question Couldn't be answered)

We take the next followup question from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead Sir.

Hi thanks for taking my question again. I just wanted to confirm one data point that you provided that out of our total income this year FY2024 we are expecting a total railway income to be 30 to 40% did you say or did I guess that correct?

I did not mention about this number, 13% for 2022-2023 but I did not say anything about 2023-2024.

I think you said that in the coming year that the percentage of revenue we expect from railways including our telecom income what is the data point if I can just get that?

You are asking anticipated income for 2023-2024?

From Railways what is the percentage of income that we expect from Railways?

This year also maybe 15 to 20% total income.

Thank you.

Thank you Sir. We take the next question from the line of Pranay Khandelwal from Alpha Invesco. Please go ahead with your question.

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Moderator:

Amit Kumar:

Company Speaker: RailTel Corporation of India Limited

May 19, 2023

Hello Sir thank you for the opportunity and congratulations on a good set of numbers. I wanted to understand this one thing but if you look at the segmental performance that you have reported over there if we see the telecom EBIT margins is around 19 to 20% while you have been reiterating as it is 33%, Sir can you explain me why there is difference, how do we calculate the telecom margins from your side and what is the difference in segmental results?

You are talking about EBIT margins, we are talking about EBITDA margins. EBITDA margin is 33%.

So there comes a 13% difference from the depreciation itself?

Yes of course.

Thank you.

Thank you Sir. The next question is from the line of Divya Daga from Vijit Global securities.

Please go ahead.

Sir my question is what is the overall order book and how much are we going to execute in this financial year?

Our order book is roughly around 4500 Crores and this year we are targeting to get 1500 Crores numbers. Does that answer your question?

Yes thank you.

Thank you. The next question is from the line of Amit Kumar from Determined Investments.

Please go ahead Sir.

Yes thank you again. Just one followup. I think we mentioned a number of 200 Crores for capex for this fiscal 2023-2024 if you can just break it down into maintenance and growth capex and across both of those any sort of major element that you want to highlight or the principal areas in which that capex is divided broadly?

I also mentioned in my address also. Partly, it will go towards network upgradation on further basically enhancing the capacity, when I say enhancing the capacity-it is basically adding to the existing system; we can increase the capacity up to KOOG that is the maximum capacity we can go. So partly, it will go to that. Partly, it will go to the data center augmentation also and then we have already planned for large scale automation in our support system to increase our efficiency in productivity. So these are the major three segments we will be spending this.

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Richa Shah:

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Moderator: Rai!Te/ Corporation of India Limited

May 19, 2023

Sir will it be possible to please put some numbers to each one of these and what would be the maintenance capex also I just wanted to get a sense from that?

Maintenance is never part of capex that is part of revenue expenditure.

In terms of these different pieces how does this 200 Crores roughly?

You can say that roughly around 50 Crores was data center Rs.75 Crores each towards for network up gradation and automation.

Thankyou.

Thank you Sir. We take the next question from the line of Richa Shah. Please go ahead Madam.

Hi Sir. I just wanted to understand you were telling me that you have paybles also because you worked for third party so just wanted what are you payable days?

As I told you, suppose I have got a milestone from my customer which is due say three months from now, it depends on the payment from the customer and milestone as per the contract. You cannot say that this is the payment, so as soon as the money comes to us, we have terms and conditions with our partner that we have to immediately pay them back.

Thank you Sir.

Thank you Ladies and gentlemen due to time constraint that was the last question. We will conclude this conference call. Thank you for logging in for the post results earning conference call of Rai!Tel Corporation. You may disconnect your lines. On behalf of Rai!Tel Corporation of India Limited that concludes th

is conference. Thank you for joining us. You may now disconnect your lines.

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Sub: Outcome of Analyst/Investor Conference Call held on Friday, 28th July, 2023-
Transcript.

Ref: Our Letter of even no. dated July 25, 2023 and July 28, 2023.

Dear Sir/Madam,

In reference to our previous communication dated 25th July, 2023 regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript of the Analyst/Investor Conference Call held on Friday, 28th July, 2023, organised by M/s. IDBI Capital Markets & Securities Limited.

2. This is submitted for your information and record.

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"Rail Tel Corporation of India Limited

-Q 1 FY '24 Earnings Conference Call"

July 28, 2023

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C H O R L t. •

MANAGEMENT: MR. SANJAI KUMAR, CHAIRMAN AND MANAGING
DIRECTOR, RAILTEL CORPORATION OF INDIA
LIMITED

MR. V. RAMA MA.!"10HAR RAO-DIRECTOR (FINANCE),
RAIL TEL CORPORATION OF INDIA LIMITED

MR. MANOJ TANDON, DIRECTOR {PROJECT,
OPERATIONS & MAINTENANCE-POM), RAILTEL
CORPORATION OF INDIA LIMITED

MR. YASHPAL SINGH TOMAR- DIRECTOR (NETWORK
PLANNING & MARKETING -NPM), RAILTEL
CORPORATION OF INDIA LIMITED

MODERATOR: MR. VISHAL PERIWA AL-IDBI CAPITAL

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RAILTEL

Moderator:

Vishal Periwal:

Sanjai Kumar: RailTel Corporation of India Limited

July 28, 2023

Ladies and gentlemen, good day and welcome to the Q1 FY '24 Earnings Conference Call of RailTel Corporation. As a reminder , all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you Mr. Periwal.

Yes, good afternoon everyone. First of all, like you know, extremely I'm sorry and apology to everyone for waiting for this call. There was a continuous rain in the NCR region and there has been a technical glitch in reaching out and giving a clear line. So please accept this apology. So as usual, we'll start this call. From the management side we have Shri Sanjai Kumar the Chairman and Managing Director, Shri V. Rama Manohar Rao, the Director Finance, Shri Manoj Tandonji, Director of Project Operation Maintenance and Shri Yashpal Singh Tomarji, Director Network Planning and Marketing. We'll have a brief from the management and then we'll open the line for Q&A. Yes, sir, over to you.

Thank you, Vishalji. A very good afternoon to all of yo

u. We are really sorry for keeping you

waiting for these 20, 25 minutes because of some actually noise is still coming, but we will try to listen carefully and answer your questions. At the outset, let me introduce my new colleague Director Shri Yashpal Singh Tomar who has recently joined as Director Network Planning and Marketing. He brings on board, rich experience of both railways as well as RailTel as he has worked already in his earlier stint as GGM Marketing.

So now, one more thing I would like to share that we have all the four functional Directors on Board after a long time. It gives me great pleasure to interact with you on the company's performance in the backdrop of Q1 financial results of FY '24, which were declared by the company on July 27, 2023. The company achieved consolidated operating revenue of INR468 crores in Q1 of FY '24 as against INR377 crores in Q1 of FY '23, registering Year-on-Year growth of 24%. The telecom segment contributed INR292 crores and project segment contributed INR76 crores in company 's operating turnover.

As regards the total revenue, the Year-on-Year growth is 25% with INR483 crores in Q1 FY '24 as compared to INR385 crores in Q1 of FY '23. The Profit Before Tax in Q1 of FY '24 is INR51 crores as against INR35 crores in Q1 of FY '23, registering Year-on-Year growth of 46%. The Profit After Tax in Q1 of FY '24 is INR38 crores against Rs. 26 Crore in corresponding quarter of FY '23.

Earning per share in Q1 of FY '24 stands INR1.20 against INR0.81 of Q1 of FY '23, registering an Year-on-Year growth of 48%. EBITDA margin before exceptional item for Q1 of FY '24 is 18% as against previous quarter of 15% registering a growth of 21 % Q-on-Q. I am happy to inform you that the CAG has offered nil comments on annual financial results of FY22-23. Your company maintains strong and sustainable order book of the order of INR4,500 crores as we bagged new orders of INR527 crores in Q1 itself.

Page 2 of13

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Moderator:

ahead. Rai!Tel Corporation of India Limited

July 28, 2023

In the last six months, we have bagged orders of the order of about INR1,600 crores. Notable amongst them are INR294 crores from Tamil Nadu State Marketing Corporation limited, TASMAR, INR48 crores from Central Bank of India, INR18 crores from Commercial Tax Department Lucknow, INR21.5 crores from Indian Oil Corporation, INR75 crores for office implementation from various different government organizations. INR39 crores order from NISCI for providing Security Operations Center and Network Operations Center solution for IVFRT, ie Immigration, Visa, Foreigners, Registration, and Tracking Project of Ministry of Home Affairs.

These orders reaffirm our position in the domestic IT ICT space. Another feather in the cap of Rai!Tel is our partnership with ITPO as a telecom solution provider for the prestigious Pragati Maidan complex in New Delhi, which has been recently handed over to the public by Honorable Prime Minister of India; this agreement covers next eight years for all the events being organized, to be organized in the campus.

We are the exclusive telecom and cyber security solution provider also for the upcoming G20 summit in September '23 in the same complex. Rai!Tel maintains the agility of exploring new business across new sectors like education, MSME, smart cities, and so on. We are also expanding our existing IT solutions like HMIS, eOffice, to wider net of organizations. We are happy to inform that, our Hospital Management Information System deployed in Indian Railways has achieved a unique milestone of one crore prescriptions even in last 18 months. This shows the resilience and extent of our HMIS solution. Our focus remains on establishing edge data centers across the country and also expanding our data center footprint in PPP mode, being empaneled MeitY data center. The installation of an IP-based Video Surveillance System at 5,102 railway stations is p

rogressing well, with work already completed at 349 stations, including Nirbhaya-funded stations. This will be a unique project, across the world once completed, showcasing the strength of Rai!Tel to deal with complex projects spread across geographical locations and involving wide spectrum of stakeholders. We are eyeing very closely on the signalling modernization requirement of Indian railways, the importance of which has tremendously increased post recent unfortunate accident on Indian railways. I'm also happy to inform you that, the Board of Directors of Rai!Tel in its meeting held on 9th, July, 2023 recommended a final dividend for the financial 2023 at the rate of 10.50% that is INR1.05 per share in total amounting to INR3,369.87 lakhs out of the profit of the company for the financial year '22-'23 to those equity shareholders, whose names stand in the register of members as beneficial owners in the records of NSDL/CDSL holding shares as on record as fixed by the company for the purpose of payment of final dividend for FY '22-'23. This is subject to the approval of the shareholders at the 23rd Annual General Meeting to be held. Transparency, integrity, and efficiency are fundamental to our functioning, and we deeply value the trust of our investors and stakeholders. We are committed to pursuing growth and diversification, creating value for our investors. Thank you, Jai Hind.

Thank you very much. The first question is from the line of Sanjesh Jain from ICICI Securities Please go

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RAILJB.

Sanjesh Jain:

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Sanjai Kumar: Rai!Tel Corporation of India Limited

July 28, 2023

Good afternoon, sir. Thanks for taking my questions. First on the 3i Infotech deal, has the revenue recognition towards the Wi-Fi monetization where we had INR14 crores or minirnwn

of certain percentage of revenue. So what is the contribution of 3i Infotech for this quarter?
So, basically actually this is quarterly payment, so this is basically you can say INR3.5 crores for this quarter.

Okay and we have received the INR3.5 crores?

Yes.

Okay. Any further monetization? How has been the trend of advertisement on our Wi-Fi? Do you think there could be a higher payment than this INR14 crores from the monetization of Wi-Fi?

If you remember my last meet with you on the same forum, we had already shared that this will take some time because they have to, this is first of its kind in the world. So it will require some time. Maybe this financial year, we may not have any additional revenue from this project, this monetization effort.

Next on the telecom services business, it has grown by 6.5% Y-o-Y. The growth looks slightly muted considering that we are also implementing VSS and there is increased demand for the data center and video-based surveillance and IP services in general. Can you help us understand, why the overall revenue growth on a Y-o-Y basis in telecom services is just 6.5%?

So, yes, that is noticeable because one big project actually was got concluded last quarter and we are hopeful that, the same project will again come on board and we are also expecting some other revenues in telecom segment. So this quarter yes, I accept the fact you have noticed. But I'm not worried by this because I know the reason.

So what is the expected revenue growth for telecom services this year and next year?

We will be continuing with the same trend, 10% to 12% overall telecom growth.

Okay, so 10% to 12% for the full year is still achievable is what you're telling?

Yes.

Got it. On the project side, again, the project execution this quarter versus previous quarter looks slightly muted. While our order book continues to remain very healthy. We have spoken of thousand crores plus kind of a project revenue for FY '24. With Q1 being

softer, do you think

any challenge for this INR1,100 crores of revenue in project for FY '24?

See, actually, if you see the trend for previous years also, Q1, Q2 are slightly under pressure.

They are being reasonable because these are the government funded projects. So generally in all government (projects), Q3 and Q4, there is always momentum. And Q1 and Q2 are slightly muted. So if we see Year-on-Year, you will find the rhythm.

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RAIJ'EL

Sanjesh Jain:

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Sanjesh Jain:

Sanjai Kumar: Correct. Year-on-year, we are very healthy at 70%. Raif Te/ Corporation of India Limited
July 28, 2023

So I'm sure that we'll be reaching INR1,400 crores to INR1,500 crores.

Okay. INR1,400 crores to INR1,500 crores for this entire year?

That is; we are more than assured.

Okay. With what margin expectation, sir?

Margin expectation will strive to keep it 5% to 6%.

Okay. It's much below what we were anticipating earlier and these projects were won earlier, while the market

This is the conservative figure, which I am sharing with you and maybe, because, see what is happening, because of digitalization drive throughout the country; in the IT ICT projects, (there) is a lot of competition. So sometimes, we have to decide, whether to go ahead or whether to leave. We know that this business will come to me because I have better chances of getting it delivered and the customer has more confidence, better confidence in us. So then it is our choice, whether we leave it or lose it, get it or leave it, even with the lower margin. So sometimes you have to take some aggressive calls. That's why I'm saying 5% to 6%, I'm keeping on conservative side.

Last question on the LTE rollout by the railway and project Kavach. Any further update you want to share there? Is the tower rollout tender being done and how are we participating in the Kavach project? We earlier said that, we didn't have the technology and you believe that the technology is still to mature. Where are we in this entire cycle of both the project?

To Kavach, one of the OEM is still, they are in the last phase of I think getting approved by RDSO. And beside that OEM, we are also in fact now approaching the existing, though they are very big, but we are still trying to approach them so that they are convinced that yes, RailTel can be the best partner for them. So we are still on and we are very much hopeful of getting a good share out of this business from Railways.

And on the LTE rollout and the tower?

LTE; we have, actually on the LTE rollout, we have participated in POC for LTE for Kavach and we are expecting a center of excellence basically establishment of a center of excellence in railways. That order, we are expecting maybe. I'm not sure but we are hopeful that we'll get. Though we are continuously focusing on both LTE as well as Kavach.

What could be the ...

Because of our expertise in optical fiber-based communication network, the our strength in LTE and Kavach is certainly better than anybody else.

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Saojesh Jain:

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Moderator:

Bala Krishna:

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Sanjai Kumar: Rai/Tel Corporation of India Limited

July 28, 2023

Fair enough sir. What could be the project size, we are expecting both from LTE and Kavach individually?

Actually, total size of the project over the next five years is around INR 10,000 crores. And we are not sure that, how far the railways could be coming out with the tender. But I can say out of this pie, at least INR 4,000 crores to INR 5,000 crores of value should be with us.

Fair enough, sir. That's all from my side and best of luck for coming quarters.

Thank you. We have the n

ext question from the line of Bala Murari Krishna from Oman

Investment Advisors. Please go ahead.

Good afternoon, sir. Regarding this Video Surveillance System, actually what is the total project order quantity and how much we have executed and still how much is in balance and timeline for execution? Could you share the numbers ..

Actually, so total size of the order is around INR 750 crores and out of that, we have delivered around INR 200 crores over last two years to three years and we expect that, this year, we should be booking at least INR 200 crores and remaining in the coming year.

In this video surveillance system itself, actually we are anticipating some orders from the state government and state police forces like UP and Punjab. Any update on those orders, sir?

We have got an order in Gujarat for video surveillance. We have also got an order from, another two orders from Indian Oil Corporation for video surveillance. So we are obviously trying to get orders in this domain. Now having expertise in this.

And one more ...

The tender you are talking about, UP tender; now, they have not come back again. They have cancelled the last tender. Now they have not come back. So we are waiting.

Punjab also has the same thing?

Punjab was decided long back. Punjab is not there now. I think it was decided last year. '21-'22 itself, it is implemented also. It didn't come to us.

Okay, sir. And regarding Kavach, sir? Actually earlier we were anticipating around 25% of the total order project cost, sir. Now we are downgrading that projection. And one more thing, some Ashoka Buildcon has collaborated with one of the OEM and they have also bid for this Howrah Delhi section. So do you have any plan to collaborate with this existing OEM. I think,

you have said that you are going to collaborate with OEM, which is under approval. So is there any possible with the existing OEM, sir?

See the Ashoka Buildcon, they are executing one order in Eastern region. But actually, I have downgraded it to INR4,000 crores, but still hopeful. We can always; 25% is not something big which we cannot. But I'm eyeing at least INR4,000 crores to INRS,000 crores. And as far as partnership is concerned with OEMs, I have already answered to the previous investor's question

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Bala Krishna:

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Bala Murali Krishna:

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Moderator:

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Rabil Shah:

Sanjai Kumar: RailTel Corporation of India Limited

July 28, 2023

that we are waiting for the RDSO approval for the new OEM, which is in the last stages. So we'll wait.

And regarding the existing OEMs, they will get to you for this fiber optic cable services, even they get order from railway.

Yes.

And that revenue also included in this projection?

That revenue will not come from OEMs. That is already coming from railways. See, railways is the user. OEMs has to deliver the project only.

Okay. And lastly, on the smart meter side, and we have got some orders from also from Pondicherry and AP, whether these orders are executed and what would be the scope from any other states regarding smart meters there? Sir because we have shoot up in order to various vendors to install smart meters over the entire state like Chhattisgarh or some other states. Recently we have seen so much news regarding this. So, do you have any scope in this segment again?

Smart meters, we have not done much even now. But smart city, (yes), I think you may be (referring) Puducherry (where) we are doing a smart city project, not smart meters. Smart meters, we are yet to start, we have not done much.

Okay, that's all, thank you, all the best.

Thank you.

Thank you. The next question is from the line of Rabil Shah from Crown Capital. Please go ahead.

Thank you. Hello, am I audible?

Yes please.

So, firstly so you said you have 4,500 cror

es worth of order book right now?

Yes.

Okay, so can you tell me what kind of order intake are you expecting this year further?

See, this year; we, I think I told the last interaction that we will be eyeing around 1,500 minimum this year. So, 500 we have already received new orders and down the line year; next three quarters we should be getting minimum INR1,000 crores, but we may exceed also.

Right, right and what is the pipeline like can you share the information what kind of orders?

Sorry.

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RAILJEL

Rabil Shah:

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Moderator:
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DivyaDaga: Rai/Tel Corporation of India Limited
July 28, 2023

Like the pipeline what kind of orders they are and which, can you share that?
In the pipeline right now?

Yes and also what are the orders you're expecting?
We can't say much about it.

Okay, okay. No, no, got it, got it. And other, secondly, just on, so outlook in terms of revenue, growth and margins, can you share for the full year? Will you be?

See, we should be talking about 2,500 for sure; and margin guidance, you could take, we will maintain the same which we were doing the last year 18% to 19% EBITDA.
18 to 19. Okay. All right sir. Thank you and all the best.

Thank you.

Thank you. The next question is from the line of Divya Daga from Vijit Global Securities. Please go ahead.

Hello, sir. Thank you for the opportunity. My first question is, as you have mentioned in your presentation that you are expecting 10 lakh subscribers from Rai!Wire. So, can I know your strategy to achieve this target or is it a conservative target or we are optimistic really about it?

See, 10 lakh subscribers we were expecting some time back, maybe last year. But the competition is so intense that it's not so easy. There's a lot of churning also and the ease of switching is also very high. So, we are not expecting very high number, but Yes, we will be continuously remaining in this sector and we will be targeting rural segment more, where there's a lot of there is more opportunity, but the momentum is slightly lesser. Urban segment, there's a lot of churning. So, that is why we are not now expecting any such high numbers. This year, maybe we may reach 6 lakhs.

you are going to have a data center in Noida?

Yes.

So, can I know the status and revenue model of a data center as well as a RAN that you have launched?

See, I think shortly we will be coming out with the EOI for PPP and revenue share and all those details we cannot share now because the EOI is likely to come out so then only it will be visible to public. But we are sure because there is lot of interest shown by the industry and the investors.

So, what will be the ...

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RAIJ'a

Moderator:
DivyaDaga:
Sanjai Kumar:
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Vishal Periwal:
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Vishal Periwal:
Sanjai Kumar: RailTel Corporation of India Limited

July 28, 2023

Sorry to interrupt ma'am, we request you to please mute your line after you've asked your question while the management is answering because there's background noise coming from your line ma'am.

Okay sure, no problem. So, I want to know that what will be the revenue addition from this data center, if you can tell?

See, this is PPP model and the revenue monetization will be discovered through the open process which is called Expression of Interest. But still, we are expecting that, at least, 10% to 12% of the revenue will be shared by the PPP partner. This is our expectation.

Okay. And my last question is, can you tell me the business overview of Security Operation Center? Is it for the existing operation supporting that or we have introduced a new vertical over here?

See, cyber security operations, it is an offshoot of data center business and we are trying to

evolve it as a separate vertical, but the time has not come. We are talking to the industry, to the OEMs, to the top of the class, cyber security solution providers. So, we are still working on it and we are right now also providing these services, but we have not created any separate vertical. Okay. Okay. That's all, sir. Thanks so much.

Thank you. The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Yes, thanks for the opportunity. Sir, one clarification, I think you briefly mentioned on the Kavach opportunity of 30,000 crores. So LTE plus Kavach is 30 or is that different number?

Yes, both put together, both put together.

Okay. And if one has to get a breakup of it, will that be available, sir, LTE is how much and Kavach is how much?

I'm not very sure about it, so, better not to say any number. But actually there is one project. This is basically anti-collision project. So, both basically are a part of the same project.

Okay, got it, sir. And sir, can you give a break up of this telecom services that we do in NLD, ISP, IP-1 for quarter one?

Yes. So, NLD we did 146 crores, ISP 96 crores and IP-1 49 crores.

Okay, got it So, I think it looks like in NLD, I mean like year-on-year good growth rate is there, but ISP and IP-1 they are a little bit of flattish to margin decline, so that...

Yes, I told you there was one project in the last one question. This quarter, the number, yes, you have rightly noticed that the growth is not that good, but we are expecting that over a whole years basically financial year period, we have no worry and we will continue to have the same 10% to 12% of growth.

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RAIJ'EL

Visbal Periwal:

Sanjai Kumar:

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Sanjai Kumar:

Moderator:

Swechbha Jain:

Sanjai Kumar:

Swechbha Jain:

Sanjai Kumar:

Swechbha Jain: Rai/Tel Corporation of India Limited

July 28, 2023

Okay, got it sir and sir is there any one-off number of provision in our quarterly result whether NER provision or on the ECL provision if anything that is?

Nothing

Okay fine and in terms of one more data point RailWire can you provide what is the subscriber and can you give some qualitative commentary in terms of how the ARPU's are moving that will be helpful, sir?

ARPU's are there only 550-540 and we are continuously actually experimenting. So, we have recently come out with an experiment in Tamil Nadu and we expect a lot good numbers there. So, actually, this is an industry which is continuously under the eye of regulation also because OTT has also come into play. So, there are many factors and then the satellite communication, this licensing, auction of the spectrum, many factors playing in this segment and competition, of course, not only from the big service providers, but from smaller ones also is there. So, that is why I have downgraded my 10 Lakhs number to 6 lakhs now.

Okay and what will be this number at the end of quarter one?

This is 5.32 lakhs.

Okay, got it. And one last question from my side, in project services, can you also give breakup for the revenue between Indian Railway and others?

So, for Q1, railway income was around 38 crores and non-railway was INR138 crores out of a total 176.

Okay, fine. Sure, sir, I'll come back in the queue for more. Thank you.

Thank you.

Thank you. The next question is from the line of Swechha Jain from ANS wealth. Please go ahead.

Hi sir, just a clarification, if you could again give the telecom service breakup I somehow missed that number on the NLD, ISP and IP-1?

NLD 146 crores, ISP 96 crores and IP 49 crores.

Okay, okay. Thank you sir. Sir and just one more question. How many subscribers did we add in Q1? I think you did say at the end of Q1 we were 5.32 lakhs, but if you could just give the addition that we did in FY'24 Q1 FY'24?

Du

ring Q1 around 17,000 to 18,000

Okay, okay. And sir no update on the RDN, right? Any update on the RDN side?

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Sanjai Kumar:

Swechha Jain:

Sanjai Kumar:

Moderator:

Bala Murali Krishna:

Sanjai Kumar:

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Moderator :

Amit Kumar:

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Amit Kumar: Rai!Te/ Corporation of India Limited

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I think RDN, we had already shared during our meet in May that RDN we have now discounted at least for now, till the time Ministry ofRailway takes a final decision.

Okay, thank you sir, that's it from my side, I appreciate this.

Thank you, thank you very much.

Thank you. The next question is from the line of Bala Murali Krishna from Oman Investment Advisors . Please go ahead.

Thanks for the opportunity sir, do we have any update on the COD content on demand?

COD again same. COD and RDN, we have now stopped eyeing these two projects because Ministry of Railway is yet to take any decision, any final decision on this.

Okay, thank you. ..

Thank you. The next question is from the line of Amit Kumar from Determined Investments. Please go ahead.

Thank you so much for the opportunity. Actually,just following up to the previous participant, the COD, RDN projects which we had, exactly what decision is the ministry has to take with regard to these opportunities?

So, see, actually, we are not the user organization . User organization may decide, may not decide, we cannot pursue them beyond an extent. So, that is why I can't comment further.

No, no. So, that's understood that user organization in railways, but you have been pursuing both of these opportunities for some time. What I'm just trying to understand is that what is, I mean, COD basically has to let's say decide on an OTT partner and they will provide the entertainment content to the end consumers basically on your network. So, I mean, what decision making for this is required at MOR level for this to go -to proceed basically?

See, they may or may not decide in favor of RailTel. It's their decision. We have completely discounted these two opportunities from our business spectrum. It's up to them. If they decide, we are there. But if they don't decide, we can't continue waiting.

So, the Ministry of Railways may very well decide to go with another rail PSU with respect to both these opportunities as well. Is that what you're saying?

We cannot respond on behalf of Government ofindia. This is their policy decision, they may - so I cannot go beyond my limit.

See, that's where little bit of confusion basically is there because it wasn't sort of --when we were sort of discussing these opportunities about a year, year and a halfback, it was not sort of clear that any sort of policy decision from MOR was required to be taken, because you have the

network, right? I mean the -you are sort of running the network across and you have the exclusive right to sort of run the network across railways, Indian railways essentially. And this

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RAIJB.

Sanjai Kumar:

Amit Kumar:

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Moderator:

Pratap Maliwal:

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Pratap Maliwal:

Sanjai Kumar: Rai/Tel Corporation of India Limited

July 28, 2023

is just a monetization opportunity. There's not really, I mean, there is no sort of incremental capex or incremental investment which is required per se. Of course, there could always be, I mean, which is more of a commercial decision that of the ...

Mr. Amit sorry to

How much do we shared with Railways and all that. But it was not clear to us about a year back that any sort of policy decision in this regard and I mean, at least we thought that Rai!Tel had the right to basically call out for these contracts and give it out to third private parties, essentially?

I think we may not deliberate much on this question, but I think last two quarters I

had ...

Fair enough, Yes. I have understood your position, but where did this confusion arise from is what is not sort of clear to us?

See, government may decide on their own. They have their own agenda, their own policy decision-making system and we cannot question that. But whenever it is rolled out, certainly we have the telecom network of RailTel (which) will only be used. There is no other choice. That is what you are saying. So, that is right. So, we are waiting. Let us wait for some time if it comes at all.

All right. Understood, sir. Thank you. That's it from my end.

Thank you. The next question is from the line of Pratap Maliwal from Mount Intra Finance Private Limited. Please go ahead.

Hello, am I audible?

Yes, Yes.

Hi, sir. Thank you for taking my question. So, first, just a clarification on my side that the projects, the margin expectation we're getting 5% to 6%, that is at the EBITDA level. Is that correct?

Yes.

Okay, now just a question around the Kavach project. So, as I understand that the railways have actually initiated the project already and they've spent about 350 odd crores on the project. And I think it's been installed in a certain number of locomotives and about 1,400 or 1,500 route kilometers. So, what I'm just trying to understand is when does our role actually as RailTel come into this project, the expectation that we have around 4000 crores of value should be with us for this project. So, how do we maybe arrive at this number and when does our role come in for Kavach?

No, no, we will be participating in bids which are likely to come in future. So, these which you are talking about already under rollout, we had neither participated nor had any intent to

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RAI.1B.

Pratap Maliwal :

Sanjai Kumar:

Pratap Maliwal :

Moderator :

Sanjai Kumar: RailTel Corporation of India Limited

July 28, 2023

participate because I told you that these are, this technology was still maturing and still I would say it is evolving. So, we are waiting and watching. We don't want to be in any panic.

So, as I understand that there's LTE plus the Kavach project. So, one is that we provide the connectivity for the project that is required, that is one role for RailTel and what is the other offering that you are providing?

There is hardware part of it. There is application part of it. All those things will also be there. Connectivity is, of course, there is one.

Okay. Okay. Thank you, sir. That's it from my side.

Thank you. As there are no further questions, we will conclude the call here. Thanks for attending the 31st call of RailTel Corporation. And you may now disconnect your lines.

Thank you very much.

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Call: Nov 2023

RailTel/Sectt/21/SE/S-16 Date: November 02, 2023

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Corporate Relationship Department,
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P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Outcome of Analyst/Investor Conference Call held on Friday, October 27, 2023 -
Transcript.

Ref: Our Letter of even no. dated October 23, 2023 and October 27, 2023.

Dear Sir/Madam,

In reference to our previous communication dated October 23, 2023 regarding
Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO)
of the Analyst/Investor Conference Call held on Friday, October 27, 2023, organised by M/s. IDBI
Capital Markets & Securities Limited.

2. This is submitted for your information and record.

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RailTel Corporation of India Ltd. (A Government of India Undertaking)
CIN : L64202DL2000GOI107905 ~
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"Rail Tel Corporation of India Limited

Q2 FY '24 Earnings Conference Call"

October 27, 2023

C ti O ft L L

MANAGEMENT: MR. SANJAI KUMAR -CHAIRMAN AND MANAGING DIRECTOR -
RAIL TEL CORPORATION OF INDIA LIMITED

MODERATOR: MR. V. RAMA MANOHAR RAO -DIRECTOR FINANCE -RAILTEL
CORPORATION OF INDIA LIMITED

MR. MAN OJ TANDON -DIRECTOR OF PROJECTS, OPERATIONS AND
MAINTENANCE -RAIL TEL CORPORATION OF INDIA LIMITED

MR. YASHPAL SINGH TOMAR -DIRECTOR/ NETWORK PLANNING &
MARKETING -RAIL TEL CORPORATION OF INDIA LIMITED

MR. VISHAL PERIHAL-IDBI CAPITAL

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Moderator:

Vishal Perihal:

Sanjai Kumar:

I RailTel Corporation of India Limited

October 27, 2023

Ladies and gentlemen, good day and welcome to the RailTel Corporation of India Limited Q2 FY24 Post Result Earnings Conference Call hosted by IDBI Capital Markets and Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded.

I now hand over the conference to Mr. Vishal Perihal from IDBI Capital Markets and Securities Limited. Thank you and over to you, sir.

Yes, thanks, [Arshia]. Good afternoon, everyone. Welcome to the post-result earning call with the management of RailTel Corporation. First of all, I'd like to thank the management for giving us this opportunity to host the Earnings Call. And from the management team, today we have with us Shri. Sanjai Kumar, Chairman and Managing Director, Shri. V. Rama Manohar Rao, Director of Finance, Shri. Manoj Tandon, Director of Projects, Operations and Maintenance, and Shri. H.C. Batra, GM of Finance. And as usual, we'll have a brief overview from the management and then we'll have the line open for Q&A. Yes, sir, over to you.

Namaskar. A very good afternoon to you all. It gives me great pleasure

to interact with you once

again on the company's performance in the backdrop of quarter 2 limited review financial results of the company, which were declared by the company on 26th October, 2023.

The company has declared an interim dividend of INR1 per share also. The company achieved total income of INR1,096 crores during first half of financial year 2023-24. For the first time, the company surpassed the mark of INR1,000 crores of revenue in H1. The company achieved total revenue of INR613 crores for Q2, as against INR483 crores in Q1 of FY24 and INR440 crores in Q2 of the last year, registering a growth of 27% on Q-on-Q and 39% on year-on-year basis.

The operating revenue of the company in Q2 is INR599 crores, as against INR468 crores in Q1 of FY24 and INR429 crores in Q2 of the last year, registering a growth of 28% on Q-on-Q basis and 40% on year-on-year basis. The telecom segment contributed INR308 crores and project segment contributed INR291 crores in company's operating turnover. The profit before tax in Q2 of FY24 is INR90 crores, as against INR51 crores in Q1 of FY24, registering a growth of 76% on Q-on-Q.

The company posted profit after tax in Q2 of FY24 is INR68 crores, as against INR38 crores in Q1 of FY24, registering a growth of 79% on Q-on-Q. EBITDA for Q2 of FY24 is INR128 crores and EBITDA margin is 21% against Q1 results of Q-on-Q of FY24 of INR88 crores with EBITDA margin of 18%. With the robust order book exceeding INR5100 plus crores, bolstered by new orders worth INR1,400 crores this year itself, we are poised for continued growth.

I am immensely proud to share RailTel played a pivotal role as an integrated telecom and cybersecurity solution provider for the recently held G20 Summit. It was a great success and it was applauded by the media and all government agencies and participants in the summit.

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Divya Daga: Rai!Te/ Corporation of India Limited
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Today also we are providing similar connectivity for India Mobile Congress which is again happening in ITPO campus, Pragati Maidan in Delhi. At Rai!Tel, transparency, integrity and efficiency are the cornerstones of our operations. We deeply value the trust of our investors and stakeholders.

We remain committed to pursuing growth, diversification and creating value for our esteemed investors. We are continuously making efforts to make our partnership model stronger and stronger every day. We are also exploring new opportunities wherever we see new potential. Now at the end of my small speech, I thank you for your trust, your dedication and your collective vision for the future of this company. Thank you. Jai Hind.

Thank you, sir. We will now begin the question and answer session. The first question is from the line of Ms. Divya Daga from Vijit Global. Please go ahead, ma'am.

Hello, sir. First of all, congratulations for good set of numbers. I have a few questions related to data centers. So my first question is, what is the potential revenue you are seeing from data center segment and what is the progress on triple P models related to Noida data center?

Okay. Yes. So the data center potential right now, we are growing slowly and we are getting a lot of orders from government departments for the e-governance applications. So right now we are INR50 crores to INR60 crores sort of number earning from data center.

And we anticipate that this segment, we should be closing somewhere around a growth of 30% to 40% in this sector. On PPP Noida data center project, so we are likely to come out with the RFP very shortly, maybe in 15 to 20 days. And then we see the response of the potential investors and we are hopeful that we get a good response on this.

Okay, sir. So the data center, especially the Edge one, is this just for government or are we targeting

a private organization as well?

So, it is open to all type of users, including OTT players and other private users also. Government is of course, would be there, including Rail Wire.

Okay. So do we have any other player than Government right now?

So you're talking about edge data center? Are you talking about?

Any other data center? Any data center services?

No. So we have actually partnered with the application service providers who have hosted their services in our data center and then they are also providing services to government sector. So basically we are partners with private, but mostly the customer is the government.

Okay. So I have last question. First of all, the status of Edge data center, we targeted for a hundred and what is the count right now? And in that, I have a question related to order book and broadband connection. What are their numbers and what are the additions in this course?

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Bala Murali Krishna: Rai!Tel Corporation of India Limited

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So Edge data center, the RFP is already floated and we are likely to close it in another maybe two months. It is already in the process and regarding the order book, as I already told you, during my address, it is around INR5,100 crores as on date. Then regarding subscriber added during this quarter is around 25,000 in RailWire.

And total broadband connection at right now?

Roughly around 5.6 lakhs.

Okay. Thank you so much, sir.

Yes. Thank you.

Thank you. The next question is from the line of Mr. Bala Murali Krishna from Oman Investment Advisors. Please go ahead, sir.

Could you give an update on this Kavach part? We are supposed to tag with one OEM after getting the approval from RDSO. Is there any update on that?

So as on date, there is nothing new on that, but we have in fact spoken to a couple of Kavach OEMs and there is one more change in that. Now new Kavach applications will be implemented with L TE only, whereas the earlier one was not with L TE. So there is going to be some time before the tenders are out and we expect another three to four months before the tenders will be floated by the railways.

So this is an update. And L TE part, we are already working with the OEMs that how can it be implemented. We now are setting up a center of excellence also for Kavach with L TE, wherein we will be collaborating with the industry to work out solutions.

So, sir, by introducing this L TE, so we are anticipating around the 4,000, 5,000, so the opportunity for Rai!Tel in this Kavach wallet. So what could be the opportunity if we include LTE also?

L TE, I think I have already given an anticipation number lru.t time also that \e should be having around 4,000 to 6,000, which you have already said. And we may optimize and bring it to even INR 10,000 crores to INR12,000 crores kind of business over next five to six years. So that we still are hopeful of getting, but the tenders have to come out And this is going to take time because this is not a matured technology . So there will be continuous evolution.

Okay, sir. And one more on the telecom side, there is some uptick in margins. So what contributed for this uptick and going forward how we can put the margin trajectory in telecom sector?

You're talking of, just a minute, can you please repeat your question?

In the telecom segment, there is some increasing improvement in the margins. So what is the reason for this improvement and going forward how we can see this telecom segment margins?

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So our EBIT is around 24% right now. And you're talking of Wi-Fi or telecom business?

Telecom.

Overall, we are maintaining around 24% and we hope that we will continue with that. There may be small aberration here or there, but we are continuously trying to basically shift higher to our own network. So that will certainly will give us some boost. Secondly, we are also now penalizing our last mile service providers with penalties on SLA accounts. So that reduces our expenses also.

Thank you. The next question is from the line of Mr. Sanjesh Jain from ICICI Securities. Please go ahead, sir.

Yes, good afternoon , sir. Thanks for taking the question. First, again on the telecom services, this quarter around the revenue growth was just 4. 7%. I think the anticipation of the revenue growth in this segment was 10% to 12%. Is there any one-off or any reason you can elaborate for the slower revenue growth in this quarter?

There's no one-off. But there is certainly price pressure on telecom side is there. Overall, even country is growing at NLD segment. Country is also growing at around 5 to 6% only. And 5G storage is also not getting backed faster as was anticipated. And it's going to take time because 5G use cases are not coming up the way expected.

But yes, in future, when the 5G story gets through, the revenue growth in telecom segments will happen. Because telcos were expected to have more number of towers co-located with us. But that kind of momentum is yet to come. We are continuously in touch with telcos who will take our tower co-location. That would have given certainly a flip to our telecom growth and margin as well.

So is it fair to assume that until the 5G pickup shows up, the revenue growth will be in a mid single digit for the telecom services?

No, I still expect that our overall telecom revenue will grow at around 10% to 12%.

Okay. But this quarter, it was significant...

This quarter, yes. It seems to be muted because of the tariff. There was a pressure on tariff from the customer side, coming customers.

In that case, that will continue for the full year, right, whatever the renegotiation has happened ...

So tariff decision once in a year. Generally, it happens in the beginning of the quarter. But this time, it happened in the middle of the year. But still, I see that the growth of the telecom side will happen. We are also basically finding new ways how to maintain this growth momentum of 10% to 12%. And we are sure, we are tweaking our tariffs. We are even dark fiber and tower co locations.

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We have revised our tariffs so that the -because of the prices in telecom industries have been lowest in the world. And after 5G coming in, the pressure of capital expenditure on telcos has increased even more. So then we have to support them with the reduced tariffs. Otherwise, they might crumble. So that is the thing. So I think it should remain there. 10% to 12% growth guidance should continue. Overall, a period of year, annual, if we see some longer period time. Got it. And on the margin, last year also. this Q2 was, I think, reasonably high in terms of margin. And then it tapers off. This time, you believe it is different and margin should stabilize at these levels? As you said, you have some cost-driven measure? And a related question to that, you said that you are shifting some of the traffic from off-net to on-net. But that will also involve a capex, right? Because we need to lay the fiber. We would have gone to somebody else because we don't have established fiber there. So should we look at capex in that sense?

See, capex we have been doing. But due to COVID, the capex thing got delayed. So we had to hire some

capacities from other vendors also to provide the SLA compliance. Now, as our network has come up, so we are basically now rehiring those capacities. So that is also resulting in some efficiency.

So how much have you spent in this year and what is the plan for the full year from the capex side?

Capex side, we are contemplating around INR180 crores. Of course, not completely on the network side. We are adding to data center, laying some OFC also, and that power bank and all that. So roughly around INR 180 crores.

Now, if I recall very properly what we spoke earlier, we said that the margins in telecom business has structurally come down because our fiber, which have now become old, have seen an increased repair and maintenance. Is there change in that commentary? I think, we have reduced our margin guidance earlier. I don't think, we have spent significantly on replacing the fiber. .. If you recall the older numbers, our margins used to be in 30% plus. Now, that correction has already taken place and we will continue with that kind of activity. But that is not a new factor now at this point of time. That we have already taken care of.

More kind of EBIT margin should continue for the rest of the year. Will that be a fair assumption?

Sorry?

This 24% margin should sustain for the remaining six months?

I hope so. I have no doubt.

Okay, that is great. Second on the project business, what is leading to a spurt? Is it more of VSS getting delivered or which project is driving a higher growth in the project business for us this quarter?

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We have a couple of good projects where margins are also good. We are making one data center for C-DAC, for Government of India, through C-DAC. That is one project. And VSS, of course, is one of the projects which is also getting rolled out. So, these two projects, of course, have contributed to projects.

And what should be a realistic assumption of a project revenue for FY '24?

I think, we remain committed to what we said last time around INR1,400 crores to INR1,500 crores.

INR1,400 crores to INR1,500 crores. So, that looks achievable for this year?

That is the best which we will be striving for.

Okay. Got it. That is all from my side and thanks for answering all the questions and best of luck for the coming quarter.

Thank you, Sanjeshji.

Thank you, sir.

Thank you. The next question is from the line of Mr. Viraj from Jupiter Financial. Please go ahead, sir.

Yes. Good afternoon, sir. And congratulations on a good set of numbers.

Thank you.

My question, sir, is that this order book which we talked about INR 5000 crores, it should be executable in how much time, would be?

See, there are various components in this. There are some projects which are even 10 years.

There are some projects which are capital intensive. So, we will be spending and earning revenue in shorter term. So, that actually that composition keeps changing. It's very dynamic.

And the kind of numbers we are sharing like INR1,400 crores to INR 1,500 crores of project revenue this year, we have worked out from that number only. We have --though we have not split it into future years, but mostly out of this INR1,500 crores, roughly INR3,000 crores to INR3,500 crores would be kind of realizable in next two years to three years.

Okay. Sir, my next question is on Kavach only. What will be our opportunity size and what will be our margins. Could you give some color on that?

That's a difficult question now. Let us keep it pending for some more time.

Okay. And what is our ARPU now with the RailWire subscriber coming up? Is ARPU also moving up?

Yes. We are maintaining the same number, INR550.

Okay.

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Sanjai Kumar: Rai!Tel Corporation of India Limited

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And, sir, this update on our venture with 3i Infotech, any further updates on that? How is it progressing then?

It's progressing well. And it has started now on field also. So, maybe another three months to six months, we should start getting more numbers and more revenues from this because all other preparations which were required are almost complete.

And what will be the revenue size kicking in any?

Minimum revenue is the same, INR 12 crores. But once we get good momentum from the advertisers, which now we have started seeing because this is, first of its kind in the world, in any Wi-Fi ecosystem. Sony, it was INR14 crores, not INR12 crores.

Okay. And sir, guidance for the year, it would be closing this year with what? What revenue and be fair to assume, sir, net margin of 10% for the year?

Yes, should be close to 10%.

And the revenue would be in what range, sir?

20% to 25%. That's what the guidance we are working with, 20% to 25% kind of growth guidance.

Okay. And my last question, how do you see the momentum year forward? Is the thing getting better for us? Because last time I met you, you were very optimistic about it, on cost?

Regarding?

How's the next year onwards? Things are going better for us with the change in economy and ...

Certainly. Yes. We are very much optimistic and things are happening the way, we anticipated.

That's it from my side. Good luck to you, sir.

Thank you. Thank you very much.

Thank you. The next question is from the line of Mr. Bala Murali Krishna from Oman

Investment Advisors. Please go ahead, sir.

Thanks for the follow-up opportunity. Sir, regarding the Rai!Wire incremental subscribers is very low oil quarterly basis. So, is there any further future plans to improve the subscriber base?

Yes, we are actually, see, this market is very hot, \l.'!') cutthroat, and smaller players are many times playing spoiled sports. So, we are continuous!.. in fact, getting into the granularity of the business. And we are empowering our regional teams also to act so that the decision can be taken faster at their level. We are doing every effort, at least so, in this business. It's not only growth, but sustaining the numbers is also equally important.

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So, I think that we would continue with our kind of numbers, at least this number. There would be some spike somewhere or here or there. But overall, I think we should remain in the market.

And I don't see any decline. I would say, any change which is remarkable, I can say now. But

yes, on an average, we'll continue with the same kind of growth, maybe a little here or there.

The best part of the Rai!Wire is there is no debt. We are getting everything in advance.

Okay, I understood. Thanks for the explanation. And regarding the 3i Infotech, are we recognizing its revenue in this quarter or is it still yet to come?

We have started recognizing revenue already.

I think it's directly inside the bottom line. There is no investment in it.

Yes.

Okay, thank you. Thanks a lot.

Thank you. The next question is from the line of Ms. Dhvani Shah from Investec. Please go ahead, ma'am.

Yes, just a couple of questions. First, if you can give the breakup of NLD, ISP, and IP revenues

in telecom?

So, the breakup is NLD is INR147 crores, ISP is INR11 crores, IP! is INR51 crores. Then railway projects and other projects put together is INR290 crores.

Another question was that you all have guided for

EBIT margins of 5% to 6% in the project

business for this year. And in this quarter, we've achieved around 8% EBIT. So, going forward, the margin should come off given that these new projects are coming at lower margins, is that assumption correct?

See, this is an opportunity which decision you have to take at the moment when you see that the competition is high or low. So, sometimes we get good margins, sometimes we get even lower margins. But we feel that I'll continue with the same statement that we'll average out to around 5% to 6% on an average. The guidance will remain the same.

Understood. And your employee cost has come off a bit in the quarter. Will there be certain performance related payments coming in the next half of the year?

Employee cost is almost the same. Maybe some perks here or there. Last time, it was INR52.37. Now, it is INR51.59. So, there may be some one-off expense. Otherwise, it is the same. There is no contributory factor which I can point out.

Okay. And just a last question on telecom. In Telecom Q2 is supposed to be seasonally stronger given you all have some invoicing. Did that stand true for this quarter? Or is there any shift in the invoicing? Because the revenues came in a little softer but the margins were higher. So, is there any shifting or how should we see this going forward?"

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Sanjai Kumar:

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I told you that there was some revision on tariff with some customers. So, that may be the only reason. There is no other reason as when I was answering to questions asked by other investors also. Otherwise, and then, yes, Wi-Fi income has also contributed to this. In the North-East region, there was some churn-out also during the last quarter because of unrest in Manipur and those areas which had affected to some extent. That was also one small contributor, you can say. But otherwise, there is no perceptible contribution.

Thank you so much.

Thank you.

Thank you. The next question is from the line of Mr. Vishal from IDBI Capital Markets and Security Limited. Please go ahead, sir.

Yes, sir. Sir, a couple of questions from my side. First, as per the footnotes, we have mentioned that the ECL provision of roughly like INR10-odd crores, that is not required. So, the INR 10 crores reversal has happened for this quarter or it is for which period, sir?

Yes. See, we have further corrected, rather I would say a minor correction we have done. Earlier, we were taking three years for counting ECL. Now, we have corrected it to five years on a realistic basis because most of the projects, five years were more realistic. So, that correction has taken place. But otherwise, impact is not much. We have not taken any reversal during this quarter.

Okay. So, INR 10 crores is for quarter 1, not for this quarter, right, sir?

INR 10 crores is from quarter 2. So, it is quarter 2, we have not reversed, right?

No, we have not.

We have not reversed anything in quarter 2.

Okay, got it, sir. And second, sir, as per ...

Vishal, the ECL was INR10 crores in quarter 2 and quarter 1, it was INR16 crores. INR6 crores improvement.

Okay. So, for the first half, roughly INR26-odd crores in this particular financial year, right, sir?

Yes.

Okay. Second, sir, capex, if we look at in first half, is a little bit on higher side for in the first half. So, how do you see this full year panning and will it be possible, like, where exactly this capex spending is happening in any colour that you can provide, sir?
Again, the same, INR180 crores which we were targeting. So, fortunately, we have spent now in the first half, 130. So, another INR50 crores should be coming out. You want to break up?
Yes.

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No, no. So, basically, it is particularly coming only from telecom side and any particular? Telecom and data centre. Yes. And some other sector they complete power supply, then some OFC replacement, small quantities and all that.

Okay, okay. Got it. And you clarified that, your full year guidance for doing like 20% to 25% revenue growth. But, I mean, I was just doing some bit of working that if we do like 1400 to 1500 crore revenue in project side and maybe a steady state number of 5% to 10%, then our growth number could be more than 30 odd percent at a company level. So, I mean, are we conservative in guiding or how one should see that, sir?

I won't comment much on this. But, yes. 20%-25% is what we are anticipating. Realistic.

Okay. Got it, sir. Right. Maybe one last thing from my side. I think you did just touched upon the modern train control system. So, for our set of vendors or equipment suppliers, so RDSO approval were pending. So, when do you see the timeline of getting that approval?

See, OEMs have already got it. It's not that no approvals have come and we have spoken even a couple of those OEMs whose products have been approved by RDSO. But the challenge is now the requirement is that it should happen with LTE, which was not the case in the earlier tenders which are already under implementation. So, kind of --that change will require some more time for new tenders to get floated.

So, that is why I told you initially also, earlier also, that this is a new technology and it will take some more time to mature. And that's why we are cautious. We don't want to indulge somewhere we get stuck. But we are certain that this technology is going to be there and it is going to mature. The kind of push given by Honourable Minister will certainly expedite the process. And not only that, we will be in position to export the technology as well.

Okay. So, in terms of our set of vendors, can you name like the three approvals which RDSO has given? I mean, like, who are they?

HLB, Medha and Camex. These are the three OEMs.

Okay.

HLB, Medha and Camex.

No, but these vendors, they already have tie-up with some system integrators. But for our I mean like, set of equipment side, anything that you think can get an approval or probably like, we can also eye for an opportunity when these tenders come?

Till now, we were not active in this segment. But we being an organization with a good number of experienced signal and telecom engineers of railways working with us, I think there cannot be any other organization which can take such projects at faster pace because of our natural connection with railways. We come from railways. So, that is why that advantage certainly will accrue an upper hand vis-a-vis other system integrators.

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Sanjai Kumar: RailTel Corporation of India Limited
October 27, 2023

So, once we decide and then we have already decided and we are already in discussion with these OEMs and the OEMs whose products have not been approved. And the new technology part which is LT portion is yet to come. We are sure that we should be getting a good share from this technology in railways.

Okay, sir. Maybe one last question from my side. So, any particular segment in railway capex that we are seeing a growth for us that we can capture? Maybe, RDN or earlier it was the content on demand anything that become?

Not yet, not yet We are targeting but not yet. We have not yet made it part of our bucket. We will certainly announce or do so whenever the time is right

Okay, okay. Sure, sir.

And certainly, a lot of potential.

Su

re, sir. I will come back in the queue, sir.

Thank you. As there are no further questions. We would now like to conclude this earnings call. On behalf of IDBI Capital Markets and Security Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Thank you.

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Call: Jan 2024

RailTel/Sectt/21/SE/S-16 Date: January 31, 2024

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Outcome of Analyst/Investor Conference Call held on Thursday, 25th January,
2024- Transcript.

Ref: Our Letter of even no. dated 22nd January, 2024 and 25th January, 2024.

Dear Sir/Madam,

In reference to our previous communication dated 22nd January, 2024 regarding
Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO)
of the Analyst/Investor Conference Call held on Thursday, 25th January, 2024, organised by M/s.
IDBI Capital Markets & Securities Limited.

2. This is submitted for your information and record.

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RailTel Corporation of India Ltd. (A Government of India Undertaking)
CIN : L64202DL2000GOI107905 ~
RAILTEL
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Registered & Corporate Office : Plate-A, 6th Floor, Office Block-2, East Kidwai Nagar, New Delhi-110023 ,
T: +91 11 22900615 , F: +91 11 22900699
Website: www.railtelindia .com
"RailTel Corporation of India Q3 FY24 Post Result
Earning Conference Call"
January 25, 2024
~

RAILTEL
MANAGEMENT: MR. SANJAI KUMAR -CHAIRMAN AND MANAGING
DIRECTOR

MR. V. RAMA MANOHARA RAO-DIRECTOR
{FINANCE}

MR. MANOJ TANDON -DIRECTOR {PROJECT},
OPERATIONS & MAINTENANCE

MR. YASHPAL SINGH TOMAR- DIRECTOR {NETWORK
PLANNING & MARKETING)

MODERATOR: MR. VISHAL PERIWAL-IDBI CAPITAL MARKETS &
SECURITIES LTD.

Page 1 of 12

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RAILTEL

Moderator:

Vishal Periwal:

Sanjai Kumar: RailTel Corporation of India

25 January 2024

Ladies and gentlemen , good day and welcome to the Q3 FY24 post result earning call of RailTel Corporation of India Conference Call.

As a reminder, all participants ' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you. And over to you Mr. Periwal.

Thanks Tushar. Good afternoon everyone. Just to clarify, welcome all to the RailTel Corporation of India Limited Earnings Call.

I'd like to thank the management for giving us this opportunity to host their call. From the management side we have with us Sanjai Kumar Ji, Chairman and Managing Director, V. Rama Manohara Rao Ji, Director -Finance, Manoj Tandon Ji -Director -Project, Operations & Maintenance , Yashpal Singh Tomar Ji, Director- Network Planning & Marketing .

So as usual, we'll have "Opening Remarks" from the management and then we'll have the lines open for Q&A. Sanjai Sir, over to you.

A very good afternoon and very happy new year to all investors.

It gives me great pleasure to interact with you on the Company's performance in the backdrop of Quarter 3 Limited Review Financial Results of the Company for Financial Year 2023-2024 which were declared yesterday by the Company.

The Company achieved total revenue of Rs. 675 crores for Q3 as against Rs. 613 crores in Q2 of FY24 and Rs. 462 crores in Q3 of FY23 registering a sequential growth of 10% quarter-on-quarter and 46% on year-on-year, Y-O-Y. The operating revenue of the Company for Q3 is Rs. 668 crores as against Rs. 599 crores in Quarter 2 of FY24 and Rs. 454 crores in Q3 of FY23 registering a growth of 12% quarter-on-quarter and 47% year-on-year.

The telecom segment contributed Rs. 329 crores and project segment contributed Rs. 339 crores in Company's operating turnover. The profit before tax in Quarter 3 of FY24 is Rs. 84 crores against Rs. 43 crores in Q3 of FY23 registering the growth of 95% year-on-year.

The Company posted profit after tax of Rs. 62 crores in Quarter 3 of FY24 as against Rs. 32 crores in Quarter 3 of FY23 registering the growth of 94% year-on-year. EBITDA for the Q3 of FY24 is Rs. 125 crore and the EBITDA margin is 18.49% against Quarter 3 of FY23 of Rs. 80 crore and 17.33% respectively thus registering a growth of 7% year-on-year in the EBITDA margin on percentage basis.

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RAILTEL

Moderator:

Avnish Khara:

Sanjai Kumar:

Avnish Khara:

Sanjai Kumar:

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Sanjai Kumar:

Avnish Khara:

Sanjai Kumar: RailTel Corporation of India

25 January 2024

For the nine months ended on 31.12.2023, the Company achieved a total income of 1770 crores

and a total PAT of Rs. 169 crores registering a 38% and 49% year-on-year growth respectively for turnover and profit.

The Company's margins in the project segment have improved from 5% during the last year's nine months period to 7% during current year resulting in improvement in EBIT margin to 13% during current year nine months period as compared to 12% during last year. With the robust order book of around 4800+ crores bolstered by new orders worth Rs. 2000 + crores during the current year itself, we are poised for continuous growth in future.

At the end, it gives me immense pride in sharing with you all that recently Honorable Vice President of India Sri Jagdeep Dhankhar presented the Scope Eminence award to RailTel. We won the award in Institutional Excellence category of Mini Ratna I and 2 for overall outstanding performance during the year 2019-2020.

I, on behalf of RailTel, wholeheartedly thank all our investors for their faith in us which inspires us to extend our limits and propel RailTel to greater heights. We deeply value the trust of our investors and stakeholders and shall remain thankful for their continued support. Jai Hind.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Avinash Khara. He is an investor.

Hello. First of all, I think there has been a mistake. I am Avnish Khara from Investech. The first question I have is can you provide me with the breakup of your NLD, ISP and IP revenues for the quarter?

This is Rs. 145 crores from NLD, Rs. 113 crores from ISP and Rs. 68 crores from IP-I category.

My second question is on your other expenses. If I look at them as a percentage of your revenues for not just this quarter but last quarter as well, on a Y -O-Y basis, they've come down significantly. Is there any ECL provision reversal or is this what we can build in for the foreseeable future?

No, there is no reversal as far as ECL is concerned.

Can you maybe throw some color on what has led to this sudden fall in your other expenses?

So last quarter there might be some provisions, the expenses increase. I don't think there's any significant, maybe some provisions for some PRP.

What about your overall guidance for projects in telecoms? Are you sticking to that or is there going to be any change?

We are going to continue with the same guidance which we had last quarter also.

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Avnish Khara:

Sanjai Kumar:

Moderator:

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Sanjesh Jain: Rai/Tel Corporation of India

25 January 2024

Maybe I can just put one last question in. I just wanted to understand the margins that you all are winning on the new projects, given they are no longer won a nomination by railway, how should we think about the project revenues and margins going forward?

Margins, if we talk of project revenue, we will remain in the same bracket, 5% to 7% kind of overall. Because there might be projects where, as I've been telling earlier also that the margin depends upon the competition, the area, the sector, geographical area, many factors are there, and we don't want to lose any opportunity where we have potential to work. So that is why the overall margin of project, I can say, that will remain in same 5% to 7%. And as far as your expenditure other expenses, I would like to again say that we haven't seen any significant change in other expenses.

The next question is from the line of Sanjesh Jain from ICICI Securities.

I got a few questions. First, what is the order book as on December 31st?

On 31st we were around 4600. And now today we stand at around 4800.

Okay, so it has increased by 200 crores. Just want to understand a little bit more on the railway rollout on 700-megahertz spectrum. Is there any development? Are they deploying 4G? Are they deploying 5G? Where are they in the process and how are we involved in that?

Railway is going ahead with L TE only as of now and the POCs are underway, and we are one of the POC conducting agencies. I believe this would answer your question.

When we say we are POC conducting agency, would that really expand our scope?

They have identified a few companies, few system integrators, you can say. And they have shortlisted one of them, we are.

So, we are among one of the shortlisted.

Yes, in South Central Railway.

What will be our scope of work in this? It is installing the radios, towers, and fiberizing the towers, all this will be the scope of the work?

Yes, almost. Actually, basically the purpose would be the conducting POC with core and of course a RAN element would be there, because otherwise L TE will come into picture only when the RAN come, radios come.

What about the tower, sir? We were also anticipating 7000 to 8000 towers, which would be a potential opportunity or a complete addressable market for this. Are we also there in the tower?

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RAILTEL

Sanjai Kumar:

Sanjesh Jain:

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Sanjai Kumar: Rai!Tef Corporation of India

25 January 2024

Yes, we are erecting a few towers. We have got an order also from railways in South Central Railway for erecting these towers for L TE purposes only. Recently only. That was posted on SEBI portal also. So, there we are, and we will certainly try to get advantage of this potential which is there for us.

So, the CAPEX will be done by railway or CAPEX will be done by Rai!Tel for this particular purpose.

This is a project; this is not IP-I business.

That is why it will be done by railway.

Yes.

How will we benefit? This will not be available for sharing with us, right?

See, we will have to work out on these modalities , maybe with Ministry of Railways for these new towers. But yet now, nothing.

My second question is on Kavach. We earlier said that the technology was in a development process, and we were watching that very keenly. Where is that right now? I think there are certain orders which have been already rolled out and I think one of the order we are there right now, right?

I think from the last quarter, we haven't seen any activity as far as railways is concerned. So, the previous orders are still under implementation by the agencies who were awarded these works. And this POC, which we are part of it will also contribute to the maturization ofKa

vach product,

of course, because it's part of the overall eco signaling system, that anti train collision system.

So, this LTE POC, which I talked about is part of the same exercise.

When realistically we can expect actually the rollout of Kavach in India? Will it take another twelve months, do you think so?

As you have already said that there's one part of the Kavach which is already under rollout, but that is on the VHF radios not on L TE. So yes, optimistically we can anticipate that it should happen in the next twelve months, maybe at least starting. But I would not be the right person to comment upon this.

Just trying to pick up your thought there. My last question again pertains to the tendering of edge data center, which we have been talking now for the last few quarters. Where are we in that process of tendering the edge data center?

It is already in final stages. Bids have been received. They are under evaluation and shortly we should be finalizing.

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RAILTEL

Sanjesh Jain:

Sanjai Kumar:

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Sanjai Kumar:

Moderator:

Viraj Mithani:

Sanjai Kumar:

Viraj Mithani:

Sanjai Kumar:

Viraj Mithani:

Sanjai Kumar:

Viraj Mithani: It will be 120, if I remember it right. Rai/Tel Corporation of India

25 January 2024

100 locations we have identified. And we will certainly begin with a few important major locations. And then we'll proliferate it further. Our target is 100, but we'll start with a few. Maybe in this quarter we might start the journey.

One last bookkeeping question on the other income. Other income has dropped from 13 crores to 6.5 crores in this quarter. Any reason for the decline in the other income?

See, interest income is the major component in other income generally. Generally, in Q2 we have to pay dividends and all those things, and accordingly the interest income is reduced.

Has the lowest other income.

Yes.

That's the only reason, right? We utilize the cash so interest income declines for that quarter.

Nothing exceptional, yes.

The next question is from the line of Viraj Mithani from Jupiter Financial.

My question is, can you give me some sense on the trajectory coming forward in terms of sales growth and net margins. Broadly, we are clocking at what you told last time, some 20% sales growth and 12% net margins. Is Trajectory would be the same? And what could be the triggers for the growth going ahead?

Optimistically, _conservatively, I would say we are continuing with the same guidance, and we will certainly continue to strive to do better than ever. So that will be the efforts by our team.

But certainly 25%, I can say maybe 20% to 25%. Last quarter I may be saying 20%. So now I can say 25%, conservatively, we should continue to do in future quarters and maybe we will be doing better also.

25% top line growth and the margins would be same at 10%-12% net margin.

Yes. Margins will also be in the same range.

And 25% conservatively will grow. So, there's a higher chance of growing more than 25%. That's what you're indicating.

Can you repeat your question please? Because I think there was some noise coming.

You said 25% will grow conservatively. It means that there is a very good chance of growing more than 25%. Is that right?

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RAILTEL

Sanjai Kumar:

Viraj Mithani:

Sanjai Kumar:

Viraj Mithani:

Sanjai Kumar:

Moderator:

Manish Oswal:

Sanjai Kumar:

Manish Oswal:

Sanjai Kumar:

Manish Oswal:

Sanjai Kumar: Yes, we hope so. We will try to do that. Rai/Tel Corporation of India

25 January 2024

And what could be the trigger for the growth in the years ahead, next year?

Mostly it will be project income because project income is going to give us the maximum growth numbers and we are actually coming into new areas also. Like signaling, we have already started working and getting orders also through open tenders, railway work through open tenders, we

are

continuously getting new orders. You must have seen on orders shared with portal. So that is one. And we are expecting in value added services like Aadhaar authentication services also we are doing a good job. And these are small streams, but many smaller streams we are working upon. And those are certainly adding to our top line. And project, of course, IT, ICT project of course continue to be there. The major driving force.

And Kavach should be additional to this, if next year Kavach comes in?

Kavach in near, I don't see next one or two quarters. But yes, later on Kavach will also add on to.

The next question is from the line of Manish Oswal from Nirmal Bang Securities.

My first question on the margin in this quarter against the revenue growth of 11.6% on Q-on-Q basis, margin has slightly lower pay. So, is there any mix which impacted the margin at EBITDA level?

There is nothing specific, see, actually if you see in quarters, it is possible in the basket of projects being executed during that quarter may have a mix where number of projects with lesser margin, maybe 5% are slightly more or something like that. So, we don't see any specific trend. We are continuously working in the same range. And if you see maybe on nine months period you will find that there is consistency. So quarterly results, if we watch as these smaller numbers, you may see such trend but there is no specific reason behind it.

Secondly, in terms of currently we have order book of 4800 crores. What is the time frame to execute this order book?

This is spread over, taking from one year to up to ten years. Because there are some projects which are spreading over ten years also.

As an investor, how should look at in terms of revenue visibility from the order book from a two-year perspective, from the order book then?

If I see out of this order book, next year we might be converting into revenue around 1300 to 1400 crore. Just an idea I can share with you.

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RAILTEL

Manish Oswal:

Sanjai Kumar:

Manish Oswal:

Moderator:

Sri Harsha:

Sanjai Kumar:

Sri Harsha:

Sanjai Kumar:

Moderator:

Vishal Periwal:

Sanjai Kumar:

Vishal Periwal: Rai/Tel Corporation of India

25 January 2024

One small data point. On YTD basis, what is the order inflow growth vis-a-vis last year nine-month period.

That data maybe we may have to find out. I'll share this number.

Maybe on the call you can share, it will be great.

The next question is from the line of Sri Harsha, an individual investor.

I have a couple of questions. Can you throw some light on the opportunities available in the train avoidance collision system and your expected JVs or collaborations for the train avoidance collaboration with the manufacturer or the local manufacturers?

I'll maintain the same numbers which I have been telling earlier also. Out of this Kavach opportunity we are expecting 4000 to 5000 crores of opportunity which is spread over next five to six years. And if you talk of tie up with the OEMs, the approval by railways is still undergoing and they haven't added any new OEM, and we are continuously in touch with the newer ones. And the opportunity I would say that still we are waiting for new tenders to come. POCs, as I shared in the earlier answer that we are part of one of the POC related to Kavach only. So, we are also expecting tenders from railways and then we'll certainly participate in that.

Another question is with regard to the order inflow; can you throw some light on the order inflow expectation for financial year 2025 and 2026?

Order inflow like this year we are expecting we may be touching somewhere around 2500 crore of orders this year. So next year we will be certainly targeting to get at least 4000 to 5000 crores of new orders adding to our order book.

The next question is from the line of Vishal Periwal from IDBI Capital.

Can you give some clarity on the RailWire, where the subscribers are and how is the addition in

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his quarter?

RailWire, our subscriber numbers are roughly close to 5.67 lakhs right now and we are facing, yes, very cutthroat competition in urban areas and we are continuously trying to reach the rural areas also. And additions from rural areas are in good numbers. But still, we are finding innovative ways to continuously innovating the tariff model, the bouquet mix and all those things. We are continuously in touch with our partners. There are 9000+ partners on date with us and they have trust in us. We are continuously working on this and then going at. .. We want to achieve a number beyond which maybe our journey will be smooth. So maybe ten lakhs number or eight lakhs of total subscriber mass may give us that threshold.

Any internal targets that you have in which year we are having that target of eight to ten lakhs.

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Sanjai Kumar:

Vishal Periwal:

Sanjai Kumar:

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Sanjai Kumar:

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Sanjai Kumar:

Vishal Periwal:

Moderator:

Parimal Mithani:

Sanjai Kumar:

Parimal Mithani:

Sanjai Kumar: We will try to do this by next year. Rai/Tel Corporation of India

25 January 2024

And this 5.67 Lakh, what would be the breakup in the urban and rural, percentage wise, any number, if you can share how the split is?

Roughly around 60%-65% is from rural. I think 60% is from rural and 40% is from urban.

And then what could be the ARPU in this quarter for the 5.67 Lakh?

Rs. 529 is the correct number for this quarter.

And then this ARPU, how this will differ in urban and rural this number.

Actually, when we are talking of ARPUs, this is more or less the same. But we have some SME customers in rural areas, Tier-3, Tier-4 towns who are big paymasters because they are taking for their even business, small and medium enterprises are also taking. So rural areas, we can say we are getting more revenue from rural areas. Maybe that's why the rural area ARPU would be more.

I think we have broadly mentioned that our growth rate will be 20% to 25% odd. But I think in this year if you look at, we have done a pretty strong set of revenue growth in nine months, three quarters which have gone. Because if we just do that working, then probably it looks like Quarter 4 could be a flattish sort of number. So, anything that we should read more on it?

No, I would say it is ruled out. It will not be flattish. We will continue with the same momentum and the 25% I told that this is a conservative number, but that is for sure. We are certainly there for doing much-much better. We are continuously working towards improving our performance and satisfying our investors.

Okay, that's very heartening to see. I think till this year we have done pretty well, and market also has been quite supportive. I'll come back in the queue for more questions. Thank you.

The next question is from the line of Parimal Mithani, from Credential Investments.

Remarks earlier participant that you expect the order inflow to be in a range of 4000 to 5000 crores next year, right?

Yes.

So that means the run rate for order inflow will be much intense compared from this year, because this year in the opening remarks you mentioned 2000 crores of orders you have got. If I'm not mistaken.

Yes.

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RAILTEL

Parimal Mithani:

Sanjai Kumar:

Moderator:

Vishal Periwal:

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Sanjai Kumar:
Vishal Periwal:
Sanjai Kumar:
Moderator:
Viraj Mithani:
Sanjai Kumar:
Viraj Mithani:

Sanjai Kumar: What makes you confident about this order inflow? Rai/Tel Corporation of India
25 January 2024

When we see some cricket match, when a batsman is playing, when he's making runs, he aspires to then do fours and sixes. So, our confidence and our team is working very hard to make it better and better and better every day. That is the confidence I have, and the trust of our investors of course is there. So that is driving us. And that is all

I want to say.

The next question is from the line of Vishal Periwal from IDBI Capital..

Can you give some color on a couple of initiatives that we were taking in say RDN side content of demand, CoD which was there anything that is happening or attraction that we are seeing?

Vishalji, I think I have been telling in earlier calls also, we have moved much ahead of CoD and RDN. So, if railway gives that opportunity to us, we are there to do it. Otherwise, we have a lot of other opportunities and we are not now very keen. We are there. We have solution. Given the opportunity, we will be doing that.

In project side, sir, is it like railway or non-railway that we are seeing attraction in terms of opportunity for us?

Non-railway has always been the major share in project business. We will continue to have around 15% of the business from railways overall including services.

For this quarter, will we have this revenue breakup between Railway and others for project work services.

This quarter, railway and non-railway, I'll share this number with you. So, in nine months performance, Rs. 167 Crore goes to railway and Rs. 640 Crore goes to non-railway. This is nine months.

The next question is from the line of Viraj Mithani from Jupiter Financial.

My question is regarding the last participant. You said top line of 5000 crores order book. Do we consist of small orders or are you counting in the Kavach order inside this order book?

This is basically a projection and will certainly have all kinds of orders including Kavach and other railway projects.

Kavach could also be a part of this when you say 5000 crores order book, right?

4000 to 5000 will be over spread basically, revenue booking will be spread over next five to six years. Because execution of these projects will take time.

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RAILTEL

Viraj Mithani:
Sanjai Kumar:
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Moderator:

Balasubramanian:

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Balasubramanian:

Sanjai Kumar: Rai/Tel Corporation of India

25 January 2024

But the 5000 order book will touch next year? Right now, at 2000 order book, if my understanding is correct.

4000 to 5000, we are targeting. This is a number which I can ... so kind of opportunities available in the market. The competition, of course, all these things. So, we are targeting around 4000 to 5000 new orders next year.

You're counting Kavach also in that order book, right?

Kavach can also be part of it.

The next question is from the line of Balasubramanian from Arihant Capital Markets Limited.

On the broadband connection side we have around 5.67 lakhs and rural and urban mix 60:40. I just want to understand which are the areas we are specifically focused on like north markets or west. And I just want to understand still the rural market is under penetrated. What are the growth

strategies we have under increasing the connection side. And I just want to understand the realization side also like whether how much the realization side are increased in this quarter. Can you just repeat your question? Because I think your voice was somewhere not clear. Under broadband connection side we have around 5.67 lakh and rural and urban make 60:40. I just want to understand what are the growth strategies we have to expand further. And I just want to understand the realization side also. Realization, if you talk of RailWire, there is no issue of any realization. Most of these are prepaid, right? So, there's no issue of any realization. If we talk of strategies, I can just give you indicators but really cannot share these strategies because these are trade secrets. But yes, we are encouraging our partners, and they are basically boosting their morale because they are the ultimate connect with the customers and we are holding meetings with them even at the senior management level also. And of course, innovating, bringing new innovative products and prod

uct mix and tariff strategies also being worked out.

This urban rural mix, like what kind of mix we can expect in next two to three years.

Our focus continues to be in rural because, I think you said that rural area is under penetrated.

There is a lot of scope.

On the CAPEX side, how much we have incurred in this quarter and what kind of numbers we can expect in the next two to three years on the CAPEX side.

This year we have done around 180 crores of CAPEX, and we will remain in the same range.

We have not worked out capital expenditure for the next year. We'll be doing an excise within
Page 11 of 12

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RAIITEI

Balasubramanian:

Sanjai Kumar:

Moderator: Rai/Tel Corporation of India

25 January 2024

Q4 of this financial year only, but certainly will be around the 200, 200+. That is the minimum as we see now. But it will be certainly more it.

Data center side, what kind of opportunities we have. I think we are planning for NOIDA data center projects also and what kind of opportunities and what kind of growth we have in next two to three years.

The data center market in India is already very hot and we are doing every bit to basically harness this potential. And as far as NOIDA data center, we have already come out with an RFP and now bidders must be going to a pre-bid meeting will be held and then, so we are hopeful. I cannot comment right now on the numbers, but we are very much serious about this. That much I can share with you.

As there are no further questions. With this, we will conclude the call. On behalf of IDBI Capital, thank you for joining us and you may now disconnect your lines.

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Call: May 2024

Ref: RailTel/Sectt/21/SE/S-16/V-3 Date: May 9, 2024 A mini
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Scrip Symbol- RAIL TEL Scrip Code-543265

Sub: Outcome of Analyst/Investor Conference Call held on Friday, 3rd May, 2024-
Transcript.

Ref:-Our Letter of Even no. dated 30th April, 2024 and dated 3rd May, 2024.

Dear Sir/Madam,

In reference to our previous communication dated 30th April, 2024 regarding Analyst/Investor
Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the
Analyst/Investor Conference Call held on Friday, 3rd May, 2024, organised by M/s. IDBI Capital
Markets & Securities Limited.

2. This is submitted for your information and record.

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RAILTEL

"RailTel Corporation of India Limited

Q4 FY '24 Post Results Conference Call"

May 03, 2024

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RAILTEL

MANAGEMENT: MR. SANJAI KUMAR -CHAIRMAN AND MANAGING
DIRECTOR -RAIi., TEL CORPORATION OF INDIA
LIMITED

MR. V. RAMA MANOHARA RAO -DIRECTOR FINANCE

-RAIL TEL CORPORATION OF INDIA LIMITED

MR. MAN OJ TANDON -DIRECTOR PROJECT O&M -

RAIL TEL CORPORATION OF INDIA LIMITED

MR. YASHPAL SINGH TOMAR -DIRECTOR NETWORK

PLANNING & MARKETIN G-RAIL TEL CORPORA HON

OF INDIA LIMITED

MODERATOR: MR. VISHAL PERIWAL -IDBI CAPITAL

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May 03, 2024 ~

RAILTEL

Moderator :

Vishal Pcriw11l:

Sanjai Kumar: Ladies and gentlemen, good day and welcome to RailTel Corporation Q4 FY24 Post Results Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions _after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Priwal from IDBI Capital. Thank you and over to you, sir.

Yes, thanks Sejal. Good afternoon everyone and welcome to RailTel's Post Results Earnings Call for Q4 and FY24. First of all, I'd like to thank the management for giving us this opportunity to host their call and the day, today's day is graced by Shri Sanjai Kurnurji, who is the Chairman and Managing Director, Shri V. Rama Manohar Rauji, Director Finance, Shri Manoj Tandonji, Director Projects O&M, and Shri Yashpal Singh Tomarji, who is the Director of Network Planning and Marketing. So as usual, we'll have a brief overview from the management on the gone-by quarter and then we'll line open for Q&A. Yes, Sanjay sir, over to you.

Thank you Mr. Priwal and greetings to everyone. A very good afternoon to all investors. It gives me great pleasure to interact with you on the company's performance in the backdrop of

Q4 and yearly audited financial results of the company for FY2023-24, which were declared by the company on 2nd May 2024.

The company achieved total revenue of INR852 crores for Q4 as against INR675 crores in Q3 of FY24 and INR707 crores in Q4 of FY23, registering a sequential growth of 26% quarter-on-quarter and 21 % year-on-year basis. The operating revenue of the company for Q4 is INR833 crores as against INR668 crores in Q3 of FY24 and INR697 crores in Q4 of FY23, registering a growth of 25% QoQ and 20% year-on-year basis. The telecom segment contributed INR336 crores and project segment contributed INR496 crores in company's operating turnover in Q4. The profit before tax in Q4 of FY24 is INR 102 crores as against INR84 crores in Q3 of FY24, registering a growth of 21 % QoQ basis. The company posted profit after tax of INR 78 crores in Q4 of FY24 as against INR62 crores in Q3 of FY24, registering a growth of 26% QoQ basis. EBITDA for Q4 of FY24 is INR145 crores as against Q3 of FY24 of INR125 crores, thus registering a growth of 16% QoQ. For the year ended 31-03-2024, the company achieved a total income of INR2,622 crores and a total PAT of INR246 crores, registering a 31% growth respectively in both parameters in turnover as well as profit as compared to the last year. I would also like to share about two important events which happened recently.

One is that we have recently finalised an MOU with Quadrant Future Tech Ltd, forging an exclusive partnership for aggressively participating in KA VACI-I tenders, which was awaited by our investors for quite some time. Quadrant Future Tech Ltd is under the process of final approval by ROSO as an OEM for KA VACI-I product. Combining this with our in-house expertise, we are committed to contribute in the journey of Indian railways for implementation of indigenous safety systems like KAVACH and will also explore to proliferate the KAVACH technology abroad as well.

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RailTel Corporation of India limited

May 03, 2024 ~

RAILTEL

Moderator:

Sanjesh Jain:

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Sanjai Kumar: The second event, which is also significant, is that with the support of Indian High Commission in South Africa, we have signed a tripartite MOU with InoviTel and Tsiko Africa Energy and Infrastructure for Tsiko Group. In this collaboration, we are exploring opportunities in telecom, railways and other IT/ICT businesses in South Africa and the adjoining areas. This is a leap forward for us to take RailTel's services beyond the border.

We express our profound gratitude for the trust bestowed upon us by our investors and stakeholders whose unwavering support propels us to our continual ascent. Thank you. Thank you very much. We will now begin the question and answer session. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Good afternoon, sir. Thanks for taking my question. I got a few of them. First, can you help us with the order book which we have as on 31st March? And number two, what is the expectation of order book for our FY25, both from railway and non-railway segment? And related questions would be on the KA VACI-I now that we have signed an MOU. Can you help us understand how

does RailTel fits in this ecosystem? And what is the margin from that particular project? And what is the size of incremental order we are looking from that MOU which we have signed? Thank you, Sanjesh ji. Thank you, ICICI. Thank you for being with us continuously since our listing. So our current order book size is around 4700 crores. And out of this, we expect to implement and convert into revenue is around 2000 odd crores this year. So that is the second question. And third one is related to KA V ACH. So KA V ACH, we have been, I think, answering this question for quite some time that what we are doing in KAVACH. So I have always informed the respected investors that we are on the job.

And now we have found, we have completed the first step towards it and that we have signed an MOU with a new entrant in this area. They are an old company already working in railway sector. So now they have developed this product, KA VACI-I, which is compliant not only to the existing deployment specifications, but to the latest standards, which are 4G compliant. So the earlier KA V ACH product was not 4G compliant. So this new product is 4G compliant already. And the POC Testing is underway. And we have already decided to associate with them from this stage. I am not really aware, but we are expecting that in next may be two to three months, the tenders would come and we will compete in these tenders. And we expect that next three, four years, we may be doing, if we talk of KAVACH exclusively, then may be INR4,000 crores to INR5,000 crores of deliveries.

We should get these orders to the tune of INR4,000 crores to INR5,000 crores kind of delivery orders. And if we talk of complete system like LTE and this one put together. So there I guess that we will try our best to get even better, but we hope that we'll get orders to the tune of around INR5,000 crores to INR7,000 crores of orders. LTE as well as KAVACH I.

INR5,000 crores to INR7,000 crores on 5G or it is total KA V ACH I?

It is total. Both are part of the same system, but the OEMs would be different. Tenders are also coming separate. They are not in one tender.

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RailTel/ Corporation of India Limited

May 03, 2024 ~

RAILTEL

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Sanjai Kumar: So one will be for deploying 4G. the other will be for the deploying KA VACI-I. And both put together, you're telling could be in the tune of INR5,000 crores to INR7,000 crores?

Yes, that will be complete system of train collision avoidance system.

Got it. That's fair and quite a good news. Just to understand a little bit more, you said it's a new entrant and it is still under the POC. Who are the competition here in the KA VACI I for us? It's the companies like Siemens?

No. Right now, one is Mcdha. The other one is HBL NIFE. And then third one is Karmcx. And G.G. Tronics is also another new entrant whose product is also under testing.

Okay. Got it. And the company you said is Quadrant FutureTck. Is that name?

Yes, Quadrant FutureTck.

Quadrant, Okay. I've got it. And they are quite established and capable company?

Yes. They have a good experience of working in railways sector. They are already working in this sector.

Fair enough.

Their products are different though, but Yes.

That holistically answered my question very well there. Second on the telecom service. I think we were hopeful of doing double digit 10%-12% kind of a revenue growth this year and we probably ended in a mid-single digit. What's happening on the telecom side and what are the

challenges we are looking at, and how should we see this revenue in next year?

Yes. Actually, if you are aware, I think --number one, 5G could not get the kind of fanfare it was launched. But I think telcos are also struggling. So 5G also could not make the numbers. That is one aspect of it. But tariffs are also continuously under pressure. And demand, of course, is there. But because of falling tariffs, we are not able to see

that kind of growth in terms of revenue.

But we are finding --we are trying to find new ways so that we can make it more feasible and possible for us to make a double digit growth, at least 10% of growth. So we have worked out some strategies in this and we are hopeful that we will be successful in taking the growth of telecom business to 10% kind of.

Got it. The next is on the margins in the project business. This quarter, again, the EBIT margin was on the lower end. You said that the older project, which had lower margin, was completed. Any particular reason for this quarter having a margin of only 2.4%?

See, if you see the --like I have been telling you earlier also, so I think during --I remember I think it was half yearly meet or I think maybe subsequent one, wherein I had been informing

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May 03, 2024 ~

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Sanjesh Jain: and sharing with you that sometimes we find an opportunity that the business area where we are entering, it is new area for us and we sometimes have to take aggressive calls.

So few businesses which we were to enter, like, for example, in education, we were to enter the education sector in a bigger way. So we had to take some forward calls, some aggressive calls. And that is the reason that Q4. this affected our margin. Otherwise, you can take this only incidental to quarter four. And overall, if you see, we have been able to make it better number, if you see on a complete financial year.

Got it. On this project, on the KA V ACH side, what is the expected margin that we are working with in our projection? Will you be able to do a 5%?

That will not be possible for us to share because sometimes these are business secrets and because there's a lot of competition and people might take advantage of it. But certainly, we will do our best because it is competition. It is not domination. But Yes, 8% to 10% we expect that we should be able to manage.

Got it.

But still, I don't want to really comment much upon it.

Fair enough, sir. Just one last. ..

And then moreover, this all depends on the scope, the competition, because there are many factors. You come to know in a particular tender that sometimes market intelligence you get, that so many bidders are interested, who are the parties who are participating, what kind of jobs they already have on their hands. So there are many factors. We decide accordingly.

That's correct. On the Edge data center, where are we now in terms of... I thought we have completed the tendering, right?

Yes. So there's good news that we have onboarded a partner and the partner has already started its survey. And this year, we are expecting that 10 to 12 Edge data centers will be operational. And next year, we'll take a good number of data centers. So by the end of this year, we should be getting the same reflected in our numbers, maybe by quarter four. Yes.

Okay. And what is the estimated revenue from that?

I won't be able to comment it right now, because this is ultimately revenue share. But yes, this year, I won't be able to say much about it. Maybe ...

But at a full blown, will this segment give us INR100 crores of annual revenue?

Yes, in the two years run, we can expect. Not right now.

When it matures, it is big enough, we should be able to do 100. So that at least is a target for us.

Thank you, Sanjay sir. Thanks for patiently answering our questions. And best of luck for the coming quarters.

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Rail Tel Corporation of India limited

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Moderator:

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Sanjai Kumar: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Yes, thanks for taking my question again. Sir, can you just share the annual revenue for our sub segment, NLD. ILD. and ISP'?

So this year, let me, so let me try to give you the answer. Let me get the number. If you have any other questions in the meantime, I can segment them. Only quarterly or you want annual? FY '24.

FY '24, yes. So if we talk of, it is INR 238 crores.

Okay.

ISP, INR433 crores. And NLD was INR 591 crores.

And what was the contribution of railway and non-railway in the project?

In the project? Railway project overall is 17% of the total revenue coming from railway. But project-wise, I don't have the exact break-up. Railway project is around INR266 crores out of 1302. So roughly, Yes, roughly 15%, 17%, I think.

17%.

Yes.

So railway was quite low in the projects this year. And that should ... And this includes the VSS project? I think VSS itself ...

VSS project actually could not be undertaken to the extent we expected. And that is also one reason that Q4 was affected. Because there is some --if you see the website of the MeitY, so they have come out with new guidelines for procurement of cameras and security-related specifications have been given. So that is --we were already following that. So that has affected slightly our supplies. And now those things are getting settled. So we should be able to finish this project this year. I think by end of December, we will be closing this project.

And that will be totally INR800 crores was what we were expecting, right?

Yes, it is close to 800. So some of it is already executed to the part. Some part of it is already executed. And roughly close to INR600 crores is remaining, which we are expecting to close this year.

Got it, got it. I think -- and what is the Rail Wire IRU and subscriber?

Rail Wire ARPU this year, because of competition again, so we had to tweak our tariffs also.

And because of U1ere's a lot of churning, new ISPs are also coming with very aggressive tariffs.

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Sanjesh Jain: So ARPU is slightly lower. It is 50 for this financial year. And numbers are close to INR 5.75 lakhs.

5.75 lakhs. These have not grown so much.

But there is one good news in this. We have recently got an order from Government of Gujarat, where it is subsidy-based model. And we have to provide broadband connectivity to 1 lakh households in Gujarat in next one year. So we hope that this will certainly give us boost and we can take the same model when we successfully execute this to other states also.

And so how does this work? Customer doesn't pay and Government pays for it.

Government will pay subsidy to us on each connection. We provide to the subscribers, to their homes.

So the overall ARPU including the subsidy will be

equivalent to INR 500 or will it be lower than that?

No, that will again, it will affect ARPU of course because the plans will be generally targeting the rural areas. So those plans may not be that heavy. But then consumption again would be not that much and that is another part of it. So because urban area generally consumption is more. So what is the ARPU for this 100,000 new customers we are anticipating?

ARPU should be somewhere around 200.

Okay.

Plans will be 400 kind of.

Annual.

We are yet to launch it. We are working on the tariffs and all. But this is very recent order. So we are still working on the tariffs and we are free to fix the tariffs depending upon the target market.

Only the gap will be filled by the government?

No, not gap. There is a fixed subsidy.

Okay, it's a fixed subsidy.

Because there is one time expenditure to provide this broadband to every home. So we all when we take a connection, we provide the modem. We have to lay some fiber and all that. So we have a partner who will be working with us and they will be doing all this activity.

So we will be laying any fiber for this because this will be more?

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Railtel Corporation of India Limited

May 03, 2024 ~

RAILTEL

Sanjai Kumar:

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Dhvani Shah: No, not really. Sec Gujarat. 13haratNct they already have laid a lot of fiber within the state of Gujarat. So that fiber will be available for us to use. That is the actually basic tenet of this complete design, the scheme of the government. And we will be sharing a part of revenue also lo government of Gujarat.

And what is the capex expected for next year?

Capex will be in the range of somewhere around INR250 crorcs.

Okay, so INR200 crorcs lo INR250 crorcs?

TNR250 crores. Yes, INR 200 to INR 250 erorc, hut I think we will be able to make INR 250 crore.

Okay, this is fur FY25.

Yes mostly we will be spending on network expansion enhancing our and data center also.

We haven't announced any dividend this time around while we have generated a good cash now in FY24, will that be taken separately a board meeting for that or how should one think about it?

Generally , we do this exercise at the lime of AGM. So we have been doing this every year al the time of AGM, so we will do certainly. We'll take it to the board and they'll take approval of board and the11 we'll announce it.

Got ii. That's clear. Thank you, sir, again. Thanks for taking all the questions and best of luck.

Thank you. The next question is from the line of Dhvani Shah from Investec. Please go ahead.

Thank you for taking my question. I just wanted to understand how should we look at telecom margins for the next year'?

Telecom margins'?

Yes.

it will be 20% lo 22% in the range of 20 plus basically 22% and close to that to maintain the same.

And on the unallocated assets, can you help us understand why is there such a big jump since last year?

Sorry, there's a lot of noise in the background.

Can you just explain why there has been an increase in the wiallocated assets?

Come again.

Why has there been such an increase in the unallocated asscL~ versus last year'?

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May 03. 2024 ~

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Moderator:

Vishal Pcriwal:

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Sanjai Kumar: Unallocated assets?

Yes.

Give me some time we will answer to this. It is cash and bank balance.

Okay, because the jump if you see in the asset segment that's given is from almost ₹25,000 lakhs to ₹14,000 lakh as per given in the segment-wise asset and liability statement.

Mr. Batra will be answering this question. He is GM Finance.

Primarily the cash and bank balance and certain other assets are also there.

He's talking of segmental. I think Dhvani ji he will find out the complete answer to your question. In the meantime, if you have any other questions otherwise we will answer your question.

Yes. That's it. Thank you.

The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Yes, sir. Thanks for the opportunity. I think, sir, the previous participant I think the question was like there has been changes in certain -the amount has been moved from telecom services to unallocable assets.

Even the project side, the line item in the segmental asset side it has seen an increase, but at a company level definitely the net working capital or what we derive it's not been major change.

So, the query was what does movement have been happening between the segments. So, that was just to clarify that?

Thank you. Vishalji. Our finance team is just working on it.

Sure. And, sir, a couple of maybe like reiteration if I can ask. I think at a project segment level there has been an improvement in the margins. If you look at FY24 that is an annual year basis at an EBIT margin is 22% which was around 20% odd.

So, I think though you have clarified, but can you say that like the margin pressure or probably like the pricing pressure which you also touched upon briefly in the call. So, can we say that is mostly gone and probably things are looking better in the last second half or the fourth quarter? Can you say based on what you're seeing on the ground, sir?

No, actually, we talk of project business. So, many times, as I told you earlier also that. ..

Sir, this was regarding telecom. Telco, I think. There we are seeing an improvement in margins?

Telecom pricing pressure is yes. It is still there. It's going to be there. So, Indian telecom sector is certainly much different from worldwide, world over. This has been a different story and in fact, all of us know that our telcos are always under pressure.

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Ra11Tel Corporation of India Limited

May 03, 2024 ~

RAILTEL

Vishal Periwal:

Sanjai Kumar:

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Sanjai Kumar:

Vishal Periwal: In fact, Vodafone is struggling to come back. So, that pressure is going to be there. That is the story of Indian telecom sector market that will remain.

Right. right. Okay. And then, sir, in project segment, I think the order book continues to remain strong and you're guiding, like, you know, touching ₹2,000-odd crores. So, typically, when we get this order, can you share some name with whom do we compete to get this project's order?

It depends. See, we are working on different sectors. So, many times, they are private sectors. like L&T or Airtel or Jio, Starlite. They are, like, our competitors when we are working on system integrator kind of projects. Sometimes, they are PSUs, our competitors, if the tender is mostly invited. Sometimes, mostly invited by the state governments among the PSUs.

And even defense organizations are also involved

many times among the PSUs. So, this is what,

like, Tata Communications, Airtel, they are the, from private sector side Sify, if you talk of telecom sector. And Airtel and Jio, they are in system integration also sometimes when it is specifically having a sizable component of telecom business also. So, they are our competitors. Okay. And then, this order book, how exactly are we seeing in any target that you have given to

the team, that the INR4,700-odd crores, how do you see this coming year? Execution will be pretty good. So, there will be depletion, but what we are targeting in terms of inflow, any color?

• On inflow of new order book, the order you are talking of?

Yes.

Yes. So, we expect with the kind of tenders, including those from railways, we expect that it should be, we should strive to get orders of around TNR4,000 crores. New orders.

Okay. And this will also have an element of KAVACH also. It will be part of it.

Yes. Of course.

Of course. Okay. And U1en. U1 is KA YACH order for the quadrant, is it already approved vendor by the railway?

They are in the process of approval. Prototype has already been approved and the proof of POC testing is underway. Field trial is underway. And now, this is not a challenge. So, once prototype is approved, then field trials, they have to tweak their software and maybe some hardware kind of devices.

But now, it is almost, so that is what we were waiting. We were in discussion with the quadrant for quite some time. And now, we have signed an MOU with them. So, mostly we will be bidding in the tenders with this product.

Okay. And in this edge data center, which you clarified, so can you share who all our clientele are? I think for whom we do this work. And again, like in India, any competitors also that you

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File No. RC-1/FIN(MISC)/2/2024-0/o Addi.

341164/2024/0-1. GM/Finance/CO/RC IL GM/Finance/CO/RCIL (Computer No. 42676)

Rail/Tel Corporation of India Limited

May 03, 2024 ~

RAILTEL

Sanjai Kumar:

Vishal Periwal:

Sanjai Kumar:

Vishal Periwal:

Sanjai Kumar:

Vishal Periwal: sec in this sector, in this segment, that from a sector point of view, if you can give some color, it will be helpful?

Mostly, we will be, again, eyeing government customers, mostly because of most of the, many of the customers, they are comfortable when the data center activity, data center operations are managed by in-house government-owned entity, in-house team of government-owned entity.

And that is where we are. So, that is one.

And second, many of the applications, like video gaming applications, there the latency is a very important parameter. And the data center, the closer it is to the user, it gives you better performance. And similarly, these live events, kind of IPL matches, even these OTT platforms like Hotstar, and then Netflix and many more, they are also, they are looking for best experience to their users.

So, that as close as possible, they are close to the customers, subscribers, because the number of users are also increasing. Every time they require a fatter pipe, if you are somewhere away, and that introduces latency also. So, that is, these are the kind of prospective customers.

One more thing I would like to share with the investors through your question, that recently we have won an order from Prasar Bharati, where we are developing an OTT, which is being actually based on the content provided by Doordarshan. And it will be very useful to the rural and remote areas. It will be popular in Tier 3, Tier 4 towns, because of their taste, and it will be kind of even targeting the linguistic areas, like statewide, they can target.

So, that is a very good order, which we have, and we will be, we are very much confident, we are very much excited about this. So, that will also be one

prospective user of our Edge Data Center.

Okay. Got it, sir. And then, this Gujarat work, you did briefly mention, the subsidy will be given.

The subsidy is on the capex, which is more like a modem router. Then the customer, usually they have to take the plan and then they have to pay for it. Is that a business, obviously?

In a sense, let's say it is capex, but actually it is not directly capex. It is subscriber-based. So, individuals, every individual subscriber we add, we get the subsidy.

But then, on annual basis or monthly are onboarded, there is no subsidy. On a monthly basis, they get a ...

No. There is no recurring. There is nothing. Actually, generally, the challenge has been in taking such kind of services to the rural and remote areas, that one-time expenses are sometimes prohibitive. And the operators, they see commercial angle and they don't have an early ROI.

And then, ultimately, these services are not available to those folks, those masses. So, that is the idea.

Okay. So, basically, the idea is like, the Railwire wherein the subscriber base could see some bit or improvement with these kind of initiatives that the government is taking and then RailTel becomes a beneficiary. That's how one can read?

Page 11 of 13

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File No. RC-1/11/FIN(MISC)/2/2024-O/o Addl.

341164/2024/O,11- GM/Finance/CO/RCIL GM/Finance/CO/RCIL (Computer No. 42676)

Rail/Tel Corporation of India Limited

May 03, 2024 ~

RAILTEL

Sanjai Kumar:

Vishal Periwal:

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Moderator:

Sanjai Kumar:

Moderator:

Deepak Purswani:

Sanjai Kumar:

Deepak Purswani:

Sanjai Kumar: Yes. So, generally, actually, railways, RailTel subscriber base is mostly in rural areas. Then, we were also facing this challenge that who will put this money, this one-time expenditure to take these services, these broadband services to the home. So, sometimes, there are some affluent subscribers in those areas, some SMEs in those areas. They take such services. But then, public in general, generally, was not very keen to start such services. So, now, with this kind of support from government, it will be possible. And one more fact that the BharatNet project has also actually provided this kind of used fiber being laid in those states. And so, that will take us closer to the subscriber base.

Okay. Good to hear this. And maybe one last question. Overall, I think at a company level, I mean, we have been guiding 20%-25% kind of revenue growth. So, how do you see this in FY25 for us? This is my last question.

You are talking of revenue guidance, revenue growth guidance?

Yes. I think we are done.

With the same 30% kind of growth, we are very much hopeful. We will continue with the same kind of growth over the next year.

Okay. Sure, sir. I'll come back in the queue for more, sir. Thank you very much.

Thank you.

Thank you. The next question is from the line of Raj from All India Professionals. Please go ahead. Sir, please go ahead.

Yes, Mr. Raj.

Mr. Raj, may I request you to unmute your line and speak, please? The line for Mr. Raj has been dropped. The next question is from the line of Deepak Purswani from SBI Investments. Please go ahead.

Yes, Sir, just wanted to understand about the data center business. If you can throw some light in terms of what would be the megawatt capacity we would be looking out to add up and what would be the revenue model in this kind of business?

So if you're talking about edge data center, then we are actually going to have a very small edge data center at around 100 locations and those will be somewhere around, I think if we put together complete capacity, so it will be somewhere around, I think, 20.

20 megawatts?

No, 20 kilowatts for each. 20 racks and 10 kilowatts each. So it is

20 megawatts. Roughly around

20 megawatts. A small 100, so it will be 0.2 megawatts in each location. 0.2 megawatts.

Page 12 of 13

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RailTel Corporation of India Limited

May 03, 2024 ~

RAILTEL

Deepak Purswani:

Sanjai Kumar:

Deepak Purswani:

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Deepak Purswani:

Sanjai Kumar:

Moderator: Okay. And sir, how would be our revenue model in this? This would be a core location with any of the government agency or where we would be only getting the rental part or this would be a completely different model from the data center point of view?

Yes. So this is going to be a different model in the sense that the investment is being done by our partner and because of our network connectivity, because of our access to the government and the trust government shows in a government entity that kind of marketing we have already and then their own marketing capability. So this is a kind of combined effort we will be making and this is a unique model, I think. I don't know whether such kind of model already exists.

Okay. And any thoughts once this would be operational, what would be the revenue potential we are looking at from this business and what would be the EBITDA margin we would be targeting for this business?

EBITDA margin, if we talk of, it will be in range of 10% or so because this is on revenue sharing basis. Investment is being done by them and we will be having our own marketing and sales teams available. So I suppose this will be in the range of somewhere around 10%.

Okay. And what would be the revenue potential from this?

Revenue, I would say this 20 megawatt complete once it is rolled out, then it should give us around maybe close to somewhere around INR 100 crores of revenue.

Okay. Thank you. Thanks a lot, sir, for answering the question. I wish you all the best.

Thank you.

Thank you. Ladies and gentlemen, this was the last question. We would now conclude the call.

On behalf of RailTel Corporation, that concludes this conference. Thank you for joining us and you may now disconnect your line.

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Call: Jul 2024

RailTel/Sectt/21/SE/S-16 Date: July 29, 2024

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Transcript of Analysts/ Investors physical group meeting held at Mumbai on
Wednesday, 24th July, 2024.

Ref:- Our Letter of Even no. dated July 16, 2024, July 20, 2024 & July 24,2024

Dear Sir/Madam,

In reference to our previous communication dated 24th July, 2024 regarding Analysts/
Investors physical group meeting, we are forwarding herewith the transcript of the Audio Recording
held on Wednesday, 24th July, 2024.

2. This is submitted for your information and record.

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Call: Aug 2024

RailTel/Sectt/21/SE/S-16 Date: August 8, 2024

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001

Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Transcript of Analyst/Investor Conference Call held on Friday, 2nd August, 2024.

Ref: Our Letter of even no. dated July 30 2024, July 31 2024 and August 2, 2024.

Dear Sir/Madam,

In reference to our previous communication referred above regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript of the Analyst/Investor Conference Call held on Friday, 2nd August, 2024, organised by M/s. Antique Stock Broking Limited.

2. This is submitted for your information and record.

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Sub: Outcome of Analyst/Investor Group Conference Call held on Wednesday, 30th October 2024.

Dear Sir/Madam,

In reference to our above referred communication regarding Analyst/Investor Group Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the Analyst/Investor Group Conference Call held on Wednesday, October 30, 2024, organised by M/s. Antique Stock Broking Limited .

2. This is submitted for your information and record.

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Call: Feb 2025

A Navratna PSU

RailTel/Sectt/21/SE/S-16 Date: February 3, 2025

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol- RAILTEL Scrip Code- 543265

Sub: Transcript of Analyst/Investor Conference Call held on Tuesday, 28th January 2025.

Ref:- Our Letter of even no. dated January 23, 2025 & January 28, 2025.

Dear Sir/Madam,

In reference to our previous communication referred above regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript of the Analyst/Investor Conference Call held on Tuesday, 28th January 2025. , organised by M/s. Antique Stock Broking Limited.

2. This is submitted for your information and record.

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Call: May 2025

A Navratna PSU

RailTel/Sectt/21/SE/S-16 Date: May 9, 2025

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Outcome of Analyst/Investor Conference Call held on Monday, 5th May 2025 - Transcript.

Ref: Our Letter of Even no. dated April 29, 2025 & May 5, 2025.

Dear Sir/Madam,

In reference to our above-referred communication regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the Analyst/Investor Conference Call held on Monday, 5th May 2025, organised by M/s. Antique Stock Broking Limited

2. This is submitted for your information and record.

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Call: Jun 2025

A Navratna PSU

Ref: RailTel/Sectt/21/SE/S-16 Date: June 30, 2025

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol- RAILTEL Scrip Code- 543265

Sub: Transcript of Analysts/ Investors physical group meeting held at Mumbai on Tuesday, 24th June, 2025.

Ref:- Our Letter of Even no. dated June 17, 2025, June 19, 2025 and June 24, 2025

Dear Sir/Madam,

In reference to above referred previous communications regarding Analysts/ Investors physical group meeting, we are forwarding herewith the transcript of the Audio Recording held on Tuesday, 24th June 2025 .

2. This is submitted for your information and record.

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Call: Aug 2025

RailTel/Sectt/21/SE/S-16 Date: August 1, 2025

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Corporate Relationship Department,
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Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265
Sub: Outcome of Analyst/Investor Conference Call held on Tuesday, 29th July 2025
- Transcript.
Ref: Our Letter of Even no. dated July 24, 2025 & July, 29 2025 .

Dear Sir/Madam,

In reference to our above-referred communication regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the Analyst/Investor Conference Call held on Tuesday, 29th July 2025, organised by M/s. Antique Stock Broking Limited.

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"Rail Tel Corporation of India Limited
Q 1 FY'26 Post Results Earnings Conference Call"
July 29, 2025
MANAGEMENT: MR. SANJAI KUMAR -CHAIRMAN AND MANAGING
DIRECTOR- RAILTEL CORPORATION OF INDIA
LIMITED

MR. V. RAMA MANOHARA RAO -DIRECTOR/FINANCE
-RAILTEL CORPORATION OF INDIA LIMITED
MR. YASHPAL SINGH TOMAR-DIRECTOR/NETWORK
PLANNING AND MARKETING -RAIL TEL
CORPORATION OF INDIA LIMITED
MODERATOR: MR. VISHAL PERI WAL -ANTIQUE STOCK BROKING

Page 11 of 10

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01/08/2025 05,57 pm

Moderator:

Vishal Periwal:

Sanjai Kumar: Rai/Tel Corporation of India Limited

July 29, 2025

Ladies and gentlemen, good day, and welcome to the Post Results Q1 FY'26 Earnings Conference Call of Rai!Tel Corporation of India Limited, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star-then-zero on your touchtone phone. Please note that, this conference has been recorded.

I now hand the conference over to Mr. Vishal Periwal from Antique Stock Broking. Thank you, and over to you, sir.

Yes. Thanks, Anushka, and I welcome all the participants and from investors and analyst community for the post results earnings call of Rai!Tel Corporation of India Limited. And I'd also like to thank the management for giving us this opportunity. And the management team from Rai!Tel is led by Sanjai Kumar sir, who is the Chairman and Managing Director; V Rama Manohara Rao sir, who is the Director of Finance; and Yashpal Singh Tomar sir, Director, Network Planning and Marketing. And apart from that, there are other members from the team also have joined the management.

As usual, we'll have a brief from the management on the gone by quarter, and then we'll have a Q&A session from the participants. Yes. Thank you, and over

to you, Sanjai, sir.

Thank you, Vishalji. Very good morning to all. It gives me great pleasure to interact with you on the company's performance in the backdrop of Q1 financial results of FY'26, which were declared by the company on 28th July 2025. The company had a strong start to our financial year 2025-'26, having achieved operating revenue of INR744 crores in Q1 of FY'26 as against INR558 crores in Q1 of FY'25, registering the Y-o-Y growth of 33%. The Telecom segment contributed INR335 crores and Project segment contributed to INR409 crores in the company's operating turnover.

As regards the total revenue, the year-on-year growth is 31 % with INR758 crores in Q1 of FY'26 as compared to INR578 crores in Q1 of FY'25. The profit before tax PBT in Q1 of FY'26 is INR89 crores as against INR67 crores in Q1 of FY'25, registering Y-o-Y growth of 34%.

The profit after tax in Q1 of FY'26 is INR66 crores as against INR49 crores in Q1 of FY'25, registering year-on-year growth of 36%. Earnings per share in Q1 of FY'26 stands at INR2.06 as against INR1.52 of Q1 in FY'25, registering year-on-year growth of 36%.

Order booking during quarter ending 30.06.2025 was to the tune of INR 721 crores as against total order booked during Q1 of FY 24-25 of INR218 crores. The company has robust order book position of INR7,197 crores as on date, out of which close to INR500 crores are related to Kavach projects. I'm happy to inform you that CAG has offered nil comments on annual financial results of FY 24-25. We remain committed to pursuing growth and creating value for our esteemed investors. We are also exploring opportunities in order to realize our true potential.

I thank you for your trust and collective vision for the future of this company. Thank you, Jai

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We take the first question from the line of Vishal Periwal from Antique Stock Broking.

For the question queue assemble, I just thought to maybe like ask a few questions. First, I think, sir, we have done a pretty strong set of start for this particular year, doing a healthy 30% plus kind of revenue growth. And how exactly you are seeing things for the full year? I think we are already there like 1 more month in the quarter 2. So how things are and for the full year, how do you see things? Any color that can you provide, sir?

So, if we talk of revenue overall year, we would take somewhere around 25% growth if we take overall year. Since the base number is growing, so the overall growth, I would take around 25%.

Right, sir. And I mean, I mean usually, we have already in this past release also we have said that it will be more like a single digit for the Telecom and high double digit for the projects. So, it's the same thing is expected to continue?

Yes.

Right.

Telecom, again, Telecom market is not, I would say, in India, it has been --it has been a characteristic of Indian Telecom market. So, Telecom market growth is going to remain stunted. But the biggest advantage, which I always repeat, we being in the JCT and IT domain, Telecom market acts as a catalyst for many of our project business income.

So, I wouldn't say that it is not important. Directly, it may not be contributing --it may not be seen directly to contributing to the top line. But this being part of our portfolio certainly assists and helps us in getting many IT, JCT projects.

Got it, sir. And in terms of our order inflow, we have seen a decent set of inflow. So, any particular sector which is driving it? That is number one. And second, any green shoots or any emerging sectors that you are se

eing could drive our order inflow in times to come?

See, we see we have started gaining momentum in getting railway projects recent quarters. And so, we see that now we are getting --we started slow, but now we are getting good number of projects from railway tenders. Of course, those are not nomination. So, you must have seen that recently, we got another Kavach order also. So --and a few tunnel communication projects already there with us, some signaling, auto signaling and EI work already we are doing.

So that is one sector where we are working. And many state government projects where we have been strong since beginning, we are getting good orders even now. Some Smart City projects may come to us. Like similarly, another third front is that international business.

We have started a very small beginning, and we hope that in the years to come, our international business, which will include not only IT and ICT Telecom, but railways also, is likely to be part of that. But it will take time because we are starting and starting international business requires, I think, different kind of efforts and energy. So, we are gaining experience in that.

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Right, sir. So, the key takeaway is, I mean, what I would gather is the railway order as a sector, which was a bit muted in maybe 6 months back. So, things are kind of picking up there. And within that, Kavach in plus signaling is something which is driving the traction. That's fair to understand?

Yes. At least in the short term, I can say yes.

Got it. And in terms of pipeline on Kavach front, anything that you see here from the ministry that they want to award orders to this extent at least for next 6 months or 12 months? Anything on that front, sir?

See, this is very difficult for us as a bidder, as a service provider, it is very difficult for us. But these tenders are being floated by different zonal railways and units, and they are coming out with tenders as and when. I think now apart from tenders, there's focus on delivery also, implementation also. So, implementation also has to pick up.

The next question is from the line of Karan Sanwal from Niveshaay .

Congratulations on a good set of numbers and good start to the year. I have a couple of questions regarding Kavach, which the previous participant also touched upon. So, you said you have already highlighted that we have already won two orders for Kavach.

So, I wanted to understand, like how is the execution on that part? What are the timeline for execution? And are we starting to do the groundwork right now? Or is it would be done maybe a few quarters down the line, if you could highlight?

So, these projects are, of course, engineering intensive and you have to work along the track every kilometer. So, these will be going up to, say, 27 --2027, 2026-27, mostly the executions will happen. And some part of it may also be there in 2027-28 as well. So, these are long-term project execution time lines, 18 to 24 months.

So you're talking about the execution of the order we have already won, right, the INRI, 100 crores.

Yes, I'm talking about that only, yes.

And have you bid for other Kavach projects lately? Or are we expecting any bid results maybe 1, 2 quarters down the line?

So, we have already --there are a few tenders where we have participated bids. And wherever these bids are coming, there's no question that we will not bid, and we'll certainly try to win. Understood. And also

o, have we --so we have already tied up with the OEM partner. So, wanted to understand how is the conversation with those partners? Like have they received a certificate to execute Kavach orders? Or how is the timeline over there, if you could highlight something on that part?

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Those certifications are, of course, lengthy and very detailed because it is related to safety. And right now, we see that we are going in the right --at the right pace in the right direction. And therefore, we don't see any challenge on that front. But certification is yet to happen. It is underway.

But there's a lot of field work is required, which is going to take time, like laying off cables, say, about 1,000 kilometers of cable, many towers have to be erected, many drawings and those have to be approved with the railways. So that work is going to take time. So, this certification will not substantially going to --is not going to affect our actual progress. This will happen in parallel. So maybe --so our scope of work may already have been started in some sort of way or I imagine, right?

Yes, we have all started on field, yes.

Okay. And also ...

That's how things have happened.

Okay. Understood. What is the approximate proportion of revenue of those projects flowing to us, maybe an approximate percentage, if you could highlight?

I told you those are close to INR500 crores. Exact figures, I don't remember both the Kavach

orders put together. So that is what --this year, we might clock some revenue, but majority of revenue should come next year from these projects.

Understood. One last question. So, we --from what we understand, we record the entire revenue of Kavach, and then maybe a proportion of expenses that is subcontracted is highlighted in the expense portion, right? Or we only record our portion of revenue?

No, no. This is total revenue.

Okay. Understood. So, we would be adding the subcontracting charges to the OEM for the equipment that they provide is what --is what. ..

In orders it includes everything. Order includes complete supply chain.

Correct, correct.

It never excludes anything. Yes.

So, our portion would be around 60%, 70%, maybe 50%, 60% of the revenue of those orders?

No, no. Revenue is completely with us. It is going to add to our turnover only.

Okay. Understood, understood.

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The next question is from the line of Mohit Mishra from ICICI Securities.

Yes. Sir, I had a couple of small questions. Can you -in the Telecom services, can you give the breakup of NLD, ISP and IP revenue for the quarter?

Yes, sure. So, if we talk of NLD, it is INR 151 crores. ISP is INR 108 crores, which includes about INR 84 crores from Rai!Wire and INR 24 crores from IP. And remaining about INR 51 crores --sorry?

Could you rep

eat the ISP one?

INR 108 crores.

Okay, okay.

And about INR 51 crores is from data center-related business and others.

Okay, sir. Got it. And secondly, sir, I'm sorry, but I missed the order book number in your opening remarks. Could you please repeat that number?

Order book number is INR 7,197 crores.

And--what percentage of that would be railways?

It is around 30%, 31 %.

The next question is from the line of Vishal Periwal from Antique Stock Broking.

So on ECL, usually, we do provisions in our P&L. So, anything that we have done for quarter 1

of this year, sir?

There is reversal in this quarter, INR3 crores, I think.

Okay. Got it. So, there is no --any one-off --no major one-off there? It's numbers are recurring in sort of nature?

Yes.

Got it. And sir, order book, which you mentioned, what will be the share of Kavach in this, sir, the INR7,200-odd crores order book?

Exact numbers, I'll have to find out. It's close to INR500 crores. I think somewhat less than that.

Okay. Usually, sir, like in the previous presentation, we have given a further breakup of order book. Then they'll be ...

Your voice, can you please repeat?

Is this better now?

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Vishal Periwal: Yes. RailTel Corporation of India Limited

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Yes. Sorry for that audio. Sir, in our previous presentation, we have given a breakup of the order book that is between railways and other sectors. So, if one has to understand from a margin profile point of view, which segment give us the highest margin and then maybe like which is kind of where the competition is pretty high, which gives a low margin. So, can you give some color on that order book profile from a margin point of view?

I can give some clue whatever I have understanding. So, railways projects generally are --they are good margin projects with us. But otherwise, in general, IT projects, margins are really very difficult to have. We are --certainly this quarter, we have slightly bettered ourselves, made our position better.

We have, I think, 5.28% margin in projects. Otherwise, generally, 4% to 5% is the margin. If we talk of sector specific, it is not --it is very difficult to figure out one sector --sector against the other sector. So, it is mix, I would say.

Okay. And typically, I think from a number of players who are bidding, say, in Indian Railway project and then JCT, what will be the difference, sir? How many players bid in the railway projects and how many in the JCT typical project, sir?

Again, this is plays sector-to--sector ...

And it's --if I can add, I think it's very difficult to generalize that way, Vishalji. It all depends upon the project and its --I mean, various other aspects and location in which this project is how tough it is. So, there are many other parameters on which the competition prevails.

Got it, sir. And in terms of data centers, I think one is like --I mean, like in coming months and quarter, can we have a separate line segment in our Telecom just to see how the traction? That is one. And second, I mean, can you give some color where we are right now? Any targets or plan that we have, one for our own data center and second is the Edge that is there --Edge data center, sir?

Edge, so if you talk of data centers, so data center-related income, we are certainly growing comfortably around 15% to 20%, we take overall. But there are one-offs also which might - because numbers are small, we are growing in this segment. So that is why we have not created a separate line segment now.

Once it becomes a substantial number, certainly, we will make it.

Now, if we talk of Edge data

centers, so Edge data centers, we have --we should clock some numbers this year. I think last conference, I told you around INR100 crores. And so, I stay with that number if we talk of Edge data center.

Okay. Okay. And in terms of our own data centers, sir, what is the capacity right now? And how do you see this going in this year and next year? And any plan around that?

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So, our own data center, which is --see, even these data centers are our own data centers. There's only --it is not --I would say that, this is not debt per se, but they are not the technology partners. The ownership of these data centers remain with us. Turnover is also coming to us. These data centers are required because those existing data centers are almost working at the close to capacity.

So that is why we require this. We are also likely to start something with third-party data centers only as far as the infra --passive infra. So that line of segment is also likely to start this financial year.

As you know that we have made some Mo Us with third-party data center infra service, only passive infra services will be taken from them. So data center, we see that this year is going to be really, I would say, we would be embarking on a new journey. And in next financial year, these results would be certainly visible.

Right, sir, right. And so if one understand, so one is the Edge data center where I mean, like we have a revenue share sort of model. And then there is another --I mean, will the model be similar to revenue share? Or how exactly it is structured?

So see, it is --it won't be appropriate to share all those models because we are flexible. Whatever suits to the benefit of RailTel, we will have that flexibility. It may be revenue share. It may be leasing passive infra from them depending upon the circumstances and the need of the project, which we would be doing. We are not going to stick with one single line of this thing.

Got it, sir. And in terms of megawatt, any plans that we have, sir? I mean, like in terms of what megawatt.

Noida Data center, which where work has started already, Noida Data center, that is going to be ultimately to begin with, we'll have 5 megawatt in next 2 years. And then later on, we will upgrade it to 10 megawatts.

Okay. Got it, sir.

But it already started there as 5 megawatt. Yes.

Okay. And in terms of Edge data center, sir, any megawatt target?

Edge data centers will be a smaller one, say, around 0.2 kilowatt -0.2 megawatts, sorry. And this year, we might think maybe 4 or maybe 5 Edge data centers, we should be able to begin.

Okay. Got it. And maybe one last thing, sir. In terms of our capex plan, how do you see --what we have done in this quarter? And how do you see the full year? And third, maybe parallel to that, like where exactly we are doing this capex, which segment we are doing this? Yes, that's all from my side.

So this quarter, we have done around INR66 crores. And we have planned already for INR350 crores kind of capex for the whole of the year. Yes.

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Rakesh Roy: And which segment we are doing the capex, sir? Rai!Tel Corporation of India Limited
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Mostly, it is going to data center and Telecom, but there would be some smaller numbers like power plants, optical fiber, maybe some software. Generally, it is data center and Telecom equipment.

Okay. And if one has to understand in terms of the maintenance and vis-a-vis where we are adding capacity, so how the split will be, sir, in the annual capex?

Maintenance will never come to capex. It is part of revenue expenditure. Maintenance is not part of capex.

The next question is from the line of Parimal Mithani from Credential Investments.

I just wanted to know the guidance for the year, if you can just tell us?

So it will be somewhere around 25% for the whole of the year.

Okay. And will be maintaining the same margin, sir, for the year like time?

If we talk of margin range overall this thing so it will be around 11 % to 12%.

The next question is from the line of Rakesh Roy from Boring AMC?

My first question regarding your INR500 crores Kavach order, sir. Sir, this order will execute by Rai!Tel only or you have any other company to execute this order?

There is no N as such, but there are, of course, partners.

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s. ee, 'we --yes. OEM is a partner, and then there will be partners who will do the field activities like cabling and tower erection.

Okay. Right, sir. Can you share the name of any company --so last time I was reading about the company Future Tek, they are having MoU with your company is here to execute Kavach orders.

So, can you highlight on this?

They are our OEM of Kavach equipment Quadrant Future Tek. You are right. and we have an MOU with them.

Okay. And sir, lastly --just you mentioned it takes time to get certification. So, what type of certification take time and how much is general take, sir?

I think you missed it. I have already answered this question very much in detail.

Yes, I missed it, sir.

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This certification is done by railway organization because this is a safety item. And this is being deployed for the first time. This kind of equipment is indigenously developed by Indian company. And so once it is approved, then it will not require every time. Then afterwards, it will require only inspections. So that process is going on for all companies. It is not only our partner company, but it is for all five OEMs, whose one has already got that is SPL, but four others are under approval, yes.

Okay. Right, sir. And sir, this Kavach system is developed by in-house by RailTel or how is it, sir?

No, it has been developed by Railway is a unit organization known as RDSO in collaboration with industry. So Rai!Tel has not done anything to --any contribution to this product development.

The next question is from the line of Karan Sanwal from Niveshaay .

Sir, just one query. Sir, do we have --this exclusive tie-up only with, Quadrant that you just named, or would you be open to tie up with other OEMs for execution of Kavach?
See, execution is a separate activity. As far as OEM for the supply of Kavach project, Quadrant is our exclusive partner. So, execution is being done by various other partners, yes.
As there are no further questions from the participants, thank you members of the management.
Thank you everyone for joining. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Thank you very much.

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Dear Sir/Madam,

In reference to our above-referred communication regarding Analyst/Investor
Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the
Analyst/Investor Conference Call held on Thursday, 30th October 2025, organised by M/s.
Antique Stock Broking Limited.

2. This is submitted for your information and record.

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P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol- RAILTEL Scrip Code- 543265

Sub: Outcome of Analyst/Investor Conference Call held on Tuesday, 3rd February 2026

Ref: Our letter of Even no. dated 29/01/2026 and 03/02/2026

Dear Sir/Madam,

In reference to our above-referred communication regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the Analyst/Investor Conference Call held on Tuesday, 3rd February 2026, organised by M/s. P L Capital.

2. This is submitted for your information and record.

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Call: May 2026

Ref: RailTel/Sectt/21/SE/S-16 Date: May 6, 2026

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Corporate Relationship Department,
BSE Limited, Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400 001
Scrip Symbol - RAILTEL Scrip Code - 543265

Sub: Transcript of Analyst/Investor Conference Call held on Friday, 1st May 2026

Ref: Our letter of Even no. dated 28/04/2026, 30/04/2026 and 01/05/2026

Dear Sir/Madam,

In reference to our above-referred communication regarding Analyst/Investor Conference Call, we are forwarding herewith the transcript (duly signed by CIRO) of the Analyst/Investor Conference Call held on Friday, 1st May 2026, organised by M/s. P L Capital.

2. This is submitted for your information and record.

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